



CITY OF COSTA MESA

FY2021-22 DEVELOPMENT IMPACT FEE REPORT

NOVEMBER 15, 2022

**CITY OF COSTA MESA
77 FAIR DRIVE
COSTA MESA, CA 92626**



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City Leadership



JOHN STEPHENS
MAYOR



ANDREA MARR
MAYOR PRO TEM
DISTRICT 3



DON HARPER
COUNCIL MEMBER
DISTRICT 1



LOREN GAMEROS
COUNCIL MEMBER
DISTRICT 2



MANUEL CHAVEZ
COUNCIL MEMBER
DISTRICT 4



ARLIS REYNOLDS
COUNCIL MEMBER
DISTRICT 5



JEFF HARLAN
COUNCIL MEMBER
DISTRICT 6

City Official Directory

City Manager’s Office

City Manager Lori Ann Farrell Harrison

Department Directors

City Attorney’s Office Kimberly Barlow
Community Development Services..... Jennifer Le
Finance..... Carol Molina
Information Technology Steve Ely
Parks and Community Services..... Jason Minter
Public Services Raja Sethuraman

Public Safety

Fire and Rescue Dan Stefano
Police Ron Lawrence

Legal Requirements for Development Impact Fee Reporting

Legal Requirements for Development Impact Fee Reporting

California Government Code Section 66006 (b)

California Government Code Section 66006 (b) defines the specific reporting requirements for local agencies that impose AB 1600 DIFs on new development. Annually, for each separate fund established for the collection and expenditure of DIFs, the local agency shall, within 180 days of the close of the fiscal year, make available to the public the information shown below for the most recent fiscal year.

- a) A brief description of the type of fee in the account or fund.
- b) The amount of the fee.
- c) The beginning and ending balance of the account or fund.
- d) The amount of the fees collected and interest earned.
- e) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.
- f) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.
- g) A description of each inter-fund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an inter-fund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan.
- h) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

California Government Code Section 66001

For all funds established for the collection and expenditure of DIFs, California Government Code Section 66001 (d) has additional requirements. For the fifth fiscal year following the first deposit into the fund and every five years thereafter, the local agency shall make all of the following findings with respect to that portion of the fund remaining unexpended, whether committed or uncommitted:

- a) Identify the purpose to which the fee is to be put.
- b) Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- c) Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements identified in paragraph (2) of subdivision (a).
- d) Designate the approximate dates on which the funding referred to in subparagraph (c) is expected to be deposited into the appropriate account or fund.

California Government Code Section 66002

The State of California Government Code Section 66002 states that:

- a) Any local agency, which levies a fee subject to Section 66001, may adopt a capital improvement plan, which shall indicate the approximate location, size, time of availability, and estimates of cost for all facilities or improvements to be financed with the fees.
- b) The capital improvement plan shall be adopted by, and shall be annually updated by, a resolution of the governing body of the local agency adopted at a noticed public hearing. Notice of the hearing shall be given pursuant to Section 65090. In addition, mailed notice shall be given to any city or county, which may be significantly affected by the capital improvement plan. This notice shall be given no later than the date the local agency notices the public hearing pursuant to Section 65090. The information in the notice shall be not less than the information contained in the notice of public hearing and shall be given by first-class mail or personal delivery.
- c) "Facility" or "improvement," as used in this section, means any of the following:
 - 1. Public buildings, including schools and related facilities; provided that school facilities shall not be included if Senate Bill 97 of the 1987-88 Regular Session is enacted and becomes effective on or before January 1, 1988.
 - 2. Facilities for the storage, treatment, and distribution of nonagricultural water.
 - 3. Facilities for the collection, treatment, reclamation, and disposal of sewage.
 - 4. Facilities for the collection and disposal of storm waters and for flood control purposes.
 - 5. Facilities for the generation of electricity and the distribution of gas and electricity.
 - 6. Transportation and transit facilities, including but not limited to streets and supporting improvements, roads, overpasses, bridges, harbors, ports, airports, and related facilities.
 - 7. Parks and recreation facilities.
 - 8. Any other capital project identified in the capital facilities plan adopted.

Description of Development Impact Fees with Corresponding Fee Schedule

Park Development Impact Fees (Quimby Act Fees)

Fee Description: This fee provides funding for additional or improved park and/or recreation facility improvements for which the need is generated by new development within the City.

Fee Schedule: The table below indicates the applicable park development fee per unit that will be applied to new residential projects based on the net increase in residential units.

Development	Fee per Unit
Single-family Dwelling Unit	\$13,572.00
Multi-family Dwelling Unit	\$13,829.00
Apartment Dwelling Unit	\$5,000.00

Drainage Impact Fees

Fee Description: This fee provides funding for additional construction and maintenance of the City's drainage system for which the need is generated by new development or redevelopment within the City.

Fee Schedule: The table below indicates the applicable drainage impact fee per acre that will be applied to new or redeveloped projects.

Development Type	Fee per Acre
Low Density Residential Use	\$6,283.00
Medium Density Residential Use	\$7,539.00
High Density Residential Use	\$10,052.00
Commercial / Industrial Density Residential Use	\$11,309.00

Traffic Impact Fees

Fee Description: This fee provides funding for additional or improved traffic signal, operation, and infrastructure improvements for which the need is generated by new or expanding development within the City.

Fee Schedule: The citywide Traffic Impact Fee is assessed on the increased number of average daily trips generated by the proposed project. The City Council adopted a fee of \$235 per daily trip on November 13, 2018. On December 17, 2020, the City Council voted to continue the Traffic Impact fees at \$235 per daily trip.

Fire System Development Fees

Fee Description: This fee provides funding for additional fire protection facilities, equipment, and paramedic support for which the need is generated by future development within the North Costa Mesa area. This fee is only levied against five identified developments: Home Ranch, South Coast Plaza Town Center, South Coast Metro Center, and Sakioka Farms' Lots 1 and 2.

Fee Schedule: The fee is \$0.285 per square foot of new commercial, industrial or residential development.

Statement of Revenues, Expenditures and Changes in Fund Balance

A summary of activities in each type of development impact fee for fiscal year ended June 30, 2022 is shown below:

Statement of Revenues, Expenditures and Changes in Fund Balance for the Fiscal Year Ended June 30, 2022* Development Impact Fees

Description	Park Development Fees	Drainage Fees	Traffic Impact Fees	Fire System Development Fees
Revenue				
Fees	1,278,941	348,736	437,943	
Investment Earnings	(100,792)	(57,057)	(143,170)	(15,857)
Other				
Revenue Total	1,178,149	291,679	294,773	15,857
Expense				
Expenditures	2,214,169	145,850	127,222	
Other				
Transfers Out				
Expense Total	2,214,169	145,850	127,222	0

Rev Over(Under) Exp	(1,036,020)	145,829	167,552	(15,857)
Begin Fund Balance	4,651,456	2,096,392	5,490,214	651,541
End Fund Balance	3,615,436	2,242,221	5,657,766	635,685

**Unaudited actuals*

Financial Summary Reporting and CIP

State law requires an identification of each public improvement on which fees were expended and the amount of expenditures on each improvement, including the total percentage of the costs of the public improvement that was funded with fees. A summary of improvements for each Development Impact Fee is provided.

PARK DEVELOPMENT FEES (QUIMBY ACT FEES)

Statement of Revenues, Expenditures and Changes in Fund Balance for the Last Five Years:

Description	For the Fiscal Year Ended June 30					
	2017	2018	2019	2020	2021	2022*
Revenue						
Fees	1,541,038	4,657,896	2,299,373	1,049,018	766,372	1,278,941
Investment Earnings	47,040	(8,310)	254,347	223,901	8,022	(100,792)
Other					106,966	
Revenue Total	1,588,078	4,649,586	2,553,720	1,272,919	881,359	1,178,149
Expense						
Expenditures	13,612	2,558,466	1,899,528	1,589,954	1,753,155	2,214,169
Other	11,879	10,810	9,735			
Transfers Out			3,842			
Expense Total	25,491	2,569,276	1,913,105	1,589,954	1,753,155	2,214,169
Rev Over(Under) Exp	1,562,587	2,080,310	640,615	(317,035)	(871,796)	(1,036,020)
Begin Fund Balance	1,556,775	3,119,361	5,199,672	5,840,286	5,523,251	4,651,456
End Fund Balance	3,119,361	5,199,672	5,840,286	5,523,251	4,651,456	3,615,436

**Unaudited actuals*

Capital Improvement Projects (CIP) for the Last Five Years:

Capital Project	For the Fiscal Year Ended June 30					
	2017	2018	2019	2020	2021	2022
208 - Park Development Fees						
Tenagr Pk Plygrd Equip Repl						96,786
Wilson TeWinkle Prk Bridg						18,630
Fairview Park Improvements	13,456	3,455	198,810			
Pk Security Lighting Repl	156	11			86,983	
Jack Hammett Field Upgrade		55,000	63,634	3,300	8,796	1,532,681
Fairview Pk Mstr Plan			54,854			
Fairview Park Bluffs			151,406			
Fairview Pk Fence Sign Trail						5,136
Jordan Pk Playgrnd Equip						96,384
TeWinkle Park Lakes Repairs						31,830
NCC - Library Development		2,500,000	1,430,824	1,282,483	1,427,452	225,904
208 - Park Development Fees						
Fund Total	13,612	2,558,466	1,899,528	1,285,783	1,523,232	2,007,351

Funds held past the fifth year and first deposit

Not applicable at this time. All funds were expended within the five-year timeframe to fund park improvements and/or recreation facility improvements.

Construction Commencement Date for Incomplete Improvements

Not applicable at this time.

Inter-fund Transfers and Loans

No loans were disbursed during this period.

Amount of Refunds

No refunds of any of these funds were made or required in during this period.

DRAINAGE FEES

Statement of Revenues, Expenditures and Changes in Fund Balance for the Last Five Years:

Description	For the Fiscal Year Ended June 30					
	2017	2018	2019	2020	2021	2022*
Revenue						
Fees	549,871	113,610	268,800	898,498	433,328	348,736
Investment Earnings	18,965	9,519	57,202	78,484	2,100	(57,057)
Other	117,373					
Revenue Total	686,210	123,130	326,002	976,982	435,428	291,679
Expense						
Expenditures	66,950	1,101,378	56,980	194,127	593,405	145,850
Expense Total	66,950	1,101,378	56,980	194,127	593,405	145,850

Rev Over(Under) Exp	619,259	(978,248)	269,022	782,855	(157,977)	145,829
Begin Fund Balance	1,561,480	2,180,739	1,202,491	1,471,513	2,254,368	2,096,392
End Fund Balance	2,180,739	1,202,491	1,471,513	2,254,368	2,096,392	2,242,221

**Unaudited actuals*

Capital Improvement Projects (CIP) for the Last Five Years:

Capital Project	For the Fiscal Year Ended June 30					
	2017	2018	2019	2020	2021	2022
209 - Drainage Fees Fund						
Catch Basin Inserts-Various		10,886		9,966	169,750	26,727
Citywide Storm Drain Impr	66,950	740,492	56,980	184,161	332,976	108,752
Westside Storm Drain Impr						10,370
NCC - Library Development		350,000			90,679	
209 - Drainage Fees Fund Total	66,950	1,101,378	56,980	194,127	593,405	145,850

Funds held past the fifth year and first deposit

Not applicable at this time. All funds were expended within the five-year timeframe to fund storm drain improvements.

Construction Commencement Date for Incomplete Improvements

Not applicable at this time.

Inter-fund Transfers and Loans

No loans were disbursed during this period.

Amount of Refunds

No refunds of any of these funds were made or required in during this period.

TRAFFIC IMPACT FEES

Statement of Revenues, Expenditures and Changes in Fund Balance for the Last Five Years:

Description	For the Fiscal Year Ended June 30					
	2017	2018	2019	2020	2021	2022*
Revenue						
Fees	99,419	878,865	182,166	259,298	1,212,500	437,943
Investment Earnings	30,967	4,203	177,173	174,806	(9,496)	(143,170)
Other					1,855	
Revenue Total	130,383	883,068	359,339	434,104	1,204,859	294,773
Expense						
Expenditures	62,148	1,227	67,090	220,544	404,704	127,222
Other				75,000		
Expense Total	52,148	1,227	67,090	295,544	404,704	127,222
Rev Over(Under) Exp	68,236	881,841	292,249	138,560	800,155	167,552
Begin Fund Balance	3,309,173	3,377,409	4,259,250	4,551,499	4,690,059	5,490,214
End Fund Balance	3,377,409	4,259,250	4,551,499	4,690,059	5,490,214	5,657,766

**Unaudited actuals*

Capital Improvement Projects (CIP) for the Last Five Years:

Capital Projects	For the Fiscal Year Ended					
	2017	2018	2019	2020	2021	2022
214 - Traffic Impact Fees Fund						
Fairview Road/Wilson St Impr	2,726					
Bicycle Racks Citywide					35,032	8,299
Hyland/MacArthur Intersct Impr			58,148	23,224		
Adams at Pinecreek Imp						3,831
East 17th St. Landscape Enhanc	52,211					(2,611)
Fairview Traffic Signal Sync				10,457	174,575	
Baker/Placntia/19th/Victr TSSP						15,373
Sunflower Traff Signal Sync				93,407		
W 17th Design Newport Westside	7,211	1,227	5,842	48,992		
Newport Blvd Wide 19th to 17th			3,100	43,751	5,731	31,491
Class II and III Bicycle Proj				712	1,805	12,052
Merrimac Way Bicycle Facility					181,847	16,837
Adams Av Bicycle Facility Proj					5,715	6,832
Randolph Prkg & Pedestrin Impr						25,792
West 18th & Wilson Crosswalks						9,325
214 - Traffic Impact Fees Fund Total	62,148	1,227	67,090	220,544	404,704	127,222

Funds held past the fifth year and first deposit

Traffic Impact Fee funds are being held passed the fifth year and first deposit. These funds are intended to fund additional or improved traffic signal, operation, and infrastructure improvements for which the need is generated by new or expanding development within the City.

Construction Commencement Date for Incomplete Improvements

Not applicable at this time.

Inter-fund Transfers and Loans

No loans were disbursed during this period.

Amount of Refunds

No refunds of any of these funds were made or required in during this period.

FIRE SYSTEM DEVELOPMENT FEES

Statement of Revenues, Expenditures and Changes in Fund Balance for the Last Five Years:

Description	For the Fiscal Year Ended June 30					
	2017	2018	2019	2020	2021	2022*
Revenue						
Fees				469,332		
Investment Earnings	3,309	1,061	5,865	25,319	45	(15,857)
Other						
Revenue Total	3,309	1,061	5,865	494,651	45	(15,857)
Expense						
Expenditures		82,735				
Transfers Out		125,000				
Expense Total		207,735				

Rev Over(Under) Exp	3,309	(206,674)	5,865	494,651	45	(15,857)
Begin Fund Balance	354,347	357,655	150,981	156,846	651,497	651,541
End Fund Balance	357,365	150,981	156,846	651,497	651,541	635,685

**Unaudited actuals*

Capital Improvement Projects (CIP) for the Last Five Years:

Capital Projects	For the Fiscal Year Ended June 30					
	2017	2018	2019	2020	2021	2022
218 - Fire System Dev. Fees						
Corp Yard Exhaust System		82,735				
218 - Fire System Dev. Fees						
Fund Total		82,735				

Funds held past the fifth year and first deposit

Fire System Development Fee funds are being held past the fifth year and first deposit. These funds are intended to fund additional fire protection facilities, equipment, and paramedic support for which the need is generated by future development within Costa Mesa.

Construction Commencement Date for Incomplete Improvements

Not applicable at this time.

Inter-fund Transfers and Loans

No loans were disbursed during this period.

Amount of Refunds

No refunds of any of these funds were made or required in during this period.

Development Impact Fee Project Identification

The City's current, Adopted Budget 2022-2023, which includes the Five-Year Capital Improvement Plan (CIP) 2022/23 — 2026/27 can be found on the City's website at:

<https://www.costamesaca.gov/home/showpublisheddocument/51218/637877023662070000>

Funding of Infrastructure

The FY 2022/23 — FY 2026/27 CIP identifies all funding sources and amounts for individual projects through FY 2026/27. The CIP is updated annually to reflect the current City's infrastructure needs. As a CIP is identified, the project is evaluated to determine the portion of the project that will service existing residents and businesses versus new development.

Once the determination of use is made, the percentage of use attributed to new development is then funded by the appropriate development fee based on the type of project. The percentage of use associated with existing residents or businesses are funded from other appropriate sources. Estimated construction start dates for projects are adjusted, as needed, to reflect the needs of the community.

ONGOING/NEW CAPITAL IMPROVEMENT PROJECTS

Park Development Fees

Projects by Fund	FY2022/23 - FY2026-27
208 - Park Development Fees Fund	
700016 - Tenager Park Playground Equipment Replacement	51,739
700021 - Wilson TeWinkle Park Bridge Repairs	181,371
700027 - TeWinkle Skate Park Expansion	100,000
700029 - Fairview Park Improvements	
700054 - Westside Park Development	250,000
700080 - Park Security Lighting/Replacement	164,500
700110 - Open Space Master Plan Update	75,000
700115 - Jack Hammett Sports Complex ADA Improvements	513,843
700125 - Fairview Park Master Plan Habitat Restoration Project	
700129 - Shalimar Park Improvements	250,000
700131 - Fairview Park Bluffs	
700133 - Canyon Park Inventory Mgmt Restoration	60,000
700134 - Fairview Park Fence Sign Trail	144,865
700135 - Fairview Park Master Plan Update	250,000
700136 - Jordan Park Playground Equipment Replacement	78,616
700137 - TeWinkle Park Lakes Repairs	100,645
700139 - Ketchum-Libolt Park Expansion	50,000
800015 - NCC - Library Development and Lions Park Projects	
208 - Park Development Fees Fund Total	2,270,579

Drainage Fees

Projects by Fund	FY2022/23 - FY2026/27
209 - Drainage Fees Fund	
550008 - Citywide Catch Basin Inserts and Water Quality Improvement	55,883
550011 - Citywide Storm Drain Improvements	761,439
550022 - Westside Storm Drain Improvements	1,589,630
800015 - NCC - Library Development and Lions Park Projects	
209 - Drainage Fees Fund Total	2,406,952

Traffic Impact Fees

Projects by Fund	FY2022/23 - FY2026-27
214 - Traffic Impact Fees Fund	
300129 - Harbor/Adams Intersection Improvements	
300146 - Fairview Road/Wilson Street Improvements	
300148 - Citywide Bicycle Rack Improvements	206,669
300160 - Hyland/MacArthur Intersection Improvements	
300174 - Adams at Pinecreek Improvements	83,622
300181 - Fairview Road Improvement Project	250,000
350018 - East 17th Street Landscape Enhancements	
370010 - Mesa del Mar Multi-Model Access	100,000
370034 - Fairview Traffic Signal Synchronization	5,377
370039 - Baker/Placentia/19th/Victoria Traffic Signal Synchronization	237,745
370047 - Sunflower Traffic Signal Synchronization	
370050 - West 17th Design Newport Westside	
370052 - Newport Blvd Improvements from 19th Street to 17th Street	290,927
370056 - Bear Street Traffic Signal Sync	31,000
450010 - Class II, III, and IV Bicycle Projects	985,433
450011 - Merrimac Way Bicycle Facility	
450014 - Adams Avenue Bicycle Facility Project	
450015 - Bicycle/Pedestrian Infrastructure Improvements	350,000
450016 - Mesa/Santa Ana Bicycle Facility Improvements	100,000
450017 - MV/Peterson Place Class II Bicycle	100,000
470001 - Randolph Parking and Pedestrian Improvements	
470002 - West 18th Street and Wilson Street Pedestrian Crossings	124,209
NEW - Bicycle and Pedestrian Infrastructure Improvements	390,675
214 - Traffic Impact Fees Fund Total	3,255,657

Fire System Development Fees

No current projects to report.

City Council Action and Studies

The following attachments are Development Impact Fees related recent and prior Council Reviews (Traffic Impact Fees and Park Development Fees).



City of Costa Mesa

Agenda Report

77 Fair Drive
Costa Mesa, CA 92626

File #: 21-482

Meeting Date: 12/7/2021

TITLE:

ANNUAL REVIEW OF THE CITYWIDE TRAFFIC IMPACT FEE PROGRAM

DEPARTMENT: PUBLIC SERVICES DEPARTMENT /TRANSPORTATION
SERVICES DIVISION

PRESENTED BY: RAJA SETHURAMAN, PUBLIC SERVICES DIRECTOR

CONTACT INFORMATION: JENNIFER ROSALES, TRANSPORTATION SERVICES
MANAGER (714) 754-5343

RECOMMENDATION:

Staff recommends the City Council adopt the proposed resolution, continuing the citywide traffic impact fee for new development in the City of Costa Mesa and conducting the related annual review of the citywide traffic impact fee program and capital improvement plan for transportation improvements (Attachment 1). The resolution incorporates the recommendations from the Traffic Impact Fee Ad Hoc Committee and staff, which include:

1. Continue a traffic impact fee of \$235 per Average Daily Trip (ADT) based on the Capital Improvement Projects in Attachment 2 and Active Transportation projects in the adopted Active Transportation Plan (ATP);
2. Approve allocation of up to ten percent (10%) of traffic impact fees towards traffic signal synchronization projects;
3. Approve a five percent (5%) reduction in automobile trips as a result of ATP implementation and an additional five percent (5%) reduction in automobile trips for developments proposing to implement active transportation improvements beyond typical development requirements; and
4. Approve the annual accounting of the Citywide Traffic Impact Fee Program.

BACKGROUND:

Pursuant to California Government Code Section 66000, et seq. and the Costa Mesa Municipal Code, a traffic impact fee study is required by the City to establish a basis for the imposition of Citywide traffic impact fees on new and expanding developments within the City. The purpose of the fee is to fund the necessary transportation/circulation improvements, which are related directly to the

incremental traffic impacts imposed on the City's transportation system by the development of new and/or changing commercial, industrial, and residential uses as permitted by the General Plan. The fee also maintains compliance with the eligibility requirements of the Orange County Transportation Authority's (OCTA) Renewed Measure "M2" Program (Measure "M2").

The City Council has reviewed the Citywide Traffic Impact Fee Program each year since the fee program was first adopted in 1993. The City Council, in July 1993, also approved the formation of an Ad Hoc Committee consisting of representatives from various stakeholder groups to work with staff on all aspects related to the revision and updating of traffic impact fees.

The City Council subsequently appointed an Ad Hoc Committee consisting of members representing large and small developers, the Chamber of Commerce, citizens-at-large, as well as members representing the City Council and the Planning Commission, to assist staff in the development and review of the traffic impact fee.

The current Ad Hoc Committee members and their representation are as follows:

Jason Kensey (Chair)	At Large Representative
George Sakioka (Vice Chair)	Major Developers' Representative
Steve Brahs	Small Developers' Representative
Matt Eimers	At Large Representative
Carla Valenzuela	Chamber of Commerce

City Council Liaisons:

Council Member Don Harper
Council Member Arlis Reynolds

Planning Commission Liaison:

Commissioner Jonathan Zich

The City Council, in June 2012, authorized a comprehensive review of the City's General Plan, including the Land Use and Circulation Elements. The General Plan was completed and finalized in 2016.

The last major update of the Traffic Impact Fee Study was completed in November 2018. The update took into account the most recent land use and circulation information contained in the 2016 General Plan update. The proposed General Plan circulation improvements identified in the new transportation model form the basis for the traffic impact fee update. A revised traffic impact fee calculation was conducted taking into account the 2016 General Plan and updated traffic analysis model. The estimated costs for various improvements were reviewed and updated using the most recent construction cost data. The Ad Hoc Committee, together with staff, reviewed all conditions and analyzed different trip fee scenarios. Several variations of improvement options were considered, and it was determined that trip fees in the range of \$176 per ADT through \$476 per ADT could be justified.

On November 17, 2020, the City Council adopted Resolution No. 20-60, approving a traffic impact

fee of \$235 per Average Daily Trip (ADT) to be continued with the inclusion of Active Transportation projects, selecting a fee from the calculated range of between \$176 and \$476 per ADT. The City Council also approved up to ten percent (10%) of traffic impact fees being allocated toward traffic signal synchronization projects. In addition, City Council approved a five percent (5%) reduction in automobile trips as a result of ATP implementation and an additional five percent (5%) reduction in automobile trips for developments proposing to implement active transportation improvements beyond typical development requirements. A chronology of actions taken by the City Council on the Citywide Traffic Impact Fee Program between the years of 1993 and 2020 is included in Attachment 3.

ANALYSIS:

The Traffic Impact Fee Ad Hoc Committee and staff met on October 27, 2021 to review the traffic impact fee program and calculation. Recently completed projects, consideration of active transportation projects, and the available traffic impact fee fund balance were accounted for in this review.

Attachment 2 provides the calculation of the traffic impact fee of \$221 per ADT based on a revised list of capital improvement projects and the inclusion of Active Transportation projects. Following a review of the fee analysis and staff input, the Ad Hoc Committee recommended to continue the current traffic impact fee of \$235 per Average Daily Trip (ADT) with the inclusion of Active Transportation projects in the Traffic Impact Fee program. In addition, the Ad Hoc Committee recommended to continue the allocation of up to ten percent (10%) of traffic impact fees towards traffic signal synchronization projects.

The Ad Hoc Committee also recommended to continue to provide a five percent (5%) reduction in automobile trips for development projects due to the implementation of the Active Transportation Plan (ATP) and an additional five (5) percent reduction in ADT if a development proposes to implement active transportation improvements beyond typical code requirements. The improvements have to be substantial such as addition of a multipurpose trail, conversion of lower-class active bicycle facility to a higher-class bicycle facility, or enhanced pedestrian improvements in the vicinity of the project.

Annual Accounting of the Traffic Impact Fee:

California Government Code Section 66006(b) requires an annual review and accounting of the Citywide Traffic Impact Fee Program. Section 66001(d) requires that the City make specified findings every five years relating to any portion of the traffic impact fees collected that remain unexpended in its account. The City has elected to conduct the review of traffic impact fees required by California Government Code Section 66001(d) on an annual basis in conjunction with its review of the capital improvement plan required by California Government Code Section 66002(b) and the annual accounting required by California Government Code Section 66006(b). Attachment 4 depicts the opening balance, the ending balance on June 30, 2021, interest earned, revenues, expenditures, and unexpended funds from the Citywide Traffic Impact Fee Account. This attachment also shows that there are no funds unexpended or uncommitted in the account five (5) or more years after deposit and that no administrative costs have been charged to the fee account. The accounting was presented to the Committee at their meeting on October 27, 2021, and was approved.

As required by the Government Code, the updated Capital Improvement Plan (CIP) is contained in the Fiscal Year 2021-22 adopted budget and remains valid for the current traffic impact fee review. The traffic impact fee account information, including the interest earned, shown in Attachment 4, is available for public review.

ALTERNATIVES:

The City Council has the option to choose a traffic impact fee rate anywhere in the range of \$176 per ADT to \$476 per ADT, based on the most recent update of the traffic impact fee analysis. An additional alternative is to not have a Citywide Traffic Impact Fee Program at all. This alternative, however, would make the City ineligible to receive funds from any of the competitive grant programs processed through the Orange County Transportation Authority's Combined Transportation Funding Programs. The City Council could also increase or decrease the percent of traffic impact fees for traffic signal synchronization. The City Council could also not approve the addition of active transportation projects to the traffic impact fee program.

FISCAL REVIEW:

Traffic impact fees fiscally support required capital transportation improvements outlined in the City's General Plan Circulation Element.

LEGAL REVIEW:

The City Attorney's Office has reviewed the agenda report and resolution and approves them both as to form.

CITY COUNCIL GOALS AND PRIORITIES:

This item supports the following City Council Goals:

- Achieve long-term fiscal sustainability.
- Strengthen the public's safety and improve the quality of life.

CONCLUSION:

The Citywide Traffic Impact Fee Program had the last major update in 2018 and the Traffic Impact Fee Ad Hoc Committee reviewed the Traffic Impact Fee Program in October 2021 as part of the annual review. The Traffic Impact Fee Ad Hoc Committee recommended that the current traffic impact fee of \$235 per ADT be continued with the inclusion of Active Transportation projects. In addition, the Ad Hoc Committee recommended continuing allocation of up to ten percent (10%) of traffic impact fees toward traffic signal synchronization projects. The Ad Hoc Committee also recommended that the automobile trip generation for development projects continue to be reduced by five percent (5%) due to the inclusion of Active Transportation projects in the City's General Plan and a further five percent (5%) reduction in ADT for developments that incorporate substantial Active Transportation improvements beyond those required by code.

Staff requests that the City Council adopt the proposed resolution, continuing the citywide traffic

impact fee for new development in the City of Costa Mesa and conducting the related annual review of the citywide traffic impact fee program and capital improvement plan for transportation improvements. The resolution incorporates the recommendations from the Traffic Impact Fee Ad Hoc Committee and staff.

RESOLUTION NO. 2021-xx

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF COSTA MESA, CALIFORNIA, CONTINUING THE CITYWIDE TRAFFIC IMPACT FEE FOR NEW DEVELOPMENT IN THE CITY OF COSTA MESA AND CONDUCTING THE RELATED ANNUAL REVIEW OF THE CITYWIDE TRAFFIC IMPACT FEE PROGRAM AND CAPITAL IMPROVEMENT PLAN FOR TRANSPORTATION IMPROVEMENTS

WHEREAS, California Government Code section 66000 *et seq.* enables cities to charge fees for transportation facilities; and

WHEREAS, Section 13-274 of the Costa Mesa Municipal Code authorizes the City Council to, by resolution, establish a development impact fee program based on the capital improvement program; and

WHEREAS, in 1993, by Resolution No. 93-43, the City Council established a traffic impact fee program and the rate of the traffic impact fee based upon a Traffic Impact Fee Study; and

WHEREAS, each year since 1993, the City has continued the traffic impact fee program; and

WHEREAS, on November 17, 2020, the City Council established a traffic impact fee of Two Hundred Thirty-Five Dollars (\$235.00) per Average Daily Trip (ADT) based upon a Traffic Impact Fee Study completed in 2018; and

WHEREAS, California Government Code section 66001(d) requires the City to make specified findings every five years with respect to any portion of the traffic impact fees collected that remain unexpended in its account, including (1) identifying the purpose to which the fee is to be put; (2) demonstrating a reasonable relationship between the fee and the purpose for which it is charged; (3) identifying all sources and amounts of funding anticipated to complete financing of incomplete improvements; and (4) designating approximate dates on which the anticipated funding is expected to be deposited into the appropriate account; and

WHEREAS, California Government Code section 66002(b) further requires a separate annual review and update of the City's capital improvement plan for improvements to be paid for by traffic impact fees; and

WHEREAS, California Government Code section 66006(b) requires the City to make available to the public within 180 days of the last day of the fiscal year certain information, including but not limited to, a description of the type of fee, the amount of the fee, the amount of fees collected and the interest earned thereon, identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, identification of an approximate date by which the construction of the public improvement will commence if the City determines that sufficient funds have been collected to complete financing of an incomplete public improvement, and the beginning and ending balance of the traffic impact fee account or fund for the previous fiscal year; and

WHEREAS, the 2016 General Plan requires the City to maintain a traffic impact fee for improvements to the Master Plan of Streets and Highways and that the City review and update the fees on a regular basis; and

WHEREAS, pursuant to the 2016 General Plan and the Costa Mesa Municipal Code, the City has elected to conduct the review of traffic impact fees required by California Government Code section 66001(d) on an annual basis in conjunction with its review of the capital improvement plan required by California Government Code section 66002(b) and the annual accounting required by California Government Code section 66006(b)(1); and

WHEREAS, the City reviewed and updated the capital improvement plan on June 15, 2021 in connection with its Measure M2 reporting; and

WHEREAS, a primary purpose of this resolution is to continue the traffic impact fee based on the 2018 Traffic Impact Fee Study and to enable the City to continue the traffic impact fee; and

WHEREAS, the traffic impact fee is necessary because new development increases the need for transportation/circulation facilities in the City of Costa Mesa not only during peak periods, but throughout the day, and the City transportation/circulation system will be burdened by the demands of carrying vehicles of a larger number of persons and cargo due to new commercial, industrial, and residential uses; and

WHEREAS, the 2015-2035 General Plan as well as Environmental Impact Report No. 1049 indicate that development of new commercial, industrial and residential uses is

expected to exceed current commercial, industrial and residential uses and, accordingly, the City transportation/circulation systems will need to be increased in capacity to carry the increase in the number of vehicles due to new commercial, industrial and residential uses; and

WHEREAS, the Public Services Department has conducted an audit of the accounts for the traffic impact fee program for the fiscal year ending June 30, 2021, which is attached hereto as Exhibit "A" and incorporated herein; and

WHEREAS, pursuant to California Government Code section 66006, the audit was available for public inspection and review at least fifteen (15) days prior to the City Council review of the audit on December 7, 2021 and notice was mailed to all interested parties on record at least fifteen (15) days prior to the public hearing held on December 7, 2021; and

WHEREAS, the City Council conducted a public hearing on December 7, 2021, received testimony and evidence from interested parties in the City of Costa Mesa, and has evaluated justification for renewal of the traffic impact fee given economic and social factors, as well as average fees charged by surrounding cities.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF COSTA MESA HEREBY FINDS, DETERMINES, AND RESOLVES AS FOLLOWS:

Section 1. The City Council hereby finds that:

- a. The foregoing recitals are true and correct and are incorporated herein by reference.
- b. The purpose of the traffic impact fee is to fund transportation/circulation improvements including active transportation improvements within the City of Costa Mesa which are directly related to the incremental traffic/vehicle burden imposed upon the City transportation/circulation system by the development of new commercial, industrial and residential uses.
- c. The fee will be used to fund transportation and circulation improvements within the City of Costa Mesa.
- d. There is a reasonable relationship between the traffic impact fee's use and the development projects on which the fee is imposed because the transportation/circulation facilities funded by the fee are needed to

accommodate the incremental new traffic/vehicle burdens generated by the development of new commercial, industrial and residential uses upon which the fee is imposed.

- e. There is a reasonable relationship between the need for the transportation/circulation facilities and the development of new commercial, industrial and residential projects upon which the fee is imposed because the new development projects paying the fee will receive a direct benefit from the transportation/circulation facilities funded by the fee; the transportation/circulation facilities funded by the fee will increase traffic/vehicle circulation capacity on streets and highways directly burdened by the increase in traffic/vehicles generated by new development projects upon which the fee is charged; the cost of transportation/circulation facilities attributed to existing deficiencies, existing land uses and population, excess and reserve capacity, and regional transportation needs have been excluded from the fee calculation, and such costs are not included in the fee to be paid by the development.
- f. There is no portion of the fees deposited into the traffic impact fee fund that remains unexpended.
- g. The capital improvement plan is adequate to provide the facilities for which the traffic impact fee is charged and does not need to be amended.
- h. The audit by the Public Services Department set forth in Exhibit "A" accurately reflects the balance of the traffic impact fee account on the fees collected, the interest thereon, and other income and amount of expenditures and refunds of the traffic impact fee made by the City of Costa Mesa during the prior fiscal year.

Section 2. The City Council of the City of Costa Mesa hereby renews the traffic impact fee and establishes traffic impact fee regulations as follows:

- a. The traffic impact fee shall be a fee of \$235.00 per each new average daily vehicle trip end generated by all new commercial, industrial and residential developments. To encourage active transportation in Costa Mesa, staff shall provide a five percent (5%) reduction in ADT development trips for

active transportation project benefits and may provide an additional five percent (5%) reduction in ADT development trips for a development project which proposes to implement active transportation improvements beyond those which would ordinarily be required by the City as a condition of approval for such development project.

- b. The traffic impact fee established pursuant to this resolution shall be collected and administered in accordance with all requirements of California Government Code section 66000 *et seq.*, the Costa Mesa Municipal Code and prior resolutions of the City Council.
- c. There shall be no limitation on the amount of traffic impact fees which may be allocated toward active transportation projects.
- d. Staff may allocate up to ten percent (10%) of traffic impact fees towards traffic signal synchronization projects.

Section 3. The City Council of the City of Costa Mesa hereby approves the updated comprehensive transportation/circulation system capital improvement plan as identified at the June 15, 2021 City Council meeting pursuant to Government Code section 66002.

PASSED AND ADOPTED this 7th day of December, 2021.

John Stephens, Mayor

ATTEST:

APPROVED AS TO FORM:

Brenda Green, City Clerk

Kimberly Hall Barlow, City Attorney

THIS PAGE IS RESERVED FOR CITY CLERK'S OFFICE

STATE OF CALIFORNIA)
COUNTY OF ORANGE) ss
CITY OF COSTA MESA)

I, BRENDA GREEN, City Clerk of the City of Costa Mesa, DO HEREBY CERTIFY that the above and foregoing is the original of Resolution No. 2021- __ and was duly passed and adopted by the City Council of the City of Costa Mesa at a regular meeting held on the 7th day of December, 2021, by the following roll call vote, to wit:

AYES: COUNCILMEMBERS:

NOES: COUNCILMEMBERS:

ABSENT: COUNCILMEMBERS:

IN WITNESS WHEREOF, I have hereby set my hand and affixed the seal of the City of Costa Mesa this 7th day of December, 2021.

Brenda Green, City Clerk

CIP FY	Location	Improvement	Estimated Cost	New Daily Trip Ends			Cost Allocation		
				Local	Regional	Total	Local	Regional	Total
	ROADWAYS								
22-23	Newport (19th to 17th)	Widen SB from 3 lanes to 4 lanes	\$9,300,000	11,114	6,160	17,274	\$5,983,571	\$3,316,429	\$9,300,000
Future	17th (Orange to Tustin)	Widen from 4 lanes to 6 lanes							
Future	17th (Pomona to Bluff)	Widen from 2 lanes to 4 lanes							
Future	Baker (Bear to Red Hill)	Widen from 4 lanes to 6 lanes	\$7,210,298	5,120	2,786	7,906	\$4,669,457	\$2,540,841	\$7,210,298
Future	Bear (I-405 Overcrossing)	Widen from 4 lanes to 6 lanes							
Future	Del Mar/University (Elden to Santa Ana)	Widen from 2 lanes to 4 lanes							
Future	Wilson (Fairview to College)	Widen from 2 lanes to 4 lanes							
Future	Wilson (Newport to Fairview)	Widen from 2 lanes to 4 lanes							
Future	Wilson (Harbor to Placentia)	Widen from 2 lanes to 4 lanes							
	Sub-Total		\$16,510,298	16,234	8,946	25,180	\$10,653,028	\$5,857,270	\$16,510,298
	INTERSECTIONS								
Future	2. Harbor & Sunflower	Add WBR and EBR	\$914,400	4,982	2,859	7,841	\$580,990	\$333,410	\$914,400
Future	9. Bristol & Sunflower	Add NBL	\$1,130,733	7,038	4,344	11,382	\$699,183	\$431,550	\$1,130,733
Future	17. Hyland & South Coast/I-405 NB On-Ramp	Add WBT	\$863,273	1,901	604	2,505	\$655,123	\$208,150	\$863,273
Future	18. Harbor & South Coast	Add EBR	\$1,669,800	7,830	3,157	10,987	\$1,190,000	\$479,800	\$1,669,800
Future	30. Hyland & MacArthur	Add NBL and NBR	\$261,938	2,003	1,797	3,800	\$138,069	\$123,869	\$261,938
Future	42. Bristol & I-405 NB Ramps	Add WBR	\$90,000	13,117	5,615	18,732	\$63,022	\$26,978	\$90,000
Future	44. Harbor & Gisler	Add SBR and EBL	\$4,895,070	9,893	4,259	14,152	\$3,421,914	\$1,473,156	\$4,895,070
Future	49. Bristol & Paularino	Add WBL	\$300,210	6,710	1,690	8,400	\$239,811	\$60,399	\$300,210
Future	51. SR-55 SB Ramps & Paularino	Add SBR	\$413,730	1,845	2,631	4,476	\$170,539	\$243,191	\$413,730
Future	52. SR-55 NB Ramps & Paularino	Add WBR	\$642,750	1,649	2,504	4,153	\$255,212	\$387,538	\$642,750
Future	65. SR-55 SB Ramps & Baker	Add SBR	\$625,350	3,477	2,446	5,923	\$367,101	\$258,249	\$625,350
Future	66. SR-55 NB Ramps & Baker	Add NBL and EBL	\$1,370,325	2,728	2,001	4,729	\$790,494	\$579,831	\$1,370,325
Future	84. Harbor & Adams	Add NBL and NBR	\$6,037,350	10,600	3,803	14,403	\$4,443,235	\$1,594,115	\$6,037,350
Future	101. Newport NB & Del Mar	Add WBR	\$131,475	2,934	2,406	5,340	\$72,237	\$59,238	\$131,475
Future	129. Newport NB & 22nd	Add WBT and NBL	\$15,000	3,332	2,625	5,957	\$8,390	\$6,610	\$15,000
Future	134. Placentia & 19th	Add SBR	\$386,280	6,409	1,423	7,832	\$316,097	\$70,183	\$386,280
Future	140. Newport Boulevard & 19th Street	Add NBT and free SBR							
Future	151. Superior & 17th	Add WBL and NBR	\$662,865	7,133	2,160	9,293	\$508,793	\$154,072	\$662,865
23-24	152. Newport & 17th	Add NBR	\$444,675	10,202	5,079	15,281	\$296,877	\$147,798	\$444,675
Future	156. Irvine & 17th	Addd SBR and EBR	\$793,845	3,760	1,777	5,537	\$539,075	\$254,770	\$793,845
	Sub-Total		\$21,649,069	107,543	53,180	160,723	\$14,756,161	\$6,892,908	\$21,649,069
	TOTAL		\$38,159,367	123,777	62,126	185,903	\$25,409,189	\$12,750,178	\$38,159,367

Traffic Impact Fee Fund Balance	\$5,490,214
Home Ranch TIF Funds	\$1,698,450
Subtotal	\$3,791,764
Local Cost Allocation with above subtracted	\$21,617,425
Active Transportation Projects	\$21,140,500

Total Local Share Costs and Active Transportation Projects	\$42,757,925
New Costa Mesa Trips Generated at General Plan Buildout	227,767
Citywide Fee with ATP projects and 15% reduction in ADT trips	\$221

CIP FY	Location	Improvement	Estimated Cost	New Daily Trip Ends			Cost Allocation		
				Local	Regional	Total	Local	Regional	Total

ROADWAY AND INTERSECTION IMPROVEMENTS IN GENERAL PLAN AND EXCLUDED FROM TRIP FEE PROGRAM

17th (Orange to Tustin)	Widen from 4 lanes to 6 lanes	\$15,380,115
17th (Pomona to Bluff)	Widen from 2 lanes to 4 lanes	\$7,435,650
Bear (I-405 Overcrossing)	Widen from 4 lanes to 6 lanes	\$5,408,220
Del Mar/University (Elden to Santa Ana)	Widen from 2 lanes to 4 lanes	\$34,971,150
Wilson (Fairview to College)	Widen from 2 lanes to 4 lanes	\$15,058,750
Wilson (Newport to Fairview)	Widen from 2 lanes to 4 lanes	\$2,525,753
Wilson (Harbor to Placentia)	Widen from 2 lanes to 4 lanes	\$25,555,350
140. Newport Boulevard & 19th Street	Add NBT and free SBR	\$23,912,528
TOTAL		\$130,247,516

**CITY OF COSTA MESA
CHRONOLOGY OF TRAFFIC IMPACT FEE ACTIONS**

Date Adopted	Resolution Number	Area of Benefit	Applicable Fees
7-June-1993	93-43	Citywide	\$228 per daily trip end based on the exclusion of all freeway improvements
20-June-1994	94-59	Citywide	\$228 per daily trip end based on the exclusion of all freeway improvements
1-May-1995	95-35	Citywide	\$200 per daily trip end based on the inclusion of freeway improvements
17-June-1996	96-57	Citywide	\$200 per daily trip end based on the inclusion of freeway improvements
20-January-1997	97-15	Newport Bl. Spec. Plan Area	Incentive program for developments in Newport Boulevard Specific Plan Area Trip fees range from \$33 to \$108 per ADT based on project-related conditions.
16-June-1997	97-51	Citywide	\$150 per daily trip end based on the inclusion of freeway improvements
15-June-1998	98-64	Citywide	\$150 per daily trip end based on the inclusion of freeway improvements
4-January-1999	99-2	Citywide	Incentive program for first 100 trips 0-25 ADT - \$0 25-50 ADT - \$50 50-75 ADT - \$75 75-100 ADT - \$100 >100 ADT - \$150
7-June-1999	99-35	Citywide	\$149 per daily trip end based on inclusion of freeway improvements
7-June-1999	99-36	Citywide	Incentive program for the first 100 trips
19-June-2000	00-52	District 1 District 2	\$195 per daily trip end (areas north of I-405 and SR-73 Freeways) and incentive program for the first 100 trips \$149 per daily trip end (areas south of I-405 and SR-73 Freeways) and incentive program for the first 100 trips Fees based on inclusion of freeway improvements
4-June-2001	01-34	District 1 District 2	\$195 per daily trip end (areas north of I-405 and SR-73 Freeways) and incentive program for the first 100 trips \$149 per daily trip end (areas south of I-405 and SR-73 Freeways) and incentive program for the first 100 trips Fees based on inclusion of freeway improvements
15-April-2002	02-27	Citywide	Traffic Impact Fee Study Update \$177 per daily trip end and incentive program for the first 100 trips of the entire site
6-October-2003	03-62	Citywide	\$177 per daily trip end and incentive program for the first 100 trips of the entire site

CITY OF COSTA MESA
CHRONOLOGY OF TRAFFIC IMPACT FEE ACTIONS

Date Adopted	Resolution Number	Area of Benefit	Applicable Fees
4-October-2004	04-59	Citywide	\$177 per daily trip end and incentive program for the first 100 trips of the entire site Suspension of incentive program for Newport Boulevard Specific Plan Area
20-September-2005	05-70	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
17-October-2006	06-85	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
16-October-2007	07-77	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site Exemption of preschool and daycare facilities from traffic impact fee program (consider as part of exempt school facilities)
21-October-2008	08-81	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
20-October-2009	09-67	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
19-October-2010	10-70	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
18-October-2011	11-42	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
20-November-2012	12-73	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
11-November-2013	13-54	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
18-November-2014	14-73	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
1-December-2015	15-66	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
3-January-2017	17-02	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
21-November-2017	17-76	Citywide	\$181 per daily trip end and incentive program for the first 100 trips of the entire site
14-November-2018	18-79	Citywide	\$235 per daily trip end, up to 10% for signal synchronization projects, and up to 5% for active transportation projects. Terminate incentive program for new developments on an incremental basis for the first 100 trips.
17-December-2019	19-83	Citywide	\$235 per daily trip end, inclusion of ATP projects, up to 10% for signal synchronization projects, and no limitation on the amount of traffic impact fees allocated toward active transportation projects. Provide 5% reduction in ADT development trips for active transportation project benefits and may provide an additional 5% reduction in ADT development trips for a development project that proposes to implement active transportation improvements beyond those which would ordinarily be required by the City as a condition of approval for such development project.
17-November-2020	20-60	Citywide	\$235 per daily trip end, inclusion of ATP projects, up to 10% for signal synchronization projects. Provide 5% reduction in ADT development trips for active transportation project benefits and may provide an additional 5% reduction in ADT development trips for a development project that proposes to implement active transportation improvements beyond those which would ordinarily be required by the City as condition of approval.

**CITY OF COSTA MESA
CITYWIDE TRAFFIC IMPACT FEE (TIF) ACCOUNT**

Fund Balance as of June 30, 2021

FISCAL YEAR 2020-2021

Amount of Traffic Impact Fee Per Average Daily Trip	\$235		
Beginning Fund Balance July 1, 2020	\$4,690,059		
1. Revenues			
Traffic Impact Fees	\$1,212,500		
Investment Earnings	64,666		
GASB 31 Fair Market Value adjustment on Investment	(74,161)		
Misc / Other Reimbursement	\$1,855		
Revenue Subtotal	\$1,204,859		
2. Expenditures	\$404,704		
			Percent of project funded by TIF in FY 20-21
Newport Boulevard Improvements (19th to 17th) - Design	\$5,731	FY 20-21	1.0%
Adams Avenue Bicycle Facility Project - Design	\$5,715	FY 20-21	4.3%
Bicycle Racks Citywide	\$35,032	FY 20-21	23.4%
Class II and III Bicycle Projects	\$1,805	FY 20-21	0.6%
Merrimac Way Active Transportation Improvements	\$181,847	FY 20-21	9.0%
Fairview Traffic Signal Synchronization	\$174,575	FY 20-21	18.4%
3. Refunds	\$0		
Amount of funds expended or uncommitted after 5 years	\$0		
4. Administrative Costs	\$0		
5. Fund Balance as of June 30, 2021	\$5,490,214		
6. Projects Current and Future Appropriations	\$2,749,116		
Newport Boulevard Improvements (19th to 17th)			
West 17th Street/Active Transportation Improvements			
Bicycle Racks Citywide			
Class II and III Bicycle Projects			
Adams at Pinecreek Intersection Improvements			
Fairview Traffic Signal Synchronization			
Bear Traffic Signal Synchronization			
Merrimac Way Active Transportation Improvements			
Mesa Del Mar Multimodal Access			
Baker/ Placentia/ 19th/ Victoria TSSP			
Adams Avenue Bicycle Facility Project - Design			
Bicycle/ Pedestrian Infrastructure Improvement			
Mesa Drive / Santa Ana Ave Bicycle Facility Improvement			
Mesa Verde Drive East/ Peterson Place Class II Bicycle Facility			
Randolph Ave Parking and Pedestrian Improvement			
West 18th & Wilson Crosswalks			



CITY COUNCIL AGENDA REPORT

MEETING DATE: August 4, 2015

ITEM NUMBER: PH-1

SUBJECT: PROPOSED 2015 UPDATE TO THE PARK IN-LIEU IMPACT FEES (PARK FEES)

DATE: JULY 29, 2015

PRESENTATION BY: DANIEL INLOES, AICP, ASSOCIATE PLANNER

FOR FURTHER INFORMATION CONTACT: DANIEL INLOES (714) 754-5088
daniel.inloes@costamesaca.gov

RECOMMENDATIONS:

Adopt attached Ordinance and Resolution to:

- 1) Give first reading to the Ordinance to institute new park fees for apartment projects (multi-family residences, renter);
- 2) Adopt resolution to update the City's parkland impact fees for residential subdivisions and apartments, including the corresponding formula.

--OR--

- 1) Provide direction to staff regarding the park fee update and continue the meeting to a future specified date.

Development Type	Current Fees	Fees Based on Existing Formula	Park Fee Alternative 1: Park Expenditure Trends: Based on 10-year Historic Trends in Park Expenditures	Park Fee Alternative 2: Costa Mesa Housing Trends: Based on 10-year Historic Trends in Housing Development
Single-Family Residence	\$13,572	\$29,713.50	\$11,285	\$18,006
Condominiums - Multi-Family Residence, Owner	\$13,829	\$23,110.50	\$8,777	\$14,005
Apartments less than 50 units - Multi-Family Residence, Renter	No Fee	No Fee	\$10,598	\$14,005
Apartments 50 units or more - Multi-Family Residence, Renter	No Fee	No Fee	\$10,598	\$5,057

BACKGROUND:

The proposal is an update to the City of Costa Mesa's park in-lieu impact fee, ("park fee"). California Government Code Section 66477, the Quimby Act, and section 66000 authorizes the legislative body of the City to allow the payment of park fees for recreation purposes for these specified residential projects. These new fees will ensure a fair fee assessment per development type while also reflecting the current cost of parkland acquisition and construction for:

- Single Family Residences;
- Multi-family Residences (Owner);
- Apartments 50 units or less;
- Apartments 50 units or more.

Quimby Act of 1975

The municipal responsibility to set aside parkland and open space for its residents is additionally burdened by future development, and therefore Cities have been authorized since the passage of the 1975 Quimby Act to pass ordinances that require developers to set aside land, donate conservation easements, or pay fees for park acquisition or improvements.

AB 1600 of 1987

This bill allowed for development impact fees to defray all or a portion of the cost of public facilities related to new development projects. Since apartment developments do not require a subdivision, new fees for apartments are not secured by Quimby; however, apartments do place additional burdens on the City's public open space. The City has a General Plan goal of 4.26 acres of park space per 1,000 people; therefore, apartments may be assessed a fair and proportionate park fee through AB 1600. It is this additional fee and its methodology which requires an ordinance to be established.

Current Park Fees

The current park fees were adopted in May of 2005 and only apply to residential projects requiring a subdivision and do not apply to apartments.

The City Council approved the park fees for new residential subdivisions at \$13,572 for single family homes per unit and \$13,829 for multi-family homes per unit. The current park fee only applies to new subdivided residential projects and not apartments.

Existing 2015 Park Fees	
Single Family Residence per Unit	\$13,572
Multi-Family Residence per Unit	\$13,829

Using the current park fees formula with the updated cost of land, people per household averages, and our general plan goal, the fees would be \$29,713.50 for a single-family residence, \$23,110.50 for a multi-family owner residence, and no fee for apartments since they are not subdivided. These fees would be thousands of dollars over any other

park impact fee in the county and would hamper immediate development within the City. Due to this alternative park fees and their associated methodology was investigated.

The Planning Commission provided feedback on Park Fee Alternative #1. Subsequent to the Planning Commission meeting, staff further developed Park Fee Alternative #2 to address some issues that were raised at the meeting. (Attachment 4, PC staff report and minutes).

ANALYSIS:

Objectives of Updated Park Fee Program

Following are the objectives of the park fees update:

- To establish apartment categories. The park fees would apply to all major forms of residential development within the City including apartments.
- To update the persons per household factor based on current demographic information.
- To update the per-unit-cost per development type.
- To update the parkland acquisition cost and construction cost based on historic park funding trends, development trends within the City, and future park acquisition goals.

Types of Residential Developments Subject to Park Fee

The updated fee program is intended to account for all types of new residential development, including apartments.

Residential Development Subject to Park Fees

Residential Projects subject To Park Impact Fees	Residential Projects exempt from Park Impact Fees
• New common-interest condominium • New single-family “detached” subdivisions • New townhouse “attached” subdivisions • New condominiums in mixed-use developments • New condo conversions increasing units • <u>New apartments*</u>	• Conversion of apartments to condominiums without changing the unit count.** • Granny units and accessory apartments • Single-family home remodels or additions • Multi-family remodels or additions

*Note: A new category for Apartments is being proposed in the Updated Park Impact Fee Program.

**Note: Additional units will be subject to a fee for new apartment conversions resulting in an increase in units.

Eligible Expenditures for the Park Fee

All park fees for all types of residential development will meet the same Quimby Act requirement as to the eligible expenditures of park fee funds. The fees will be used only for the purpose of developing new or rehabilitating existing neighborhood or community parks or potential school district properties based on a specified formula that meet the State Law requirements.

New Methodology to be Adopted

State law requires that new parkland impact fees be adopted and that the fee schedule be set pursuant to Council conducting a public hearing and approving an ordinance. A

general methodology for calculating park fees is described in the Quimby Act, but AB 1600 also allows Cities to adopt their own methodology granted that; the purpose and use of the fee is identified, there is a reasonable relationship between the fee's use and the type of development on which the fee is to be imposed, there is a reasonable relationship between the need of the public facility and the type of development project on which the fee is imposed, the fee is proportionate to the cost of the associated use. Within Article 5 of Chapter XI of Title 13 of the City's Municipal Code the procedures for obtaining park land dedications or assessing and collecting park fees are established. Because this section strictly applies to new residential subdivisions and not apartments, an ordinance is required to be adopted to allow application of park fees to rental projects and a resolution to institute all updated and established fees.

PROPOSED PARK FEES ALTERNATIVES

David Taussig & Associates, Inc. and Stanley R. Hoffman Associates were contracted by the City to assist in the park fee update process and assist in developing park impact fees that would meet AB 1600 benefit requirements. The following summary table provides park fee alternatives for Council to consider in the adoption of new park fees:

Development Type	Existing Fees	Fees with Updated Rates but same Quimby Formula	Park Fee Alternative 1: Park Expenditure Trends: Based on 10-year Historic Trends in Park Expenditures	Park Fee Alternative 2: Costa Mesa Housing Trends: Based on 10-year Historic Trends in Housing Development
Single-Family Residence	\$13,572	\$29,713.50	\$11,285	\$18,006
Condominiums - Multi-Family Residence, Owner	\$13,829	\$23,110.50	\$8,777	\$14,005
Apartments less than 50 units - Multi-Family Residence, Renter	No Fee	No Fee	\$10,598	\$14,005
Apartments 50 units or more - Multi-Family Residence, Renter	No Fee	No Fee	\$10,598	\$5,057

PARK FEE ALTERNATIVE #1: Based on Historic Park Fee Expenditures

**Park Fee Methodology
Based on Park Fee Expenditure Trends Over the past 10 years**

Cost per Acre = $390,000 + .2238(2,500,000) = 949,500$					
Single-Family Residential					
$\frac{949500}{1}$	cost acre	$\frac{4.26}{1000}$	acre people	$\frac{2.79}{1}$	people unit
					\$11,285.19 per unit
Multi-Family Owner Residential					
$\frac{949500}{1}$	cost acre	$\frac{4.26}{1000}$	acre people	$\frac{2.17}{1}$	people unit
					\$8,777.37 per unit
Apartments					
$\frac{949500}{1}$	cost acre	$\frac{4.26}{1000}$	acre people	$\frac{2.62}{1}$	people unit
					\$10,597.56 per unit

Methodology for Per Unit Cost

- **Park land-to-population ratio established by 2000 General Plan.** General Plan Policy OSR-1A. 1 establishes the park land-to-population ratio of 4.26 acres per 1,000 people. Any adjustment to this rate requires a General Plan amendment.
- **Population density standard based on the US Census.** Since the last update, demographic trends resulted in changes in the average household size of the various types of residential units within the City. This data was gathered by Stanley Hoffman & Associates from the 2013 ACS 5-year estimates from the US Census.

People Per Household by Dwelling Type			
Type of Dwelling	Number of Units	Number of People	People Per Household
Single Family	19,861	55,491	2.79
Multi-Family Owner	1,138	2,469	2.17
Multi-Family Renter	18,349	48,125	2.62

- **Park land acquisition & construction costs based on 2014 study by David Taussig & Associates, Inc.** For purposes of determining land costs an analysis of multiple park acquisitions and developments within our region were gathered and assessed to determine the fair market value of park land acquisition and construction. This methodology was utilized because there were few recent comparable land sales to analyze specifically in regards to infill parks which are the most likely park acquisitions the City can make moving forward.

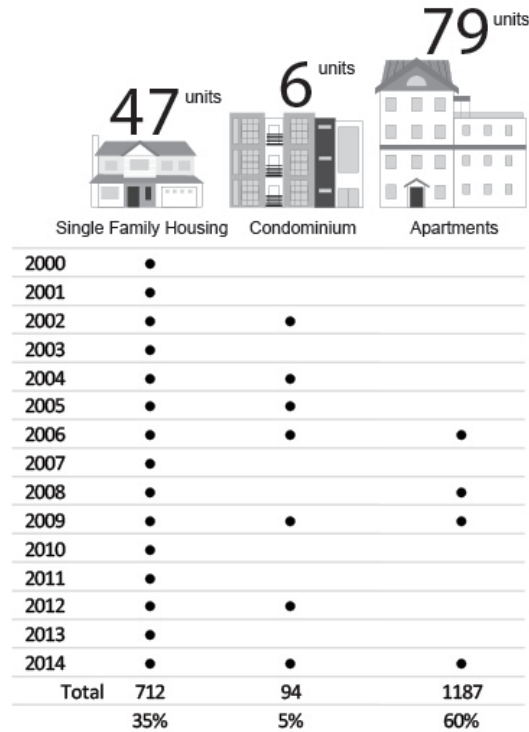
David Taussig & Associates, Inc. reviewed land sales price data for eight (8) properties sold within the City since 2003. The weighted average sales price based on such review was \$2,500,000.00 per acre, whereas the cost of construction or upgrades on existing park space is estimated at \$390,000.00. The total cost of acquiring and constructing park space would be \$2,890,000.00 per acre.

Park Fee Expenditures in the Past 10 (Years 2005 – 2015)

Description	Date	Adjusted For Inflation (2014 Dollars)	Total Acres	Construction	Land Acquisition
Fairview, stairs and signage	2010	\$488,550	2.00	\$488,549.73	
Fairview, constructed wetlands	2013	\$5,589,220	45.00	\$5,589,220.33	
Joann Street Bicycle Trail	2011	\$1,262,934	2.00	\$1,262,934.40	
Wilson Park, picnic shelter	2014	\$45,000	0.05	\$45,000.00	
Del Mesa Park, new picnic shelter	2014	\$45,000	0.05	\$45,000.00	
Brentwood Park	2011	\$3,262,581	1.20		\$3,262,580.52
Brentwood Park Upgrades	2011	\$315,734	1.20	\$315,733.60	
Volcom Skate Park Dev	2006	\$1,761,429	1.25	\$1,761,428.57	
Angels Playground	2008	\$1,869,232	2.00	\$1,869,231.73	
Lions Park/Davis Field Baseball	2011	\$526,223	2.50	\$526,222.66	
Bark Park	2008	\$208,914	2.00	\$208,914.13	
Shalimar Park, new playground	2014	\$120,000	0.16	\$120,000.00	
Total		\$15,494,816	59.41	\$12,232,235.15	\$3,262,580.52

Due to the lack of land and priority to upgrading existing parks only 1.2 acres of land was acquired over the past ten years. This represents 22.38% of the 5.36 possible acres the City could have acquired. Therefore, having a cost per acre which includes the full cost of construction and only 22.38% of land acquisition is a reasonable approach. This comes out to \$949,500.00 per acre.

Average Units Developed Per Year
Based on Actual Units Developed over the last 15 years.



Source: CDR and DOF data from 2000 to 2015.

PARK FEE ALTERNATIVE #2: Based on Historic Costa Mesa Housing Trends

Park Fee Methodology

Based on Historic Housing Development Trends Over the past 10 years

Cost per Acre = 390,000 + .45 (2,500,000) = 1,515,000

Single-Family Residential

<u>1,515,000</u> cost	<u>4.26</u> acre	<u>2.79</u> people	
1 acre	1,000 people	1 unit	\$18,006.38

Multi-Family Owner Residential and Small Apartments

<u>1,515,000</u> cost	<u>4.26</u> acre	<u>2.17</u> people	
1 acre	1,000 people	1 unit	\$14,005.96

Cost per Acre = 390,000 + .11 (2,500,000) = 669,750

Large Apartment Projects

<u>669,750</u> cost	<u>4.26</u> acre	Uses an average people	
1 acre	1,000 people	per unit of 1.7723 for	
		large apartments.*	\$5,056.61

*This average was calculated by finding average people per unit for various apartment sizes and calculating one rate by using the average proportions for various apartments sizes in a typical development with 50 units or more.

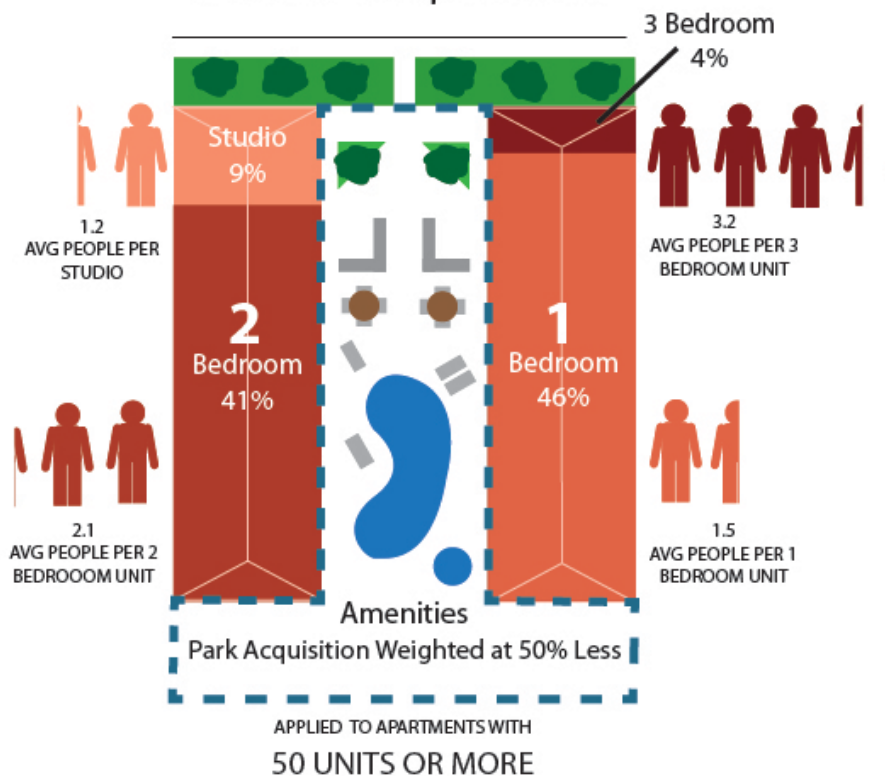
Previous park expenditures were hampered by only receiving funds from 40% of the overall units developed in the last 15 years and therefore limited the potential

projects that could be developed by this fund. This is shown in the infographic above. This graphic also confirms that if apartments are paying park fees in the future the potential fund overall will grow and perhaps will be sufficient for more opportunities for acquisition in the future. This alternative proposes to increase the weighting of the cost of acquisition to 45% for single family residences and multi-family projects. This provides further funding for park upgrades and acquisition but does not raise the fee much higher than the existing fees. Some of the high-end apartment projects (entitled or completed) are listed below.

Apartment Projects

Name	Address	Number of Units
Blue Sol (Occupied)	421 Bernard Street	113
Symphony Apartments	585 and 595 Anton Boulevard	393
Baker Street Apartments	125 Baker Street	240
Anton Midrise Residential	580 Anton Boulevard	250
Azulon (Occupied)	1500 Mesa Verde Drive	230

Data Used to Calculate the \$5,056.61 Park Fee for Apartments



Source: Percent Share calculated from data collected on 60 apartment complexes with 50 units or more within the City of Costa Mesa: Data from CoStar. Average people per unit type gathered from case study of recent apartment development in the City with less than 1 percent vacancy and more than 100 units: Blue Sol.

The threshold of 50 units was taken from the Zoning Code as a starting point for discussion. The Zoning Code already recognizes 50 units as a threshold for large developments. To account for the common space amenities and the complexities of

person per household ratios within apartments the information below was used to create an apartment park fee, for developments with a significant number of units, of \$5,056.61.

COMPARISON OF PARK FEES IN OTHER OC CITIES

The following table indicates park impact fees of other Orange County cities. Because cities vary in their approach to calculating park impact fees, and demographic and housing characteristics also differ from city to city, the following table is provided for reference purposes only and is not intended to be a direct comparison.

City	Park Fee (Per Unit)
City of Laguna Beach	\$4,580
City of Santa Ana	Varies; up to \$4,823
City of Seal Beach	\$5,000 to \$10,000
City of Anaheim	\$5,388 to \$6,936
City of Garden Grove	\$5,500
City of Tustin	\$5,931 to \$6,386
City of San Clemente	\$6,823
City of Newport Beach	Varies; \$6,894 to \$26,125
City of Brea	\$6,945
City of Fountain Valley	\$7,421
City of Laguna Hills	\$7,700
City of Orange	\$8,894
City of Seal Beach	\$10,000
City of Huntington Beach	No Subdivision: Detached \$11,540 Attached \$8,576 Subdivision: Detached \$17,857 Attached \$13,385
City of San Juan Capistrano	\$11,600
City of Irvine	Fee varies based on acreage value of land to be dedicated. May be as low as \$1,150 per acre of land dedication.
City of Costa Mesa	\$13,572 to \$13,879

Automatic Adjustment of Park Fee based on Consumer Price Index Every Year

The current park fees have not been adjusted for ten years. The consultants propose that the park fee be increased on July 1st of each year, starting July 1, 2016, based on the change to the Los Angeles – Riverside-Orange County Consumer Price Index in comparison to the previous calendar year. This would adjust for escalation and allow for the City to update the park fees in 5 years as opposed to biennially as stated in the code.

New Park Fees to be applied for Pending Entitlement Projects

State law requires that the new fees shall not go into effect until **after 60 days** of Council adoption of the resolution. Park fees may be applied to all pending projects, including

rental projects. Staff recommends that the new park impact fees shall apply to any live/work or residential development project which meets any of the following criteria:

- (1) Any discretionary application for a live/work or residential development project which was approved by the final decision making body after the effective date of the resolution;
OR
- (2) Any pending ministerial application for a residential development project which was not subject to discretionary review and which was submitted into plan check after the effective date of the resolution; OR
- (3) Any previously-approved live/work or residential development project which has expired after the effective date of this resolution.

Note: If park fees are reduced, Council would need to direct staff to modify the resolution to reflect whether or not reduced fees will be applied retroactively to previously-approved projects.

LEGAL REVIEW:

The City Attorney's office has approved the attached resolution as to form.

ALTERNATIVES:

The City Council may select one of the following actions with the Park Fees;

- *Existing Fees:* Keep current park fees; however, Council may wish to add new park fees for apartments as identified in Alt #1 or Alt #2.
- *Park Fee Alternative #1:* Adopt this alternative based on trends in park fee expenditures.
- *Park Fee Alternative #2:* Adopt this alternative based on Costa Mesa housing trends.
- *Continue hearing:* Provide direction to staff to research and identify other alternatives.

The resolution would be modified to include the selected alternative and park fees.

Development Type	Existing Fees	Fees with Current Rates but same Quimby Formula	Park Fee Alternative 1: Park Expenditure Trends: Based on 10-year Historic Trends in Park Expenditures	Park Fee Alternative 2: Costa Mesa Housing Trends: Based on 10-year Historic Trends in Housing Development
Single-Family Residence	\$13,572	\$29,713.50	\$11,285	\$18,006
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Apartments less than 50 units - Multi-Family Residence, Renter	No Fee	No Fee	\$10,598	\$14,005
Apartments 50 units or more - Multi-Family Residence, Renter	No Fee	No Fee	\$10,598	\$5,057

CONCLUSION:

The City's park fees have not been updated for over ten years. Council may select a methodology for calculating park fees and adopt new park fees. Important note: Staff recommends that the park fees be updated automatically every year based on the consumer price index and that the new park fees be applied to pending/future development projects that have not received zoning entitlements to date.

DANIEL INLOES, AICP
Associate Planner
Services

GARY ARMSTRONG, AICP
Economic Development & Development
Director / Deputy CEO

Attachments: 1. [Draft Council Ordinance](#)
2. [Draft Council Resolution](#)
3. [Redlined Version of Proposed Ordinance Changes](#)
4. [Minutes from Planning Commission Meeting](#)
5. [Justification Study by David Taussig & associates, Inc.](#)
6. [Letter of Support from BIA](#)

Distribution: Director of Economic & Development/Deputy CEO
Assistant Development Services Director
Sr. Deputy City Attorney
Public Services Director
City Engineer
Transportation Services Manager
Fire Protection Analyst
File (2)

ORDINANCE NO. 15-

AN ORDINANCE OF THE CITY COUNCIL OF THE CITY OF COSTA MESA, CALIFORNIA ADOPTING CODE AMENDMENT CO-15-04, AMENDING TITLE 13, CHAPTER XI, ARTICLE 5 RELATING TO THE ADOPTION OF NEW PARK IMPACT FEES FOR MULTI-FAMILY RESIDENTIAL RENTER DEVELOPMENT (APARTMENTS) IN COSTA MESA

THE CITY COUNCIL OF THE CITY OF COSTA MESA FINDS AND DECLARES AS FOLLOWS:

WHEREAS, Objective OSR-1A.1 of the Costa Mesa 2000 General Plan establishes the park land-to-population ratio of 4.26 acres for every 1,000 residents.

WHEREAS, California Government Code Section 66477 authorizes the legislative body of a City to require the payment of fees in-lieu of the dedication of land for park and recreation purposes.

WHEREAS, California Government Code Section 66000 authorizes the legislative body of a City to require the payment of development impact fees to defray all or a portion of the cost of public facilities related to a type of development as long as the benefit requirements are met.

WHEREAS, Chapter IX, Subdivisions, of Title 13 of the Costa Mesa Municipal Code sets forth provisions relating to the dedication of land and collection of park impact fees for park and recreation purposes on single family and multiple family residential development which are subdivided.

WHEREAS, the City Council reviewed the methodology related to calculating the park impact fees, including a review of historic parkland expenditures, review of historic housing trends, and consideration of population density standards.

WHEREAS, a duly noticed public hearing was held by the City Council on August 4, 2015 where public testimony was received for and against the fee methodology, amended park impact fees, and ordinance.

WHEREAS, in accordance with the California Environmental Quality Act (CEQA), the CEQA Guidelines, and the City's environmental procedures, the City Council finds that the adoption of this ordinance is covered by CEQA General Rule Exemption [Section 15061(b)(3)] which exempts activities that can be seen with certainty to have no possibility for causing a significant effect on the environment. A significant effect is defined as, "a substantial, or potentially substantial, adverse change in the physical conditions within the area," and the adoption of this Ordinance is therefore not subject to CEQA.

NOW, THEREFORE, BE IT RESOLVED that the City Council of the City of Costa Mesa hereby finds and determines that additional park fees shall be collected from all projects which meet Government Code Section 66477 and for apartment projects in the City which do not require a residential subdivision (i.e. multi-family residences; renter) by applying development impact fees for park development and acquisition purposes based on California Government Code Section 66000.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF COSTA MESA DOES HEREBY ORDAIN AS FOLLOWS:

SECTION 1: Title 13 of the Costa Mesa Municipal Code is hereby amended as described below.

A. Title 13, Chapter XI, Article 5, Section 13-250 is hereby amended to as follows:

"Sec. 13-250. PURPOSE

The purpose of this article is to establish the procedures for requiring park and recreational facilities in conjunction with residential developments ("PARK FEES"). Sections 13-251 through 13-261 relate to residential developments which require a subdivision and which shall be subject to State Government Code Section 66410 et seq. Section 13-261.1 through Section 262.8 refer to multi-family residential developments for renters ("apartments") which shall be subject to State Government Code Section 66000 et seq."

B. Title 13, Chapter XI, Article 5, Section 13-250.1 is hereby added as follows:

“Sec. 13-250.1 SINGLE-FAMILY AND MULTI-FAMILY RESIDENTIAL DEVELOPMENT WITH SUBDIVISION”

C. Title 13, Chapter XI, Article 5, Section 13-256 (h) is hereby amended to as follows:

“(h) In order that the fees levied pursuant to subsection (a) keep pace with the cost of land, the fee schedule described in subsection (a) shall be periodically adjusted on a biennial basis, or as specified by City Council by resolution. The fee schedule shall be adjusted using the methodology described in subsection (a) for establishing the fee schedule.”

D. Title 13, Chapter XI, Article 5, is hereby amended to include the following new sections:

“Sec. 13-261.1 MULTI-FAMILY RESIDENTIAL DEVELOPMENT FOR RENTERS (APARTMENTS)”

Sec. 13-261.2 REQUIREMENT

Every residential developer who creates a multi-family residential development for renter households (“apartments”) shall be required to remit a park fee as established in this section for the purpose of providing park and recreational facilities to serve the future residents of the apartments.

Sec. 13-261.3. APPLICATION

The provisions of this article shall apply to all residential developments, which are not subdivided and subject to State Government Code Section 66000 et. seq.

Sec. 13-261.4 RELATION OF LAND REQUIRED TO POPULATION DENSITY

Consistent with the General Plan, it is hereby found and determined that the public interest, convenience, health, welfare and safety require that 4.26 acres of property for each 1,000 persons residing within the City be devoted to public park and recreational purposes.

Sec. 13-261.5 POPULATION DENSITY

For the purposes of this section, population density shall be established by resolution of the City Council, utilizing the following classifications:

- (a) **Apartments** Any building (or portion thereof) or collection of buildings which provide two or more self-contained dwelling units not designated for separate ownership.
- (b) **Small Multiple-Family residential, renter.** Apartments and other multiple-family residential developments, with less than 50 units, where the units are for rent and are not legally subdivided for homeownership.

- (c) **Large Multiple-Family residential, renter.** Apartments and other multiple-family residential developments, with 50 units or more, where the units are for rent and are not legally subdivided for homeownership.
- (d) **Determination of the number of dwelling units.** The total number of dwelling units shall be determined by the number of units proposed for construction. When the actual number of units is unknown, the number of the units shall be based on the maximum number of units which are permitted by the General Plan for the property at the time the tentative or parcel map is filed with the City.

Sec. 13-261.6 PARK FEE FORMULA FOR APARTMENTS

The amount of park fee required pursuant to this section shall be based on the following formulas:

For Apartment projects with less than 50 units:

Use the fee assigned to multi-family subdivided developments in Sec. 13-255

For Apartment projects with 50 units or more:

$$\text{FEE} = 4.26 (\text{D.F.} \times \text{D.U.} \times \text{P.C.}) / 1,000$$

Definition of terms:

FEE – The per unit cost to be appraised for fee payment

4.26- Number of acres per 1000 persons.

A.D.F. - Apartment density factor obtained from Section 13-261.5 POPULATION DENSITY as applicable to the proposed development.

D.U. - Number of dwelling units.

P.C. Proportionate cost is the sum of the weighted cost of park land acquisition per acre of land and cost of construction per acre of land.

Sec. 13-261.7. AMOUNT OF PARK FEE FOR APARTMENTS

(a) The park impact fee for apartments must meet all benefit requirements for State Government Code Section 66000 as follows:

- (1) Identifies the purpose of the fee;
- (2) Identifies the use to which the fee is applied;

- (3) Shows a reasonable relationship between the use of the fee and the type of development project on which the fee is imposed;
 - (4) Demonstrates a reasonable relationship between the need for the public facilities and the type of development projects on which the fee is imposed; and
 - (5) Demonstrates a reasonable relationship between the amount of the fee and the cost of the public facilities or portion of the public facilities attributable to the development on which the fee is imposed.
- (b) Nothing in this section shall prohibit the dedication and acceptance of land for park and recreation purposes where the developer proposes the dedication voluntarily and the land is accepted by the City Council at their discretion. When land dedication is provided, it shall be accomplished in accordance with the provisions of the Subdivision Map Act and applicable local ordinances.
- (c) If the developer objects to the amount of the fee pursuant to this section, an appeal may be made to the City Council by filing an application of appeal with the City Clerk and payment of an appeal processing fee as determined by the City Council. A notice of appeal shall be filed with the City Clerk within 7 days of payment of the fee. The developer shall have the burden of proof in contesting the amount of the fee. Within 30 days of receipt of the notice of appeal, a public hearing on the appeal shall be held by the City Council, and the decision shall be final and conclusive in determining the amount of the fee.
- (d) The fee shall be paid to the Development Services Department and shall be deposited and held in appropriate trust accounts and may be expended therefrom only for the purpose of developing new or rehabilitating existing neighborhood or community park or recreation facilities to serve the development on which the fee is charged. Upon receipt of the fee, the Development Services Department shall issue a receipt, and the receipt shall be presented as proof of payment of the fee prior to the issuance of any permit for buildings and structures pursuant to this Zoning Code.
- (e) In order that the fees levied pursuant to subsection (a) keep pace with the cost of land, the fee schedule described in subsection (a) shall be periodically adjusted on a biennial basis, or as specified by City Council by resolution. The fee schedule shall be adjusted using the methodology described in subsection (a) for establishing the fee schedule.
- (f) Upon application to the Development Services Department, the payment of the fee may be deferred where the department makes the following findings:
- (1) The developer has entered into a fee agreement with written evidence of adequate security to assure payment of the fee at a date prior to the issuance of a certificate of occupancy, and in a form approved by the City Attorney; and

- (2) The deferral of the fee shall not adversely impact the development of new or the rehabilitation of existing neighborhood or community park or recreational facilities to serve the development.

Sec. 13-261.8 PROCEDURE, CREDIT

- (a) **Procedure.** When fees are required, the same shall be deposited with the Development Services Department prior to issuance of building permits.
- (b) **Credit.** Credit shall be granted for dwelling units demolished as a part of the development. This credit shall be limited to the number of units existing at the time of the approval of the project and shall not be transferred to other developments. A second dwelling unit legally established in conjunction with and subordinate to a primary dwelling unit in an R1 zone (i.e. accessory apartment, granny unit, granny flat, or in-law apartment) shall not be subject to the park fee."

SECTION 2: INCONSISTENCIES. Any provision of the Costa Mesa Municipal Code or appendices thereto inconsistent with the provisions of this ordinance, to the extent of such inconsistencies and or further, is hereby repealed or modified to the extent necessary to affect the provisions of this ordinance.

SECTION 3: SEVERABILITY. If any provision of clause of this ordinance or the application thereof to any person or circumstances is held to be unconstitutional or otherwise invalid by any court of competent jurisdiction, such invalidity shall not affect other provisions or clauses or applications of this ordinance which can be implemented without the invalid provision, clause or application; and to this end, the provisions of this ordinance are declared to be severable.

SECTION 4: PUBLICATION. This Ordinance shall take effect and be in full force thirty (30) days from and after the passage thereof, and prior to the expiration of fifteen (15) days from its passage shall be published once in the ORANGE COAST DAILY PILOT, a newspaper of general circulation, printed and published in the City of Costa Mesa or, in the alternative, the City Clerk may cause to be published a summary of this Ordinance and certified copy of the text of this Ordinance shall be posted in the office of the City Clerk five (5) days prior to the date of adoption of this Ordinance, and within fifteen (15) days after adoption, the City Clerk shall cause to be published the aforementioned summary and shall post in the office of the City Clerk a certified copy of this Ordinance together with the names and member of the City Council voting for and against the same.

PASSED AND ADOPTED this 4th day of August 2015.

STEPHEN M. MENSINGER

Mayor of the City of Costa Mesa

STATE OF CALIFORNIA)

I, BRENDA GREEN, City Clerk and ex-officio Clerk of the City Council of the City of Costa Mesa, hereby certify that the above foregoing Ordinance No. 15-___ as introduced and considered section by section at a regular meeting of said City Council held on the ___ day of _____, 2015, and thereafter passed and adopted as a whole at the regular meeting of said City Council held on the ___ day of _____, 2015, by the following roll call vote:

NOES:

IN WITNESS WHEREOF, I have hereby set my hand and affixed the Seal of the City of Costa Mesa this ____ day of _____, 2015.

RESOLUTION NO. 05-

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF COSTA MESA, CALIFORNIA, TO IDENTIFY AND DETERMINE A METHODOLOGY FOR THE CALCULATION OF PARKLAND IMPACT FEES AND TO ADOPT NEW PARK IMPACT FEES FOR NEW SINGLE-FAMILY AND MULTI-FAMILY RESIDENTIAL DEVELOPMENT, INCLUDING APARTMENTS, IN COSTA MESA.

THE CITY COUNCIL OF THE CITY OF COSTA MESA FINDS AND DECLARES AS FOLLOWS:

WHEREAS, California Government Code Section 66477 authorizes the legislative body of a City to require the payment of fees in-lieu of the dedication of land for park and recreation purposes.

WHEREAS, Objective OSR-1A.1 of the Costa Mesa 2000 General Plan establishes the park land-to-population ratio of 4.26 acres for every 1,000 residents.

WHEREAS, Chapter IX, Subdivisions, of Title 13 of the Costa Mesa Municipal Code sets forth provisions relating to the dedication of land and collection of park impact fees for park and recreation purposes.

WHEREAS, Article 5, Section 13-256, Amount of fee in lieu of land dedication, of Title 13 of the Costa Mesa establishes the methodology for calculating parkland in-lieu fees. Based on this methodology, parkland in-lieu fees would be in excess of \$23,000 per unit for single-family and multi-family residential development for specified residential subdivisions.

WHEREAS, State Law allows Council to adopt reduced parkland impact fees.

WHEREAS, the City Council reviewed the methodology related to calculating the park impact fees, including a review of historic parkland expenditures, review of historic housing trends, and consideration of population density standards.

WHEREAS, a duly noticed public hearing was held by the City Council on July 21, 2015 where public testimony was received for and against the fee methodology and amended park impact fees.

WHEREAS, Any provision of the Costa Mesa Municipal Code or appendices thereto inconsistent with the provisions of this ordinance, to the extent of such inconsistencies and or further, is hereby repealed or modified to the extent necessary to affect the provisions of this ordinance.

WHEREAS, in accordance with the California Environmental Quality Act (CEQA), the CEQA Guidelines, and the City's environmental procedures, the City Council finds that the adoption of this ordinance is covered by CEQA General Rule Exemption [Section 15061(b)(3)] which exempts activities that can be seen with certainty to have no possibility for causing a significant effect on the environment. A significant effect is defined as, "a substantial, or potentially substantial, adverse change in the physical conditions within the area," and the adoption of this Ordinance is therefore not subject to CEQA.

WHEREAS, If any provision of clause of this ordinance or the application thereof to any person or circumstances is held to be unconstitutional or otherwise invalid by any court of competent jurisdiction, such invalidity shall not affect other provisions or clauses or applications of this ordinance which can be implemented without the invalid provision, clause or application; and to this end, the provisions of this ordinance are declared to be severable.

BE IT FURTHER RESOLVED that the new park impact fees shall apply to: (1) Any live/work or residential development pending ministerial or discretionary application which is filed on or after the effective day of the resolution or (2) any previously-approved live/work or residential project which has an expiration date on or after the effective date of the resolution regardless if a time extension is approved.

NOW, THEREFORE, BE IT RESOLVED that the City Council of the City of Costa Mesa hereby finds and determines that the park impact fees shall be calculated based on the

methodology described in Exhibit A. This methodology also includes the calculation of park impact fees for apartment projects in the City which do not require a residential subdivision (i.e. multi-family residences; renter).

BE IT FURTHER RESOLVED that the City Council also hereby adopts new parkland impact fees as described in Exhibit B.

BE IT FURTHER RESOLVED that park impact fees shall apply to current and pending as described in Exhibit C.

BE IT FURTHER RESOLVED that the park impact fees shall be updated to ensure it meets State Government Code 66470 and 66000 in four years but be automatically adjusted on an annual basis every July using the Los Angeles-Riverside-Orange CO CA Consumer Price Index to adjust for escalation.

BE IT FURTHER RESOLVED that pursuant to State Law the above-fees shall go into effect no sooner than **60 days** after Ordinance No. _____ is final and effective.

PASSED AND ADOPTED this 4th day of August 2015.

STEPHEN M. MENSINGER
Mayor of the City of Costa Mesa

ARTICLE 5. PARK AND RECREATION DEDICATIONS

Sec. 13-250. PURPOSE

~~The purpose of this article is to establish the procedures for requiring park and recreational facilities in conjunction with residential developments ("PARK FEES"). Sections 13-251 through 13-261 relate to residential developments which require a subdivision and which shall be subject to State Government Code Section 66410 et seq. Section 13-261.1 through Section 262.8 refer to multi-family residential developments for renters ("apartments") which shall be subject to State Government Code Section 66000 et seq.~~

Sec. 13-250. PURPOSE

~~The purpose of this article is to establish the procedures for requiring park and recreational facilities in conjunction with residential subdivisions.~~

Sec. 13-250.1 SINGLE-FAMILY AND MULTI-FAMILY RESIDENTIAL DEVELOPMENT WITH SUBDIVISION

Sec. 13-251. REQUIREMENT

Every residential subdivider who creates a subdivision shall be required to dedicate a portion of the land, pay a fee in lieu thereof, or do a combination of both, as established in this article for the purpose of providing park and recreational facilities to serve future residents of the subdivision.

Sec. 13-252. APPLICATION

The provisions of this article shall apply to all residential subdivisions, as defined in State Government Code Section 66410 et seq..

- (a) Subdivisions containing fewer than 5 lots and not used for residential purposes shall be exempted from the requirements of this article. However, a condition may be placed on the approval of the tentative or parcel map that if a building permit is requested for construction of a residential structure or structures on one or more of the lots within 4 years, the fee may be required to be paid by the owner of each such lot as a condition of issuing the permit.
- (b) This section does not apply to commercial or industrial subdivisions, or to residential common interest development projects or stock cooperatives which consist of the subdivision of airspace in an existing apartment building which is more than 5 years old when no new dwelling units are added.

Sec. 13-253. RELATION OF LAND REQUIRED TO POPULATION DENSITY

Consistent with the General Plan, it is hereby found and determined that the public interest, convenience, health, welfare and safety require that 5.76 acres of property for each 1,000 persons residing within the City be devoted to public park and recreational purposes. The requirement will be satisfied in part by arrangements between the City and the local school district to make available for park and recreation purposes, 1.5 acres of school sites adjacent to the proposed park for each 1000 persons residing within the City. The remaining 4.26 acres of the required 5.76 acres shall be supplied as required by this article.

Sec. 13-254. POPULATION DENSITY

For the purposes of this article, population density shall be established by resolution of the City Council, utilizing the following classifications:

- (a) **Single-family residential.** Detached single-family homes where there is no more than one dwelling unit on a lot.
- (b) **Multiple-family residential.** Apartments, common interest developments, townhouses and similar multiple-family residential developments, including detached single-family homes where there is more than one dwelling unit on a lot.
- (c) **Determination of the number of dwelling units.** The total number of dwelling units shall be determined by the number of units proposed for construction. When the actual number of units is unknown, the number of the units shall be based on the maximum number of units which are permitted by the General Plan for the property at the time the tentative or parcel map is filed with the City.

Sec. 13-255. AMOUNT OF LAND TO BE DEDICATED

The amount of land required to be dedicated by a subdivider pursuant to this section shall be based on the following formula:

$$A = 4.26(D.F. \times D.U.)/1,000$$

Definition of terms:

A - The area in acres required to be dedicated as park sites or to be appraised for fee payment in lieu of dedication.

4.26- Number of acres per 1000 persons.

D.F.- Density factor obtained from Section 13-254 POPULATION DENSITY as applicable to the proposed development.

D.U.- Number of dwelling units.

Sec. 13-256. AMOUNT OF FEE IN LIEU OF LAND DEDICATION

- (a) Where there is no public park or recreation facility required within the proposed subdivision, or where the subdivision contains 50 lots or fewer, the subdivider shall pay a fee in lieu of land dedication reflecting the value of land required for park and recreation purposes in accordance with the schedule of fees as adopted by resolution of the City Council. This fee shall reflect the average fair market value of neighborhood and community park land within the City. The fair market value shall be determined by an appraisal of at least one neighborhood park site and one community park site. The appraisal shall be conducted by an M.A.I. appraiser and shall consider the factors set forth in subsection (e), where applicable to the appraisal of public park land.
- (b) Nothing in this section shall prohibit the dedication and acceptance of land for park and recreation purposes in subdivisions of 50 lots or fewer, where the subdivider proposes the dedication voluntarily and the land is accepted by the City Council.
- (c) When a common interest development project, stock cooperative, or community apartment project exceeds 50 dwelling units, the City may elect to require dedication of land notwithstanding that the number of lots may be 50 lots or fewer.
- (d) For subdivisions in excess of 50 lots, the City Council may elect to receive a fee in lieu of land dedication. The amount of such a fee shall be based upon the fair market value of land which would

otherwise be required for dedication. The fair market value shall be determined by an M.A.I. appraiser acceptable to the City and at the expense of the developer as set forth in subsection (e). If more than one year elapses between the appraisal and recording of the final map, the City shall have prepared a new appraisal and shall invoice the subdivider for the cost of the appraisal.

- (e) For purposes of this section, the determination of the fair market value of neighborhood and community park land or unimproved residential land which would otherwise be required for dedication shall be determined by an M.A.I. appraiser acceptable to the City and shall consider, but not necessarily be limited to, the following:
 - (1) The value of the unimproved residential land by residential density shown on the tentative subdivision map at the time the final map is to be recorded;
 - (2) Approval of and conditions of the tentative subdivision map;
 - (3) The General Plan land use designation of the property;
 - (4) The zoning classification of the property;
 - (5) Property location;
 - (6) Off-site improvements facilitating use of the property; and
 - (7) Site characteristics.
- (f) If the subdivider objects to the amount of the fee pursuant to this section, an appeal may be made to the City Council by filing an application of appeal with the City Clerk and payment of an appeal processing fee as determined by the City Council. A notice of appeal shall be filed with the City Clerk within 7 days of payment of the in-lieu fee. The subdivider shall have the burden of proof in contesting the amount of the fee. Within 30 days of receipt of the notice of appeal, a public hearing on the appeal shall be held by the City Council, and the decision shall be final and conclusive in determining the amount of the fee.
- (g) The fee shall be paid to the Development Services Department and shall be deposited and held in appropriate trust accounts and may be expended therefrom only for the purpose of developing new or rehabilitating existing neighborhood or community park or recreation facilities to serve the subdivision on which the fee is charged. Upon receipt of the fee, the Development Services Department shall issue a receipt, and the receipt shall be presented as proof of payment of the fee prior to the issuance of any permit for buildings and structures pursuant to this Zoning Code.
- (h) In order that the fees levied pursuant to subsection (a) keep pace with the cost of land, the fee schedule described in subsection (a) shall be periodically adjusted on a biennial basis, or as specified by City Council by resolution. The fee schedule shall be adjusted using the methodology described in subsection (a) for establishing the fee schedule.
- ~~(h) — In order that the fees levied pursuant to subsection (a) keep pace with the cost of land, the fee schedule described in subsection (a) shall be periodically adjusted on a biennial basis. The fee schedule shall be adjusted using the methodology described in subsection (a) for establishing the fee schedule.~~
- (i) Upon application to the Development Services Department, the payment of the fee in lieu of land dedication pursuant to this section may be deferred where the department makes the following findings:

- (1) The subdivider has entered into a fee agreement with written evidence of adequate security to assure payment of the fee at a date prior to the issuance of a certificate of occupancy, and in a form approved by the City Attorney; and
- (2) The deferral of the fee shall not adversely impact the development of new or the rehabilitation of existing neighborhood or community park or recreational facilities to serve the subdivision.

Sec. 13-257. COMBINATION OF LAND AND FEE

In determining whether a subdivider shall dedicate land, pay a fee in lieu of land dedication, or a combination of both, the following procedure shall be used:

- (a) Subdividers required to or desiring to dedicate property for park and recreational purposes shall, upon filing a tentative map for approval, check with the City to determine whether their property has been designated for a park site in the General Plan. If a subdivider's property is so designated, the subdivider shall coordinate with the necessary departments to incorporate the park sites(s) into the property's development plan.
- (b) If the subdivider's property is not so designated, and a school site is proposed within or in proximity to the property, a park site adjacent to the school site shall be developed and the subdivider shall coordinate with the necessary departments to incorporate the park site(s) into the property's development plan.

Sec. 13-258. ACTION OF CITY

- (a) At the time of tentative or parcel map approval, the Planning Commission shall determine whether to require dedication of land within the subdivision, payment of a fee in lieu thereof, or a combination of both.
- (b) Determination: Whether the City accepts land dedication, requires payment of fees in lieu thereof, or a combination of both, shall be determined by consideration of the following factors:
 - (1) The Open Space Sub-Element of the General Plan.
 - (2) Provisions of Sections 13-256 AMOUNT OF FEE IN LIEU OF LAND DEDICATION, and 13-257 COMBINATION OF LAND AND FEE, of this article.
 - (3) Topography, geology, access and location of land in the subdivision available for dedication.
 - (4) Size and shape of the subdivision and the land available for dedication.
- (c) The determination of the City that land shall be dedicated or a fee paid in lieu thereof, or a combination of both, shall be final and conclusive.

Sec. 13-259. PROCEDURES, CREDITS

- (a) **Procedures.** When land dedication is required, it shall be accomplished in accordance with the provisions of the Subdivision Map Act and applicable local ordinances. When fees are required, the same shall be deposited with the Development Services Department prior to recordation of the map or issuance of building permits.
- (b) **Credits.** Credits against the amount of land to be dedicated or the amount of fees to be paid in lieu of dedication shall be granted as follows:
 - (1) Existing dwelling units: Credit shall be granted for dwelling units demolished as a part of the development of the subdivision. This credit shall be limited to the number of units existing at the time of the approval of the project and shall not be transferred to other subdivisions.

- (2) Privately developed, owned and maintained open space: Where private facilities for park and recreational purposes are provided in a proposed subdivision and the facilities are to be privately owned and maintained by the future residents of the subdivision, the areas occupied by the facilities shall be credited against the requirement of dedication of land for park and recreation purposes or the payment of fees in lieu thereof, to the extent that the Planning Commission finds it is in the public interest to do so and that the following standards are met:
- a. That each facility is available for use by all the residents of the subdivision;
 - b. That the area and the facilities satisfy the recreation and park needs of the subdivision so as to reduce the need for public recreation and park facilities to serve the subdivision residents;
 - c. That the area provided is in excess of the minimum amount of open space required for the subdivision;
 - d. That the area provided in excess of required open space is not used as a credit or bonus incentive as provided in other sections of this Zoning Code; and
 - e. That the area provided is of sufficient size, location and design to facilitate functional use of the area to meet the park and recreation demands of the future subdivision residents.
- (3) Credits shall be granted, dollar for dollar, for the value of park and recreational area and other improvements as approved by the Planning Commission. The value of the facilities shall be established by written documentation of the actual acquisition cost of the facilities paid by the subdivider.
- (c) **Previous fees.** Credit shall be granted, dollar for dollar, for any park and recreation fees paid for the property pursuant to this Zoning Code within the preceding 5 years.
- (d) **Improvements to dedicated land.** Credit shall be granted, dollar for dollar, if the subdivider provides park and recreation facilities and/or improvements to land dedicated for park and recreation purposes. The value of the facilities and/or improvements shall be established by written documentation of the actual acquisition cost of the facilities or construction costs of the improvements paid by the subdivider.
- (e) **Limitation on credits.** The maximum amount of credits provided by this section shall not exceed 100% of the calculated fee in lieu of land dedication.
- (f) **Transfer of credits.** Credits provided by this section shall not be transferred or assignable to apply to property outside of the subdivision awarded the credit.
- (g) **The granting of credits.** Pursuant to Section 13-259(b) PROCEDURES AND CREDITS, credits shall be granted subject to the following conditions:
- (1) The private ownership and maintenance of the facilities shall be adequately provided for by written agreement in a form acceptable to the City Attorney;
 - (2) The use of the private facilities is restricted for park and recreational purposes by recorded covenants which run with the land in favor of the future owners of property within the subdivision and which cannot be defeated or eliminated without the consent of the City Council;
 - (3) The proposed private facilities are reasonable and adaptable for use for park and recreational purposes taking into consideration such factors as size, shape, topography, geology, access and location of the private open space land; and
 - (4) The facilities proposed are in substantial accordance with the General Plan.

(h) **Additional credits.** In lieu of the dedication of land for park and recreation purposes or the payment of a fee, the Development Services Director, with the approval of the Planning Commission may permit the following:

- (1) Dedication of land for park or recreation purposes outside of the subdivision;
- (2) Improvements to be made to an existing City park or upon land being dedicated as a public park;
- (3) Recreational facility to be installed upon land being dedicated as a City park; or
- (4) Any combination of 1, 2, or 3, above, provided that the land to be dedicated, the improvements to be made or the facilities to be installed or constructed are so located as to bear a reasonable relationship to the use thereof by future inhabitants of the subdivision.

The dedication of land or providing of improvements or facilities may only be used as a credit against the otherwise required dedication or fee to the extent of the value of the land, improvements or facilities as determined by the Planning Commission to be equal to or greater than the value of the land which would have been dedicated or the fee which would be paid pursuant to Section 13-256 AMOUNT OF FEE IN LIEU OF LAND DEDICATION.

Sec. 13-260. STATEMENT OF CITY RESPONSIBILITY

The City shall comply with all requirements of State Government Code Section 66477 with regard to acceptance and use of land dedicated or fees paid for park and recreational purposes.

Sec. 13-261. PARK AND RECREATION FEE IN LIEU OF LAND DEDICATION NOTICE

Where the residential subdivision contains 50 lots or fewer, the Development Services Department shall affix to any permit for buildings or structures and any vesting tentative map issued pursuant to this Zoning Code located within the subdivision a notice to read as follows:

PARK AND RECREATION FEE IN LIEU OF LAND DEDICATION NOTICE:

The City of Costa Mesa is giving consideration to enactment of a resolution or ordinance, or a combination thereof, for the increase in the park and recreation fees in lieu of land dedication pursuant to Section 13-256(a) AMOUNT OF FEE IN LIEU OF LAND DEDICATION, and State Government Code Section 66477. The owner of the project designated in this permit or vesting tentative map shall be obligated to pay to the Development Services Department a park and recreation fee in lieu of land dedication if such a fee is adopted in the future by the City of Costa Mesa. The fee will only be used for the purpose of developing new or rehabilitating existing neighborhood or community park or recreational facilities to serve the subdivision.

Sec. 13-261.1 MULTI-FAMILY RESIDENTIAL DEVELOPMENT FOR RENTERS (APARTMENTS)

Sec. 13-261.2 REQUIREMENT

Every residential developer who creates a multi-family residential development for renter households ("apartments") shall be required to remit a park fee as established in this section for the purpose of providing park and recreational facilities to serve the future residents of the apartments.

Sec. 13-261.3. APPLICATION

The provisions of this article shall apply to all residential developments, which are not subdivided and subject to State Government Code Section 66000 et. seq.

Sec. 13-261.4 RELATION OF LAND REQUIRED TO POPULATION DENSITY

Consistent with the General Plan, it is hereby found and determined that the public interest, convenience, health, welfare and safety require that 4.26 acres of property for each 1,000 persons residing within the City be devoted to public park and recreational purposes.

Sec. 13-261.5 POPULATION DENSITY

For the purposes of this section, population density shall be established by resolution of the City Council, utilizing the following classifications:

- (e) **Apartments** Any building (or portion thereof) or collection of buildings which provide two or more self-contained dwelling units not designated for separate ownership.
- (f) **Small Multiple-Family residential, renter.** Apartments and other multiple-family residential developments, with less than 50 units, where the units are for rent and are not legally subdivided for homeownership.
- (g) **Large Multiple-Family residential, renter.** Apartments and other multiple-family residential developments, with 50 units or more, where the units are for rent and are not legally subdivided for homeownership.
- (h) **Determination of the number of dwelling units.** The total number of dwelling units shall be determined by the number of units proposed for construction. When the actual number of units is unknown, the number of the units shall be based on the maximum number of units which are permitted by the General Plan for the property at the time the tentative or parcel map is filed with the City.

Sec. 13-261.6 PARK FEE FORMULA FOR APARTMENTS

The amount of park fee required pursuant to this section shall be based on the following formulas:

For Apartment projects with less than 50 units:

Use the fee assigned to multi-family subdivided developments in Sec. 13-255

For Apartment projects with 50 units or more:

$$\text{FEE} = 4.26 (\text{D.F.} \times \text{D.U.} \times \text{P.C.}) / 1,000$$

Definition of terms:

FEE – The per unit cost to be appraised for fee payment

4.26- Number of acres per 1000 persons.

A.D.F. - Apartment density factor obtained from Section 13-261.5
POPULATION DENSITY as applicable to the proposed development.

D.U. - Number of dwelling units.

P.C. Proportionate cost is the sum of the weighted cost of park land acquisition
per acre of land and cost of construction per acre of land.

Sec. 13-261.7. AMOUNT OF PARK FEE FOR APARTMENTS

- (i) The park impact fee for apartments must meet all benefit requirements for State Government Code Section 66000 as follows:
 - (6) Identifies the purpose of the fee;
 - (7) Identifies the use to which the fee is applied;
 - (8) Shows a reasonable relationship between the use of the fee and the type of development project on which the fee is imposed;
 - (9) Demonstrates a reasonable relationship between the need for the public facilities and the type of development projects on which the fee is imposed; and
 - (10) Demonstrates a reasonable relationship between the amount of the fee and the cost of the public facilities or portion of the public facilities attributable to the development on which the fee is imposed.
- (j) Nothing in this section shall prohibit the dedication and acceptance of land for park and recreation purposes where the developer proposes the dedication voluntarily and the land is accepted by the City Council at their discretion. When land dedication is provided, it shall be accomplished in accordance with the provisions of the Subdivision Map Act and applicable local ordinances.
- (k) If the developer objects to the amount of the fee pursuant to this section, an appeal may be made to the City Council by filing an application of appeal with the City Clerk and payment of an appeal processing fee as determined by the City Council. A notice of appeal shall be filed with the City Clerk within 7 days of payment of the fee. The developer shall have the burden of proof in contesting the amount of the fee. Within 30 days of receipt of the notice of appeal, a public hearing on the appeal shall be held by the City Council, and the decision shall be final and conclusive in determining the amount of the fee.
- (l) The fee shall be paid to the Development Services Department and shall be deposited and held in appropriate trust accounts and may be expended therefrom

only for the purpose of developing new or rehabilitating existing neighborhood or community park or recreation facilities to serve the development on which the fee is charged. Upon receipt of the fee, the Development Services Department shall issue a receipt, and the receipt shall be presented as proof of payment of the fee prior to the issuance of any permit for buildings and structures pursuant to this Zoning Code.

(m) In order that the fees levied pursuant to subsection (a) keep pace with the cost of land, the fee schedule described in subsection (a) shall be periodically adjusted on a biennial basis, or as specified by City Council by resolution. The fee schedule shall be adjusted using the methodology described in subsection (a) for establishing the fee schedule.

(n) Upon application to the Development Services Department, the payment of the fee may be deferred where the department makes the following findings:

(1) The developer has entered into a fee agreement with written evidence of adequate security to assure payment of the fee at a date prior to the issuance of a certificate of occupancy, and in a form approved by the City Attorney; and

(2) The deferral of the fee shall not adversely impact the development of new or the rehabilitation of existing neighborhood or community park or recreational facilities to serve the development.

Sec. 13-261.8 PROCEDURE, CREDIT

(a) **Procedure.** When fees are required, the same shall be deposited with the Development Services Department prior to issuance of building permits.

(b) **Credit.** Credit shall be granted for dwelling units demolished as a part of the development. This credit shall be limited to the number of units existing at the time of the approval of the project and shall not be transferred to other developments. A second dwelling unit legally established in conjunction with and subordinate to a primary dwelling unit in an R1 zone (i.e. accessory apartment, granny unit, granny flat, or in-law apartment) shall not be subject to the park fee.

REGULAR MEETING OF THE CITY OF
COSTA MESA PLANNING COMMISSION

March 9, 2015

These meeting minutes represent an "action minute" format with a concise summary of the meeting. A video of the meeting may be viewed on the City's website at www.costamesaca.gov or purchased on DVD upon request.

Counsel Yolanda Summerhill led in the Pledge of Allegiance.

ROLL CALL

Present: Chair Robert Dickson
Vice-Chair Jeff Mathews
Commissioner Colin McCarthy
Commissioner Tim Sesler
Commissioner Stephan Andranian

Staff: Claire Flynn, Assistant Development Services Director
Yolanda Summerhill, Planning Commission Counsel
Fariba Fazeli, City Engineer
Willa Bouwens-Killeen, Principal Planner
Dan Inloes, Associate Planner
Chelsea Crager, Assistant Planner
Martha Rosales, Recording Secretary

PUBLIC COMMENTS

Martin Millard, Costa Mesa resident, requested Mesa North improvements on Baker Street from Fairview Street to Babb Street. Mr. Millard discussed the following; concern with outdated north-side block wall, possible barrier median at 1097 Baker Street; and improvements to dated shopping center south of Baker.

Beth Refakes, Costa Mesa resident representing the Costa Mesa Military Affairs Team, reported they were collecting Easter items through Friday, March 27, 2015 for the 1/5 Troop. A trunk is placed on the 1st Floor of City Hall to collect the Easter items.

Barrie Fisher, Costa Mesa resident representing the west side, expressed concerns of outdated and dangerous sidewalks, narrow streets and vehicle congestion, and the need for improvements before allowing more redevelopment into the area.

Ann Parker, Costa Mesa resident, inquired clarification on Abbie Way matter approved at the previous commission meeting and asked could the item be pulled back.

PLANNING COMMISSIONER COMMENTS AND SUGGESTIONS

Commissioner Andranian addressed Ms. Fisher's comment and stated he attended the meeting regarding sober living homes on March 4th, 2015. He agreed this is an important issue for the City and staff is working on a new ordinance for R2 neighborhoods.

Commissioner Sesler mentioned the crime mapping feature on the City of Costa Mesa's website is functioning after a yearlong absence.

Commissioner Sesler appreciated Ms. Fisher on her consistent requests for City repairs through Costa Mesa Connect and agreed an investment - either public and/or private - needs to be made.

Commissioner Sesler addressed Ms. Park's concern and acknowledged the challenging issue and asked the citizens to report incidents or complaints thru Costa Mesa Connect.

Commissioner McCarthy requested clarity on the Wharf decision and how it could affect the City.

Commissioner McCarthy agreed the block wall on Baker Street needs an update and requested staff to look into it.

Commissioner McCarthy attended Costa Mesa Little League opening day and expressed concern that many children are migrating to other cities to play sports.

Vice Chair Mathews addressed comments made regarding condition of the west side of the City and offered to look into the matter.

Chairman Dickson announced the city is conducting a community workshop for the East West bicycle connection taking place Wednesday, March 18, 2015 in the Emergency Operation Center adjacent to the police department from 6:00pm-7:30pm.

Chairman Dickson addressed speaker comments regarding the cinder block walls on Baker Street; plans for possible medians; and sidewalk infrastructure and rehabilitation. Fariba Fazeli, City Engineer, provided an update.

Chairman Dickson addressed the Abbie Way appeal. Claire Flynn, Assistant Development Services Director, stated that the appeal deadline expired Monday, March 2, 2015 and absent the receipt of a timely appeal application and appeal fee if applicable, the matter cannot be re-opened.

Chairman Dickson addressed west side plan review. Claire Flynn, Assistant Development Services Director, confirmed the matter will go before the Planning Commission in April or May.

CONSENT CALENDAR:

Chair Dickson pulled Consent Calendar Item No. 2 for discussion.

1. Minutes for the meeting of February 23, 2015.

MOTION: Approve February 23, 2015 Minutes. Moved by Commissioner McCarthy, seconded by Commissioner Sesler.

The motion carried by the following roll call vote:

Ayes:	Dickson, Mathews, McCarthy, Sesler, Andranian
Noes:	None
Absent:	None
Abstained:	None

2. Update of major development activity and demographic trends in Costa Mesa.

Claire Flynn, Assistant Development Services Director, presented part one of a two part PowerPoint that showcased major development activity and trends.

Chair Dickson expressed excitement on the median projects presented and asked if any Baker Street improvements were included in the plan. Claire Flynn, Assistant Development Services Director, and Fariba Fazeli, City Engineer, provided an update.

Commissioner McCarthy asked if Fairview Development Center still employed 1,500 employees and inquired on statistics, plans and tracking of soil remediation. He commended the staff on the great presentation and for doing a great job meeting applicant and community needs.

Commissioner Sesler asked whether staff tracked economic impact in terms of taxes. Claire Flynn, Assistant Development Services Director, provided some general information and added an economic consultant will produce additional data for Part Two of the presentation coming in April.

Commissioner Andranian asked for data on park fees and increased property tax revenue generated by new developments. He also requested to see before and after pictures of the developments in part two of the presentation. Commissioner Andranian asked for clarification on the resident statistics, specifically the 19-39 age range and if they were employed. Claire Flynn, Assistant Development Services Director, confirmed the statistic shows working age only.

Chair Dickson agreed before and after pictures for planning projects are important.

PUBLIC COMMENTS - None

MOTION: Receive and file. Moved by Commissioner McCarthy, seconded by Commissioner Sesler.

The motion carried by the following roll call vote:

Ayes:	Dickson, Mathews, McCarthy, Sesler, Andranian
Noes:	None
Absent:	None
Abstained:	None

PUBLIC HEARINGS:

- Application No.** PA-14-48, R-14-05 and TT-17824; Master Plan Development for a 13-Unit, Two-Story Residential Development with a Rezone and Tentative Tract Map at 2880 Mesa Verde Drive East

Applicant: Pinnacle Residential

Site Address: 2880 Mesa Verda Drive East

Zone: I & R

Project Planner: Mel Lee

Environmental Determination: The project is categorically exempt under Section 15332 of the State CEQA (California Environmental Quality Act) Guidelines – Class 32 (In-Fill Development Projects).

Description: The proposed project involves the following:

- 1. Rezone R-14-05:** An ordinance to rezone the 2-acre site from I&R (Institutional and Recreational) to PDR-LD (Planned Development Residential—Low Density). The maximum allowable General Plan density would be 16 dwelling units at a density of 8 dwelling units per acre.
- 2. Planning Application PA-14-48:** Master Plan for the development of a 13-unit, two-story detached residential development at a density of 6.5 dwelling units

per acre. The Master Plan also includes the following requested deviations from Zoning Code requirements:

- Variance from perimeter open space requirement for location of block walls (20 feet required, 3 feet proposed on Mesa Verde Drive East);
- Administrative Adjustment from perimeter open space requirement for buildings (20 feet required, 13 feet proposed on Andros Street);

3. Tentative Tract Map T-17824: Subdivision of property into fee simple lots for homeownership.

Mel Lee, Senior Planner, reported the applicant was reviewing comments received from Mesa Verde residents and possibly making modifications to the proposed development; hence, the request for a continuance to the first meeting in March.

PUBLIC COMMENTS - None

MOTION: Continue to a future Planning Commission meeting with public noticing required. Moved by Commissioner McCarthy, seconded by Commissioner Andranian.

The motion carried by the following roll call vote:

Ayes: Dickson, Mathews, McCarthy, Sesler, Andranian
Noes: None
Absent: None
Abstained: None

2. **Application No.:** ZA-14-38: An appeal by the applicant of the denial of a minor conditional use permit at 111 Del Mar Avenue
- Applicant:** ZA-14-38
- Site Address:** 111 Del Mar Avenue
- Zone:** C1
- Project Planner:** Chelsea Crager
- Environmental**
- Determination:** This project is categorically exempt under CEQA section 15301 if approved; or exempt under CEQA section 15270(a) if disapproved.

Description: Appeal by the applicant of the denial of a minor conditional use permit to legalize existing outdoor kiosks for DVDs (Redbox) and Glacier Water in front of a Circle K convenience store. This request was denied by the Zoning Administrator.

Chelsea Crager, Assistant Planner, presented the staff report in response to appeal filed on January 24, 2015. The project was found to be exempt from the provisions of the California Environmental Quality Act under Section 15301 Existing Facilities and staff recommends planning commission uphold the Zoning Administrator's decision to deny Minor Conditional Use Permit ZA-14-38.

Commissioner McCarthy asked if water and movie rentals could be located inside or outside. Ms. Crager, Assistant Planner, confirmed there are no codes requiring items to be located outside.

Chair Dickson asked if adding a new vending machine such as water or Redbox kiosk impact parking calculations. Ms. Crager, Assistant Planner, confirmed the vending machines are not used in parking calculations as they are considered part of the convenience store.

Ahmad Ghaderi, applicant, thanked the staff for their work and guidance through the process. Mr. Ghaderi addressed three items of concern; first that the two vending machines are not visible from Del Mar; second there have been no water leakage issues as the water vending machines are self-contained and are equipped with a containment tray to catch possible leaks; and third there is approximately 48 inches plus in front of the units to allow safe ADA accessibility. Mr. Ghaderi stated inside or outside placement of DVD and water vending machines have no impact on sales generated; however, outside placement is preferred for customer's convenience. Mr. Ghaderi asked if the Planning Commission would reconsider their decision based on the information he provided.

Commissioner McCarthy referred to the Supplemental Staff Report which chronicled 135 Police calls for service and asked applicant if more calls were anticipated and given the volume of disturbances, would it not be safer to have the vending machines inside. Mr. Ghaderi was not familiar with the Supplemental Staff Report but does not anticipate more calls.

Commissioner Mathews asked if 24 hour security could be provided. Mr. Ghaderi stated he could not provide a response.

Commissioner Sesler referred to a July 2014 code enforcement violation which required outside vending machines be removed and Circle K did not comply. Mr. Ghaderi was unaware of the July 2014 violation and could not respond. Commissioner Sesler asked what type of security cameras operate at the store and if there was access to a security guard. Mr. Ghaderi stated the store is open 24 hours a day and runs closed circuit cameras running 24/7 and the store does not have a security guard.

Commissioner Andranian asked if the vending machine were moved inside would other merchandise be displaced. Mr. Ghaderi stated yes and reiterated the outside placement is for customer convenience.

PUBLIC COMMENTS – None

Chair Dickson stated concern for safety given proximity to a residential area and is amendable to continuing the matter.

Commissioner McCarthy stated he was not in support of placing services outside the store and upholds the staff's recommendation.

Commissioner Mathews agreed with the decision and upholds the staff's recommendation.

MOTION: Planning Commission uphold the Zoning Administrator's decision to deny a minor conditional use permit to legalize outdoor placement of a water vending machine and an outdoor DVD rental kiosk at the Circle K convenience store based on the findings put forth in the record. Moved by Commissioner McCarthy, seconded by Commissioner Andranian.

RESOLUTION 15-13 - A RESOLUTION OF THE PLANNING COMMISSION OF THE CITY OF COSTA MESA UPHOLDING THE ZONING ADMINISTRATOR'S DENIAL OF ZONING APPLICATION ZA-14-38 AND DENY A MINOR CONDITIONAL USE PERMIT FOR OUTDOOR USES LOCATED AT 111 DEL MAR AVENUE (CIRCLE K STORE)

Chair Dickson stated the commission encourages business but in this case, the commission does not support the permit.

The motion carried by the following roll call vote:

Ayes: Dickson, Mathews, McCarthy, Sesler, Andranian

Noes: None

Absent: None

Abstained: None

NEW BUSINESS ITEM(S):

1. Review of Proposed Parkland Impact Fees

Dan Inloes, Associate Planner, presented the staff report.

David Taussig, president of David Taussig & Associates, gave presentation on the Quimby Act and Methodology of Park Fee Update.

PUBLIC COMMENTS:

Jay Humphrey, Costa Mesa resident, stated he was happy staff brought the item forward but. Mr. Humphrey expressed concern with the numbers of residents and acreage used in the presentation and how that could impact fee cost, property owners opting to pay fees since they are less than property dedication and if conversions are allowed, they should not get fee exemptions.

Steven LaMotte, Director of Government Affairs of the Business Industry Association, supported the proposal.

Beth Refakes, Costa Mesa resident, addressed concerns with the fee proposal. Ms. Refakes would like to see further breakdown of bedrooms per residence, to see an automatic adjustment for inflation and what other cities are doing to calculate fees.

Commissioner McCarthy stated he doesn't think it is realistic for the city to be purchasing park space in the future but supports the methodology and BIA support. Commissioner McCarthy would like a future meeting to see if there are plans from Public Services to acquire park space.

Chair Dickson supported the methodology but would like to find a better way of quantifying apartments.

Commissioner Sesler supports the methodology but is concerned with the location.

MOTION: Receive and file. Moved by Commissioner McCarthy, second by Chair Dickson.

The motion carried by the following roll call vote:

Ayes: Dickson, Mathews, McCarthy, Sesler, Andranian

Noes: None

Absent: None

Abstained: None

DEPARTMENTAL REPORT(S)

1. Public Services Report – None.

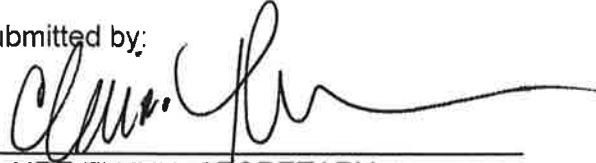
2. Economic and Development Services Report – None.

CITY ATTORNEY'S OFFICE REPORT(S)

1. City Attorney – None.

**ADJOURNMENT: NEXT PLANNING COMMISSION MEETING AT 6:00 P.M. ON MONDAY,
MARCH 23, 2015.**

Submitted by:

A handwritten signature in black ink, appearing to read 'Claire Flynn', written over a horizontal line.

CLAIRE FLYNN, SECRETARY
COSTA MESA PLANNING COMMISSION

**PARK AND RECREATION FACILITIES
DEVELOPMENT IMPACT FEE
JUSTIFICATION STUDY
CITY OF COSTA MESA**

AUGUST 4, 2015

Prepared by:

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Public Finance
Public Private Partnerships
Urban Economics

Newport Beach
Riverside
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San Jose
Dallas, Texas

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EXECUTIVE SUMMARY

In order to adequately plan for new development and identify the public park and recreation facilities and costs associated with mitigating the direct and cumulative impacts of new development, David Taussig & Associates, Inc. ("DTA") was retained by the City of Costa Mesa (the "City") to prepare an AB 1600 Fee Justification Study (the "Park Fee Study"). The Park Fee Study is intended to comply with Section 66000 *et. seq.* of the Government Code (the "Act" or "AB 1600"), which was enacted by the State of California in 1987, by identifying the additional public park and recreation facilities required by new development ("Future Park Facilities") and determining the level of fees that may be imposed to pay the costs of the Future Park Facilities. Fee amounts have been determined that will finance park and recreation facilities at the standard established in the City's General Plan, or 4.26 acres of improved park and recreation facilities for every 1,000 new residents. The Future Park Facilities and estimated land acquisition and associated construction costs per residential dwelling unit are identified in Section IV of the Park Fee Study. A description of the methodology used to calculate the fees is included in Section V. All new residential development may be required to pay its "fair share" of the cost of the new infrastructure through the development fee program.

ORGANIZATION OF THE REPORT

Section I of this report provides an introduction to the Park Fee Study including background information on development fee financing. Section II provides an overview of the legal requirements for implementing and imposing the fee amounts identified in the Park Fee Study. Section III includes a discussion of household sizes, or persons per household, for residential land uses within the City. Section IV includes a description of the Future Park Facilities needed to serve new residential development that are eligible for funding by the impact fees, including estimated costs, offsetting revenues, net costs to the City and costs attributable to new residential development. Section V discusses the findings required under the Mitigation Fee Act and requirements necessary to be satisfied when establishing, increasing or imposing a fee as a condition of new residential development, and satisfies the nexus requirements for the Future Park Facilities. In addition, Section V contains the description of the methodology used to determine the fees. Appendix A includes a map showing the location of the properties comprising the vacant land sale data employed in the Park Fee Study. Appendices B – J identify the park and recreation facilities cost data employed in the Park Fee Study.

IMPACT FEE SUMMARY

The recommended Future Park Facilities fee amounts are summarized in Table ES-1 below. Table ES-1 includes two fee level alternatives developed by City staff that reflect historical and projected rates of parkland acquisition. Fees within this Park Fee Study reflect a range of fee levels that may be imposed on new residential development depending upon the residential dwelling unit type.

**TABLE ES-1
DEVELOPMENT IMPACT FEE SUMMARY**

FACILITY	RESIDENTIAL DEVELOPMENT			
	SINGLE FAMILY (\$ PER UNIT)	MULTI-FAMILY (\$ PER UNIT)	APARTMENT	
			<50 UNIT PROJECTS (\$ PER UNIT)	>=50 UNIT PROJECTS (\$ PER UNIT)
Park and Recreation Facilities				
Alternative 1 (Historical Parkland Acquisition ¹)	\$11,285.19	\$8,777.37	\$10,597.56	\$10,597.56
Alternative 2 (Projected Parkland Acquisition ²)	\$18,006.38	\$14,004.96	\$14,004.96	\$5,056.61 ³
¹ Based on the City's rate of parkland acquisition from 2006 through 2014 which results in park and recreation facilities costs of \$949,500 per acre. ² Based on the City's projected rate of parkland acquisition which results in park and recreation facilities costs of \$1,515,000 per acre. ³ Fee for apartment projects with 50 or dwelling units adjusted (i) in consideration of typical on-site amenities, (ii) persons per household case study for an existing greater than 50 dwelling unit apartment project, and (iii) citywide distribution of apartment dwelling unit type (i.e., studio, 1 bedroom, 2 bedroom, and 3 or more bedroom dwelling units) for greater than 50 dwelling unit apartment projects.				

I. INTRODUCTION

In order to adequately plan for new residential development and identify the public park and recreation facilities and costs associated with mitigating the direct and cumulative impacts of new residential development, David Taussig & Associates, Inc. ("DTA") was retained by the City to prepare a new AB 1600 Fee Justification Study (the "Park Fee Study"). The need for this Park Fee Study is driven by anticipated residential development, including development on which the City's existing Quimby Act fee cannot generally be imposed, such as the redevelopment of existing property into multi-family uses without the subdivision of land.

The Park Fee Study is intended to comply with Section 66000 *et. Seq.* of the Government Code, which was enacted by the State of California in 1987, by identifying additional public park and recreation facilities required by new residential development ("Future Park Facilities") and determining the level of fees that may be imposed to pay the costs of the Future Park Facilities. Fee amounts have been determined that will finance park and recreation facilities at the standard established in the City's General Plan, or 4.26 acres of improved park and recreation facilities for every 1,000 new residents. The Future Park Facilities and estimated land acquisition and associated construction costs per residential dwelling unit are identified in Section IV of the Park Fee Study. All new residential development may be required to pay its "fair share" of the cost of the Future Park Facilities through the development fee program.

Based upon projections from the Center for Demographics Research, California State University, Fullerton (the "Center"), new residential development is expected to result in approximately 5,213 new residents within the City by 2040, representing an approximate 4.7% increase compared to the Center's 2012 population estimate for the City. The City will need to expand its public park and recreation facilities to accommodate the impacts of this growth and the levy of impact fees in conformance with AB 1600 legislation will help finance new park and recreation facilities which are needed to mitigate these impacts. The following steps were incorporated in the Park Fee Study:

1. **Demographic Assumptions:** Identify future housing growth that will generate the increased demand for park and recreation facilities.
2. **Facility Needs and Costs:** Identify the amount and cost of park and recreation facilities required to meet the demands of new residential development. Facilities costs are discussed in Section IV.
3. **Cost Allocation:** Allocate these costs per new residential dwelling unit.
4. **Fee Schedule:** Calculate the fee per new residential dwelling unit.

II. LEGAL REQUIREMENTS TO JUSTIFY DEVELOPMENT IMPACT FEES

Prior to World War II, development in California was held responsible for very little of the cost of public infrastructure. Public improvements were financed primarily through jurisdictional general funds and utility charges. It was not uncommon during this period for speculators to subdivide tracts of land without providing any public improvements, expecting the closest city to eventually annex a project and provide public improvements and services.

However, starting in the late 1940s, the use of impact fees grew with the increased planning and regulation of new development. During the 1960s and 1970s, the California Courts broadened the right of local government to impose fees on developers for public improvements that were not located on-site. More recently, with the passage of Proposition 13, the limits on general revenues for new infrastructure have resulted in new development being held responsible for a greater share of public improvements, and both the use and levels of impact fees have grown substantially. Higher fee levels were undoubtedly driven in part by a need to offset the decline in funds for infrastructure development from other sources.

The levy of impact fees is one authorized method of financing the public facilities necessary to mitigate the impacts of new development. A fee is "a monetary exaction, other than a tax or special assessment, which is charged by a local agency to the applicant in connection with approval of a development project for the purpose of defraying all or a portion of the cost of public facilities related to the development project..." (California Government Code, Section 66000). A fee may be levied for each type of capital improvement required for new development, with the payment of the fee typically occurring prior to the beginning of construction of a dwelling unit. Fees are often levied at final map recordation, issuance of a certificate of occupancy, or more commonly, at building permit issuance. However, Assembly Bill ("AB") 2604 (Torrico) which was signed into law in August 2008, encourages public agencies to defer the collection of fees until close of escrow to an end user in an attempt to assist California's then troubled building industry.

The authority of local governments to impose impact fees on development is derived from their police power to protect the health and welfare of citizens under the California Constitution (Article 11, Section 7). Furthermore, the California Mitigation Fee Act provides a prescriptive guide to establishing and administering impact fees based on "constitutional and decisional law." Development impact fees ("DIFs") were enacted under Assembly Bill 1600 by the California Legislature in 1987 and codified under California Government Code §66000 *et. seq.*, also referred to as the Mitigation Fee Act (the "Act" or "AB 1600").

AB 1600 defines local governments to include cities, counties, school districts, special districts, authorities, agencies, and other municipal corporations. Fees governed by the Act include development fees of general applicability, and fees negotiated for individual projects. The Act does not apply to user-fees for processing development applications or permits, fees governed by other statutes (e.g., the Quimby Act), developer agreements, or penalties, or fees specifically

excluded by the Act (e.g., fees collected pursuant to agreements with redevelopment agencies or various reimbursement agreements).

Public facilities that can be funded with impact fees are defined by the Act as "public improvements, public services, and community amenities." Government Code, §65913.8 precludes the use of DIFs to fund maintenance or services, with limited exceptions for very small improvements and certain temporary measures needed by certain special districts. In combination, these provisions effectively restrict the use of most impact fees to public capital improvements.

For general information, please see:

- ❖ "Exactions and Impact Fees in California: A Comprehensive Guide to Policy, Practice, and the Law," edited by William Abbott, et al., Solano Press Books, 2012 Third Edition.

The City has identified the need to levy development impact fees to pay for public park and recreation facilities. The development impact fees presented in this study will finance public park and recreation facilities for new development at the level established by the City in its General Plan. Upon the adoption of the Park Fee Study and required legal documents by the City Council, all new residential development will be required to pay its "fair share" of the cost of public park and recreation facilities through these development impact fees.

In 2006, Government Code Section 66001 was amended to clarify that a development impact fee cannot include costs attributable to existing deficiencies, but can fund costs used to maintain the existing level of service or meet an adopted level of service that is consistent with the general plan. This Park Fee Study for the City is intended to meet the nexus or benefit requirements of AB 1600, which mandates that there is a nexus between fees imposed, the use of the fees, and the development projects on which the fees are imposed.

Section 66000 et seq. of the Government Code requires that all public agencies satisfy the following requirements when establishing, increasing or imposing a fee as a condition of new development:

1. Identify the purpose of the fee. (Government Code Section 66001(a)(1))
2. Identify the use to which the fee will be put. (Government Code Section 66001(a)(2))
3. Determine that there is a reasonable relationship between the fee's use and the type of development on which the fee is to be imposed. (Government Code Section 66001(a)(3))
4. Determine how there is a reasonable relationship between the need for the public facility and the type of development project on which the fee is to be imposed. (Government Code Section 66001(a)(4))

5. Discuss how there is a reasonable relationship between the amount of the fee and the cost of the public facility or portion of the public facility attributable to the development on which the fee is imposed.

Identifying these items will enable a development impact fee to meet the nexus and rough proportionality requirements established by previous court cases. This section presents each of these items as they relate to the imposition within the City of the proposed development impact fees for public park and recreation facilities. Current state financing and fee assessment requirements only allow new development to pay for its fair share of new facilities' costs. Any current deficiencies resulting from the needs of existing development must be funded through other sources. Therefore, a key element to establishing legal development impact fees is to determine what share of the benefit or cost of the new facilities can be equitably assigned to existing development, even if the facilities have not yet been constructed. By removing this factor, the true impact of new development can be assessed and equitable development impact fees assigned.

A. Purpose of the Fee (Government Code Section 66001(a)(1))

Based upon projections from the Center for Demographics Research, California State University, Fullerton (the "Center"), new residential development is expected to result in approximately 5,213 new residents within the City by 2040. These future residents will create an additional demand for public park and recreation facilities that existing public park and recreation facilities cannot accommodate. In order to accommodate new residential development in an orderly manner, without adversely impacting the current quality of life in the City, additional public park and recreation facilities will need to be constructed.

It is the projected direct and cumulative effect of future residential development that has required the preparation of this Park Fee Study. Each new residential dwelling unit will contribute to the need for new public park and recreation facilities, and as such, the proposed impact fee will be charged to all future residential development, irrespective of location, in the City. While a significant portion of the City's future residential development can be characterized as "in fill" development projects, these projects contribute to impacts on public park and recreation facilities because they are an interactive component of a much greater universe of development located throughout the City. First, the residents associated with any new residential development in the City have access to and in fact may regularly utilize and benefit from the City's park and recreation facilities. Second, these residents may have chosen to purchase or rent the specific homes in which they reside partially as a result of the parks and other recreational opportunities located nearby. Third, the availability of park and recreation facilities throughout the City has a growth-inducing impact, in that it enhances the City's reputation as a great place to live, thereby attracting new development that may have otherwise gone elsewhere. As a result, all residential development projects in the City contribute to the cumulative need for new park and recreation facilities throughout the

City. The development impact fees, when collected, will be placed into a dedicated fund that will be used solely for the design, acquisition, installation, and construction of public park and recreation facilities and other appropriate costs to mitigate the direct and cumulative impacts of new residential development in the City.

The discussion in this subsection of the Park Fee Study sets forth the purpose of the development impact fee as required by Section 66001(a)(1) of the California Government Code.

B. THE USE TO WHICH THE FEE IS TO BE PUT (GOVERNMENT CODE SECTION 66001(A)(2))

The development impact fee will be used specifically for the design, acquisition, installation, and construction of the public park and recreation facilities discussed in Section IV of the Park Fee Study and related costs necessary to mitigate the direct and cumulative impacts of new residential development in the City. By directly funding these costs, the development impact fees will both enhance the quality of life for future City residents and protect their health, safety, and welfare.

The discussion presented in this subsection of the Park Fee Study identifies the use to which the development impact fee is to be put as required by Section 66001(a)(2) of the California Government Code.

C. DETERMINE THAT THERE IS A REASONABLE RELATIONSHIP BETWEEN THE FEE'S USE AND THE TYPE OF DEVELOPMENT PROJECT UPON WHICH THE FEE IS IMPOSED (BENEFIT RELATIONSHIP) (GOVERNMENT CODE SECTION 66001(A)(3))

As discussed in Section A above, it is the projected direct and cumulative effect of future residential development that has prompted the preparation of this Park Fee Study. Each residential dwelling unit will contribute to the need for new public park and recreation facilities. Even future "in fill" development projects, which may be adjacent to existing park and recreation facilities, contribute to impacts on such facilities because they are an interactive component of a much greater universe of development located throughout the City. Consequently, all residential new development within the City, irrespective of location, contributes to the direct and cumulative impacts of development on public park and recreation facilities and creates the need for new facilities to accommodate growth.

As set forth in Section V of the Park Fee Study, the fees will be expended for the design, acquisition, installation, and construction of new public park and recreation facilities identified in Section IV, as that is the purpose for which the DIF is collected. As previously stated, all new residential development creates either a direct impact on park and recreation facilities or contributes to the cumulative impact on park and recreation facilities.

For the foregoing reasons, there is a reasonable relationship between the design, acquisition, construction, and installation of the public park and recreation facilities and new residential development as required under Section 66001(a)(3) of the Mitigation Fee Act.

D. DETERMINE HOW THERE IS A REASONABLE RELATIONSHIP BETWEEN THE NEED FOR THE PUBLIC FACILITY AND THE TYPE OF DEVELOPMENT PROJECT UPON WHICH THE FEE IS IMPOSED (IMPACT RELATIONSHIP) (GOVERNMENT CODE SECTION 66001(A)(4))

As set forth in part A above, all new residential development contributes to the direct and cumulative impacts on public park and recreation facilities and creates the need for new facilities to accommodate growth. Also as previously stated, all new residential development within the City, irrespective of location, contributes to the direct and cumulative impacts of development on public park and recreation facilities and creates the need for new facilities to accommodate growth. Moreover, the public park and recreation facilities identified in Section IV are specifically a function of the number of projected future residents within the City and do not reflect any unmet needs of existing development.

For the reasons presented herein and in Section V, there is a reasonable relationship between the need for the public park and recreation facilities and all new residential development within the City as required under Section 66001(a)(4) of the Mitigation Fee Act.

E. THE RELATIONSHIP BETWEEN THE AMOUNT OF THE FEE AND THE COST OF THE PUBLIC FACILITIES ATTRIBUTABLE TO THE DEVELOPMENT UPON WHICH THE FEE IS IMPOSED ("ROUGH PROPORTIONALITY" RELATIONSHIP) (GOVERNMENT CODE 66001(A))

As set forth above, all new residential development in the City impacts public park and recreation facilities. Moreover, each individual residential development project and its related increase in population will adversely impact existing park and recreation facilities. Thus, imposition of the development impact fee to finance new public park and recreation facilities is an efficient, practical, and equitable method of permitting development to proceed in a responsible manner.

New development impacts the need for public park and recreation facilities directly and cumulatively. Even new development located adjacent to existing facilities will have access to and benefit from new public park and recreation facilities. Again, the design, acquisition, construction, and installation of the public parks and recreation facilities in Section IV are specifically a function of projected new residents within the City and do not reflect any unmet needs of existing development.

As set forth in part F below, the proposed development impact fee amounts are roughly proportional to the impacts resulting from new residential development. Thus there is a

reasonable relationship between the amount of the development impact fee and the cost of the public park and recreation facilities.

F. AB 1600 NEXUS TEST AND APPORTIONMENT OF FACILITIES COSTS

Section 66000 of the Government Code requires that a reasonable relationship exist between the need for public facilities and the type of development on which a development impact fee is imposed. The need for public park and recreation facilities is related to the level of service established in the City's General Plan, which varies in proportion to the persons per household ("PPH") generated by a particular residential land use.

DTA established fees for the following three residential land use categories to acknowledge the difference in PPH impacts from various residential land uses. The City will develop a table of general plan land use designations that link to the land use classifications used in this study for clarification and consistency with City zoning. This table will be made a part of the ordinance or resolution that will be adopted for the purpose of implementing this development impact fee program.

TABLE II-1

<i>Land Use Classification for Park Fee Study</i>
Single Family Residential ("SFR")
Multi-family Owner ("Multi-family")
Apartment

The costs associated with the public park and recreation facilities needed to serve new residential development are identified in Section IV. As mentioned above, the public park and recreation facilities costs per person drive the development impact fee amount for each land use classification and establish that there is a reasonable relationship between the need for public park and recreation facilities and the residential land use type characterizing the development on which a development impact fee is being imposed. Section V presents the nexus test and the analysis undertaken to apportion public park and recreation facilities costs to each residential land use classification.

III. DEMOGRAPHICS

In order to determine the public park and recreation facilities needed to serve new development as well as establish fee amounts to fund such facilities, the City commissioned a demographics analysis from Stanley R. Hoffman Associates ("SRH"). SRH utilized Public Use Microdata Areas ("PUMA") data to estimate PPH for each residential land use type. Population and occupied households derived from the PUMA data for the Costa Mesa area are shown in Tables III-1 and III-2 below.

TABLE III-1

POPULATION AND HOUSEHOLD – OWNER OCCUPIED UNITS		
RESIDENTIAL DWELLING UNIT TYPE	PERSONS	HOUSEHOLDS
Mobile Home or Trailer	1,013	439
One-Family House Detached	35,500	12,476
One-Family House Attached	5,015	2,502
2 Apartments	347	119
3-4 Apartments	992	385
5-9 Apartments	513	293
10-19 Apartments	333	166
20-49 Apartments	111	94
50 or More Apartments	173	81
Boats	20	20
Total	44,017	16,575

TABLE III-2

POPULATION AND HOUSEHOLD – RENTER OCCUPIED UNITS		
RESIDENTIAL DWELLING UNIT TYPE	PERSONS	HOUSEHOLDS
Mobile Home or Trailer	159	121
One-Family House Detached	10,867	3,373
One-Family House Attached	4,109	1,510
2 Apartments	4,228	1,317
3-4 Apartments	15,208	4,572
5-9 Apartments	7,668	2,624
10-19 Apartments	7,360	3,047
20-49 Apartments	7,435	3,678
50 or More Apartments	6,226	3,111
Boats	26	26
Total	63,286	23,379

All One-Family House Detached and One-Family House Attached units are classified as SFR units. Owner occupied Apartments are classified as Multi-family units. Renter occupied Apartments are classified as Apartment units. Grouping the data accordingly results in the PPH shown in Table III-3 below.

TABLE III-3

PPH			
RESIDENTIAL DWELLING UNIT TYPE	PERSONS	HOUSEHOLDS	PPH
SFR	55,491	19,861	2.79
Multi-family	2,469	1,138	2.17
Apartment	48,125	18,349	2.62
Total/Average	106,085	39,348	2.70

In addition, City staff conducted a case study analysis of the PPH for large apartment projects using an existing apartment project with over one hundred (100) dwelling units. City staff

calculated PPH separately for studio, one bedroom, two bedroom, and three or more bedrooms. The results of this case study are shown in Table III-4 below.

TABLE III-4

PPH AND EDUs LARGE APARTMENT PROJECT CASE STUDY		
RESIDENTIAL DWELLING UNIT TYPE	DISTRIBUTION ¹	PPH
Studio	9.5%	1.2000
1 Bedroom	45.5%	1.5000
2 Bedroom	40.6%	2.1000
3+ Bedroom	4.4%	2.8000
Total/Weighted Average	100.0%	1.7723
¹ Distribution based on all existing apartment projects within the City with 50 or more dwelling units.		

IV. PARK AND RECREATION FACILITIES

Government Code Section 66000, which codifies California's Mitigation Fee Act, requires that if impact fees are going to be used to finance public facilities, those facilities must be identified prior to the adoption of the fee. There are three basic methodologies that can be employed to determine the facilities to be financed. The first methodology, which is called a "Plan-Based Approach," is based on the existence of a "Facilities Plan" that lists the specific facilities necessary to serve future growth. The Facilities Plan utilized under this approach is usually prepared by a municipality's staff and/or consultants, often with community input, and is then adopted by the municipality's legislative body either prior to or at the same time the fee program is approved. The Facilities Plan also identifies the costs of the facilities listed, and these costs are in turn allocated based on the level of benefit to be received by projected future land uses anticipated to be developed within the time period being analyzed. In the case of the City, the only existing Park and Recreation Facilities Plan was prepared and adopted by the City Council in 2002 and is out of date. While the City is now working with the community to prepare a new Park and Recreation Facilities Plan, the completion of this Facilities Plan and its adoption by City Council is not imminent. As a result, a Plan-Based Approach is infeasible at this time.

A second methodology to identify facilities needs is the "Capacity-Based Approach," and is based on the magnitude of existing capacity or expanded capacity needed for a type of public facility in order to handle projected growth during the selected time period. This approach works best for facilities such as an existing water storage facility or sewer treatment plant where existing costs or facilities expansion costs necessary to serve future development are already known (and in the case of existing capacity, may have already been expended). This kind of fee is not necessarily dependent on a particular land use plan for future development, but is instead based on the cost per unit of constructing the remaining existing capacity in a facility, or the cost to expand such capacity, which can then be applied to any type of future development. However, the City has already determined that, based on a standard of 4.26 acres per 1,000 residents, there is no existing surplus of park and recreation facilities that is available to serve new development. Furthermore, the City has not determined what specific improvements could be added to existing park facilities to adapt them to use by a greater population of residents, nor the cost of such improvements, so insufficient information was available to employ the "Capacity-Based Approach" in this Park Fee Study.

A third approach is to utilize a facilities "standard" established for future development, against which facilities costs are determined based on units of demand from this development. This approach, which is often applied to park and recreation facilities when there is no existing Facilities Plan, establishes a generic unit cost for capacity, which is then applied to each land use type per unit of demand. This standard is not based on the cost of a specific existing or future facility, but rather on the cost of providing a certain standard of service, such as the 4.26 acres of park and recreation facilities per 1,000 residents established by the General Plan. This method has several advantages, including not requiring a municipality to know (i) the cost of a specific facility, (ii) how much capacity or service is provided currently (as the new standard does not

necessarily need to reflect the existing standard), or (iii) the size, site, or characteristics of specific future facilities.

In the case of the City, in which specific facility sites or sizes, or types of park and recreation improvements or facilities have not yet been determined, the City does intend to acquire (or require future development to provide on-site) 4.26 acres per 1,000 new residents, whether those residents are generated by Single Family, Multi-family, or Apartment dwelling units. As a result, a "Standards-Based Approach" was determined by the City and DTA to be the most appropriate methodology for purposes of calculating impact fees for the Park Fee Study. Since no specific park and recreation sites and/or facilities have been determined to-date, specific costs are not yet known. Consequently, it was necessary to estimate what anticipated land acquisition costs could be expected, as well as which types of improvements should be included in developing these future parks and the costs related to constructing these improvements. Further information on these improvement costs and types is provided below in Section IV.A, below.

A. LAND ACQUISITION COSTS

As the City is already substantially built out, it is anticipated that sites for new park and recreation facilities will be limited to the acquisition of small parcels of vacant or underutilized land, such as underutilized public facilities, surplus school property, or industrial property or low-density residential property on which existing uses could be cost-effectively demolished. Without knowing which specific sites will be acquired by the City, DTA conducted a survey of vacant sites within the City that have been purchased over the past twelve years, and calculated a weighted average price per acre. Table IV-1, below, reflects land use and acreage data, dates of sale, and sale prices per acre for the eight (8) vacant land parcels reported by LoopNet.com as having been sold within the City since 2003. Based on these data, the City will be utilizing an estimated land price of \$2,500,000 per acre as the cost of new parkland, with an annual price escalator applied on July 1st of each year, starting July 1, 2016, based on the change to the Los Angeles-Riverside-Orange County Consumer Price Index in the previous calendar year.

TABLE IV-1

VACANT LAND SALES CITY OF COSTA MESA				
DATE SOLD	PARCEL LOCATION¹	SITE ACREAGE	TYPE OF USE	SALE PRICE PER ACRE
4/30/2009	2	0.76	Industrial	\$1,650,000
9/22/2008	6	1.61	Multifamily	\$3,226,667
12/31/2006	1	0.72	Commercial/Other	\$2,969,655
5/5/2006	5	0.42	Multifamily	\$2,744,384
6/8/2005	7	0.25	Multifamily	\$3,682,801
2/23/2004	8	0.24	Commercial/Other	\$2,534,389
7/14/2003	3	0.61	Retail	\$2,131,147
5/21/2003	4	0.76	Retail	\$1,578,947
Weighted Average Sales Price per Acre				\$2,564,000
¹ See Appendix A Source: LoopNet.com				

B. PARK IMPROVEMENT TYPES AND COSTS

As noted previously, the specific types of improvements/facilities to be constructed within future City parks have not yet been specifically identified, but are expected to be included in the City Park Facilities Plan that is currently being prepared by City staff, with the assistance of the community. In order to maintain as much flexibility as possible, City and DTA staff have prepared a generic list of facilities/improvements that could potentially be included within these future parks. The types of park facilities listed in Table IV-2 are expected to be financed, in whole or in part, through the levy of a development impact fee on all future residential development in the City.

TABLE IV-2

TYPES OF PARK IMPROVEMENTS TO BE FINANCED	
Amphitheatre	Picnic Tables
Ball Fields (Baseball, Football, Soccer, Multi-Use)	Playground (Tot Lot, Water Play)
Bike Paths	Recreation Center
Bike Rack	Restrooms
Community Events Center	Retaining Walls and Fencing
Concession Building	Security Lighting
Courts (Basketball, Horseshoe, Tennis, Volleyball)	Shade Structures
Demolition	Site Furniture
Drinking Fountains	Site Preparation
Grading / Earthwork	Skate park
Irrigation and Landscaping	Swimming Pool
Park Benches	Synthetic Turf Fields
Parking Lot/Paving	Trash Receptacles
Pedestrian Path/Trails	Utilities (Drainage, Sewer, Water, Gas, Electrical)
Permanent Sports Lighting	

In an effort to determine the appropriate cost of the types of public park and recreation facilities listed in Table IV-2, DTA collected park and recreation facilities cost information for recently constructed public parks in Southern California. These cost data are shown in Table IV-3 and were obtained from a park and recreation facilities cost database derived from other DTA park fee studies, as well as on-line and municipality-provided park cost information. While the source data for certain parks included design and other soft costs, the majority of the source data did not. Therefore, with the exception of Desiderio Park, for which it was not feasible to exclude design costs, the park and recreation facilities cost figures in Table IV-3 do not include design costs, meaning that they are generally conservative. Notably, the Cities of Encinitas, Lake Forest, and Laguna Niguel park construction costs are based on actual bids, while the construction costs for the other parks listed are estimates provided by the municipalities in which the parks were to be developed.

To determine the weighted average public park and recreation facilities construction cost per acre, the high and low construction cost estimates (Desiderio Park and Veteran's Memorial Park) were excluded from the computations because they appeared to be outliers. The resulting weighted average public park and recreation facilities construction cost is \$391,074 per acre and the City will be utilizing an estimated construction cost of \$390,000 per acre. As is the case for land acquisition costs, estimated park improvement/facilities costs will be adjusted on July 1st of

each year, starting July 1, 2016, based on the change to the Los Angeles-Riverside-Orange County Consumer Price Index in the previous calendar year. Detailed park and recreation facilities construction costs are included in Appendices B - J.

TABLE IV-3

PARK AND RECREATION FACILITIES CONSTRUCTION COSTS					
PUBLIC AGENCY	PARK	YEAR	ACRES	ESTIMATED CONSTRUCTION COST	ESTIMATED CONSTRUCTION COST PER ACRE
Encinitas	Encinitas Community Park	2012	44.0	\$13,927,642 ¹	\$316,537
Jurupa Area Rec and Parks District	Horseshoe Lake Park	2006	13.0	\$2,375,000	\$182,692
Jurupa Area Rec and Parks District	Veteran's Memorial Park	2006	9.98	\$1,487,750	\$149,073
Lake Forest	Sports Park	2013	86.20	\$35,888,810	\$416,344
Laguna Niguel	Crown Valley Park	2014	18.00	\$4,599,531	\$255,529
Pasadena	Desiderio Park	2014	3.80	\$2,410,000 ³	\$634,211
Redondo Beach	Heart Park	2003	76.5	\$32,473,900 ²	\$424,495
San Marcos	Bradley Park	2012	34.0	\$12,492,484	\$367,426
Tustin	Tustin Legacy	2014	31.50	\$16,816,265	\$533,850
Weighted Average (Excluding High and Low Data Points)					\$391,074
¹ Excludes \$5,250,000 for EIR, design, and development.					
² Excludes \$91,864,600 for remediation/site preparation.					
³ Includes design costs.					

C. PARK AND RECREATION FACILITIES COSTS

1. MAXIMUM PARK AND RECREATION FACILITIES COSTS

Adding the \$2,500,000 per acre in land acquisition costs to the \$390,000 per acre in improvements costs yields a full cost for park and recreation facilities of \$2,890,000 per acre. Note, the City has no revenues (e.g., grants, general obligation bond proceeds, etc.) with which it can offset these facilities costs.

2. ALTERNATIVE 1

The City's ability to acquire parkland has been hampered for two reasons. One, the City has to-date imposed park fees pursuant to the Quimby Act which is not applicable to apartment projects. As a result, only forty percent (40.00%) of the residential dwelling units developed within the City since 2000 have paid park fees. In short, park fee revenues have been insufficient to acquire parkland in amounts consistent with the City's

goals. Two, there is a limited supply of vacant land remaining within the City. Since 2006, the City has acquired park land equivalent to twenty-two and thirty-eight hundredths percent (22.38%) of the potential park acreage it would have purchased had it expended the full component of park impact fees collected that were intended for land acquisition. Specifically, total park fee expenditures since 2006 have equaled \$15,494,816 which indicates that the City could have acquired and developed 5.36 acres of parkland (\$15,494,816 divided by \$2,890,000). The actual park acreage acquired since 2006 was only 1.2 acres, which equals 22.38% of the potential park acres that should have been acquired. Given a continuation of this practice by the City, the amount anticipated to be spent on land acquisition would be only 22.38% of \$2,500,000 per acre, or the equivalent of \$559,500 per acre for each of the 4.26 acres per 1,000 new residents. If this trend was to continue in the future, total adjusted parkland acquisition and recreation facilities costs would be \$949,500 per acre (\$559,500 for land acquisition plus \$390,000 for improvements).

3. ALTERNATIVE 2

Alternative 2 recognizes that this Park Fee Study will establish a development impact fee for park and recreation facilities that will be applicable to all residential development, and therefore the City anticipates that there will be fee revenues sufficient to acquire parkland in the future at approximately twice the historical (2006 – 2014) rate, or forty-five percent (45.00%), resulting in the expenditure of an equivalent of \$1,125,000 per acre for each of the 4.26 acres per 1,000 new residents. Total adjusted parkland acquisition and recreation facilities costs projected under this scenario would be \$1,515,000 per acre (\$1,125,000 for land acquisition plus \$390,000 for improvements). In addition, Alternative 2 (i) caps the fee for apartment projects comprised of fewer than fifty (50) dwelling units at the fee level for Multi-family and (ii) substitutes the Alternative 1 land acquisition cost of \$559,500 per acre adjusted by an additional fifty percent (50.00%) for apartment projects with fifty (50) or more dwelling units in recognition that a DIF for Apartments has not previously been imposed and large apartment projects typically include on-site recreation amenities such as a recreation or community room, dog runs, pools, barbecues, etc. Total adjusted parkland acquisition and recreation facilities costs for apartment projects with 50 or more dwelling units would be \$669,750 per acre (\$559,500 for land acquisition multiplied by 0.50 (or \$279,750) plus \$390,000 for improvements).

Section V below shows the calculation of the development impact fees for park and recreation facilities for all three scenarios.

V. METHODOLOGY UTILIZED TO CALCULATE DEVELOPMENT IMPACT FEES

Pursuant to the nexus requirements of Government Code 66000, a local agency is required to "determine how there is a reasonable relationship between the amount of the development impact fee and the cost of the public facility or portion of the public facility attributable to the development on which the fee is imposed." It is impossible to accurately determine the impact that a specific new residential unit will have on existing facilities. Predicting future residents' specific behavioral patterns, park, and health and welfare requirements is extremely difficult, and would involve numerous assumptions that are subject to substantial variances. Recognizing these limitations, the Legislature drafted AB 1600 to specifically require that a "reasonable" relationship be determined, not a direct cause and effect relationship. This reasonable relationship, which was discussed in detail in Section II of the Park Fee Study, is summarized in Table V-1.

TABLE V-1

PUBLIC PARK AND RECREATION FACILITIES AB 1600 NEXUS TEST	
Identify Purpose of Fee	Park and Recreation Facilities
Identify Use of Fee	The design, acquisition, installation, and construction of public park and recreation facilities, including parkland
Demonstrate how there is a reasonable relationship between the need for the public facility, the use of the fee, and the type of development project on which the fee is imposed	New residential development will generate additional residents who will increase the demand for active and passive park and recreation facilities within the City. Land will have to be purchased and improved to meet this increased demand, thus a reasonable relationship exists between the need for park and open space facilities and the impact of residential development. Fees collected from new development will be used exclusively for park and open space facilities identified in Section IV.

There are many methods or ways of calculating development impact fees, but they are all based on determining the cost of needed improvements and assigning those costs equitably to various types of development. Development impact fees in this study have been calculated utilizing a "standards-based" methodology. The fee levels are a function of (i) the City's existing park standard of 4.26 acres per 1,000 residents, (ii) the estimated cost per acre for new park and recreation facilities, and (iii) the estimated PPH. One global assumption utilized within this Park Fee Study for the allocation of costs between existing and new development relates to the allocation of costs based on the facilities standard. The public parks and recreation facilities described in Section IV are 100% allocated to new residential development because these facilities are specifically a function of projected new residents within the City and do not reflect any unmet needs or deficiency pertaining to existing development. The recommended fee levels and fee calculation methodologies are summarized in Tables V-2 and V-3 below.

TABLE V-2

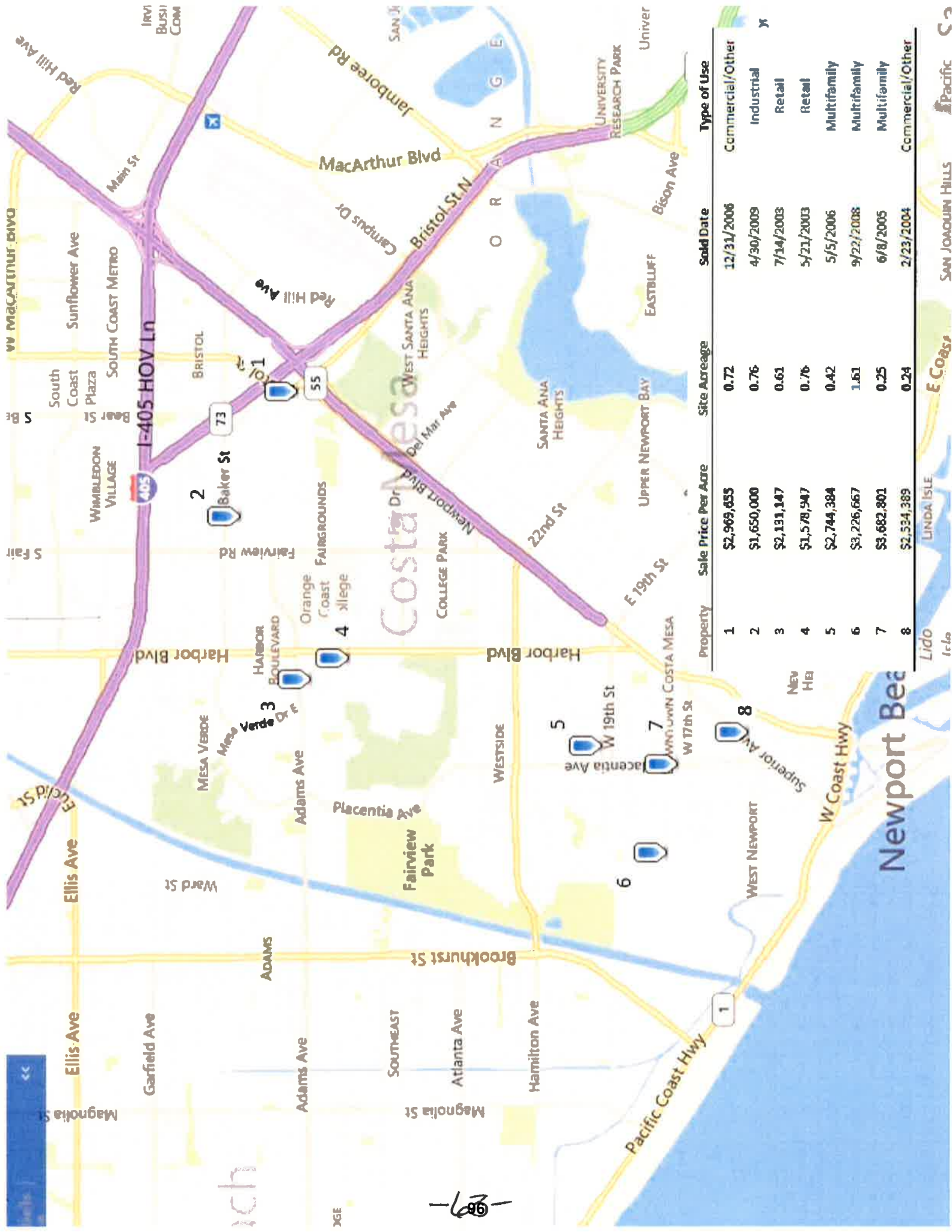
PARK AND RECREATION ALTERNATIVE 1 DEVELOPMENT IMPACT FEES BASED ON HISTORICAL RATE OF PARKLAND ACQUISITION FROM 2006 - 2014				
(A)	(B)	(C)	(D)	(E)
RESIDENTIAL DWELLING UNIT TYPE	PPH	ACRES / 1,000 ¹	COST / ACRE	FEE
Single Family	2.79	4.26	\$949,500	\$11,285.19 ²
Multi-family	2.17	4.26	\$949,500	\$8,777.37 ²
Apartment	2.62	4.26	\$949,500	\$10,597.56 ²
¹ Column C represents the General Plan standard of 4.26 park and recreation acres per 1,000 residents.				
² Fee equals Column B x Column C / 1,000 x Column D.				

TABLE V-3

PARK AND RECREATION ALTERNATIVE 2 DEVELOPMENT IMPACT FEES BASED ON PROJECTED RATE OF PARKLAND ACQUISITION				
(A)	(B)	(C)	(D)	(E)
RESIDENTIAL DWELLING UNIT TYPE	PPH	ACRES / 1,000 ¹	COST / ACRE	FEE
Single Family	2.7900	4.26	\$1,515,000	\$18,006.38 ²
Multi-family	2.1700	4.26	\$1,515,000	\$14,004.96 ²
Apartment				
< 50 Project Dwelling Units	2.6200	4.26	\$1,515,000	\$14,004.96 ³
>= 50 Project Dwelling Units	1.7723	4.26	\$669,750	\$5,056.61
¹ Column C represents the General Plan standard of 4.26 park and recreation acres per 1,000 residents.				
² Fee equals Column B x Column C / 1,000 x Column D.				
³ Capped at fee level for Multi-family.				

APPENDIX A

MAP OF VACANT LAND SALES



Property	Sale Price Per Acre	Site Acreage	Sold Date	Type of Use
1	\$2,969,655	0.72	12/31/2006	Commercial/Other
2	\$1,650,000	0.76	4/30/2009	Industrial
3	\$2,131,147	0.61	7/14/2003	Retail
4	\$1,578,947	0.76	5/21/2003	Retail
5	\$2,744,384	0.42	5/5/2006	Multifamily
6	\$3,226,667	1.61	9/22/2008	Multifamily
7	\$3,682,801	0.25	6/8/2005	Multifamily
8	\$2,534,389	0.24	2/23/2004	Commercial/Other

Lido

Costa Mesa

San Joaquin Hills

Pacific

APPENDIX B

CITY OF ENCINITAS – ENCINITAS COMMUNITY PARK CONSTRUCTION COST DATA

City of Encinitas
Source: USS Cal Bid and Native Grow Nursery Bid (www.ci.encinitas.ca.us)

Summary

	Total Costs
Land Acquisition	\$18,200,000
EIR, Design, and Development	\$5,250,000
Construction (USS Cal Builders)	
Park Amenities	\$11,216,788
Landscaping	\$2,710,855
Landscaping (Native Grow Nursery)	\$122,594
Park Acres	44.00
Construction Cost per Acre (Park Amenities only)	\$254,927
Landscaping Cost per Acre	\$64,397
Total Improvement Costs per Acre	\$319,324
Land Acquisition Costs per Acre	\$413,636

Improvement/Construction Costs Detail					
<u>Description</u>	<u>Quantity</u>	<u>Unit Cost</u>	<u>Subtotal</u>	<u>Total</u>	<u>Grand Total</u>
Encinitas Community Park					\$13,927,642
<u>Construction</u>					
General Work				\$1,471,242.00	
Mobilization	1 LS	\$216,000.00	\$216,000.00		
Clear and Grub	1 LS	\$87,000.00	\$87,000.00		
Grading	164,100 CY	\$1.62	\$265,842.00		
Fine Grading	1,533,000 SF	\$0.11	\$168,630.00		
Soil Removal/Recompaction	32,000 CY	\$2.81	\$89,920.00		
Soil Reuse (Primary Soils Management Zone)	55,000 CY	\$9.35	\$514,250.00		
Storm Water Pollution Control/ SWPPP	1 LS	\$27,000.00	\$27,000.00		
Striping, Signage, & Painted Curb	1 LS	\$48,600.00	\$48,600.00		
Traffic Control	1 LS	\$54,000.00	\$54,000.00		
Utility Work				\$1,113,970.32	
Fire Hydrant Assembly	4 EA	\$5,562.00	\$22,248.00		
Reclaimed Water 1-1/2" PVC	220 LF	\$12.42	\$2,732.40		
Reclaimed Water 2" PVC	695 LF	\$15.12	\$10,508.40		
Reclaimed Water 12" PVC	3,035 LF	\$115.56	\$350,724.60		
Reclaimed Service 1-1/2"	2 EA	\$3,456.00	\$6,912.00		
Reclaimed Water Service 6"	1 EA	\$23,247.00	\$23,247.00		
Sewer 4" PVC	710 LF	\$48.60	\$34,506.00		
Sewer 6" PVC	1,240 LF	\$51.84	\$64,281.60		
Sewer 8" PVC	649 LF	\$92.88	\$60,279.12		
Sewer Cleanout	29 EA	\$648.00	\$18,792.00		
Sewer- Cut and Cap Existing Pump Station	1 EA	\$1,080.00	\$1,080.00		
Sewer Manhole	2 EA	\$6,307.20	\$12,614.40		
Water 1/2" PVC	980 LF	\$10.80	\$10,584.00		
Water 1" PVC	555 LF	\$11.88	\$6,593.40		
Water 2" PVC	320 LF	\$15.12	\$4,838.40		
Water 8" PVC	1,250 LF	\$75.60	\$94,500.00		
Water 12" PVC	2,735 LF	\$133.92	\$366,271.20		
Water- Remove Existing ACP	1,100 LF	\$5.40	\$5,940.00		
Water Service 1"	3 EA	\$3,990.60	\$11,971.80		
Water Service 2"	1 EA	\$5,346.00	\$5,346.00		
Drainage				\$1,544,243.40	
Atrium Drain	129 EA	\$248.40	\$32,043.60		
Bio-Retention Area (C-1.8, p22)	1 LS	\$183,600.00	\$183,600.00		
Bio-Retention Area (Dog Park)	1 LS	\$41,040.00	\$41,040.00		
Catch Basin and Grate	73 EA	\$1,431.00	\$104,463.00		
Catch Basin per SDRSD D-8	3 EA	\$2,997.00	\$8,991.00		
Curb Inlet	5 EA	\$5,076.00	\$25,380.00		
HDPE Storm Drain Pipe 18"	2,540 LF	\$64.80	\$164,592.00		
HDPE Storm Drain Pipe 24"	450 LF	\$77.76	\$34,992.00		
Headwall	3 EA	\$2,700.00	\$8,100.00		
Headwall w/ Trashrack	12 EA	\$3,888.00	\$46,656.00		
Headwall with Manifold	1 EA	\$4,050.00	\$4,050.00		
Junction Structure - APWA 331	3 EA	\$540.00	\$1,620.00		
Junction Structure - APWA 332	25 EA	\$702.00	\$17,550.00		
Manhole	5 EA	\$5,454.00	\$27,270.00		
Manhole - APWA 320/ Modified APWA 320	3 EA	\$9,558.00	\$28,674.00		

Improvement/Construction Costs Detail - Continued

Description	Quantity	Unit Cost	Subtotal	Total
Parkway Culvert APWA 151	11 EA	\$2,430.00	\$26,730.00	
Perforated Drain at Backstop (4")	570 LF	\$37.80	\$21,546.00	
Rip-Rap	3,125 SF	\$21.60	\$67,500.00	
Stormceptor	1 EA	\$49,194.00	\$49,194.00	
Storm Drain 6" PVC	6,800 LF	\$31.86	\$216,648.00	
Storm Drain 8" PVC	2,580 LF	\$35.91	\$92,647.80	
Storm Drain 10" PVC	145 LF	\$64.80	\$9,396.00	
Storm Drain 12" PVC	2,420 LF	\$54.00	\$130,680.00	
Storm Drain 54" rcp	366 LF	\$367.20	\$134,395.20	
Storm Drain Cleanout	11 EA	\$324.00	\$3,564.00	
Subdrain- Play Area	40 LF	\$59.40	\$2,376.00	
U-Channel 1'-6"	50 LF	\$27.00	\$1,350.00	
V-ditch 1'-6" Deep	1,185 LF	\$27.00	\$31,995.00	
V-Gutter	1,095 LF	\$24.84	\$27,199.80	
Building, Fence, and Wall Improvements				\$3,643,256.00
Building- South Concession/ Restroom	1 LS	\$525,000.00	\$525,000.00	
Building- North Restroom	1 LS	\$510,000.00	\$510,000.00	
Electrical- Main Service	1 LS	\$59,400.00	\$59,400.00	
Electrical- Site Conduits, Conductors, Trenching, Complete	1 LS	\$95,040.00	\$95,040.00	
Light Fixture 14'	58 EA	\$7,000.00	\$406,000.00	
Light Fixture (18' single head)	11 EA	\$8,835.00	\$97,185.00	
Light Fixture (18' double head)	2 EA	\$15,120.00	\$30,240.00	
Light Fixture (20' single head)	58 EA	\$10,044.00	\$582,552.00	
Light Fixture (20' double head)	10 EA	\$10,962.00	\$109,620.00	
Light Fixture- Bollard	4 EA	\$9,450.00	\$37,800.00	
Junction Box for Future Light	69 EA	\$1,252.00	\$86,388.00	
Fencing- Backstops at 2 Ballfields	1 LS	\$155,000.00	\$155,000.00	
Fencing- 6' HT. Chainlink	360 LF	\$37.80	\$13,608.00	
Fencing- 8' HT. Chainlink	1,340 LF	\$59.40	\$79,596.00	
Fencing- 20' HT. Chainlink	450 LF	\$145.80	\$65,610.00	
Fencing- Lodge Pole	115 LF	\$48.60	\$5,589.00	
Gate w/ Pilasters- Tubular Steel	1 LS	\$14,040.00	\$14,040.00	
Trash Enclosures	2 EA	\$31,054.00	\$62,108.00	
Wall- 18" HT. at Park Entry	70 LF	\$75.60	\$5,292.00	
Wall-18" Planter	300 LF	\$75.60	\$22,680.00	
Wall-4' HT. For Material Bin Storage	70 LF	\$86.40	\$6,048.00	
Wall 6' HT. Masonry w/ Pilaster	4,105 LF	\$135.00	\$554,175.00	
Wall- Cheek Wall At Stair	175 LF	\$86.40	\$15,120.00	
Wall- 6' HT. Masonry at Maintenance Yard	140 LF	\$135.00	\$18,900.00	
Wall- Planter/Ret., incl. Guard Rail where required	475 LF	\$145.80	\$69,255.00	
Wall- Seat Walls	45 LF	\$378.00	\$17,010.00	
Site Improvements				\$2,478,849.48
Asphalt Paving	2700 TON	\$100.00	\$270,000.00	
Bollards at Lot 'A'	7 EA	\$702.00	\$4,914.00	
Class II Base- Provide and Place	8,009 TON	\$23.76	\$190,293.84	
Class II Base- Place Onsite Material	6,529 TON	\$23.76	\$155,129.04	
Color Concrete Band 18" Wide	2105 LF	\$19.44	\$40,921.20	
Color Concrete Walkways	116,040 SF	\$9.18	\$1,065,247.20	
Concrete Mowcurb 6" Wide	6,750 LF	\$12.96	\$87,480.00	
Concrete Mowcurb 12" Wide	1,130 LF	\$16.20	\$18,306.00	
Concrete Stairs at Ball Fields	625 LF	\$54.00	\$33,750.00	
6" Curb/ Class II Base	8,350 LF	\$17.28	\$144,288.00	
6" Curb & Gutter/ Class II Base	3,670 LF	\$22.68	\$83,235.60	
6" Curb & Gutter w/block out/ Class II Base	1,600 LF	\$25.92	\$41,472.00	
Curb Ramp	25 EA	\$810.00	\$20,250.00	
Driveway Approach - SDRSD G-14A	1 EA	\$2,268.00	\$2,268.00	
Grass Pave2	1,480 SF	\$13.50	\$19,980.00	
Overlook w/ Seatwall, Conc. Band, & Interlocking Paver	1 LS	\$29,160.00	\$29,160.00	
Pavers	13,285 SF	\$9.18	\$121,956.30	
6" PCC Pavement	785 SF	\$8.10	\$6,358.50	
Simulated Bridges, Complete with Lodge Pole Fence, Stamped Concrete, and Flatwork	2 EA	\$7,020.00	\$14,040.00	
Stabilized Decomposed Granite Walkways w/ Curbing	9,245 SF	\$14.04	\$129,799.80	

Improvement/Construction Costs Detail - Continued

<u>Description</u>	<u>Quantity</u>	<u>Unit Cost</u>	<u>Subtotal</u>	<u>Total</u>
Site Furnishings				\$304,938.00
Bat Rack @ Dugouts	4 EA	\$2,700.00	\$10,800.00	
Bench @ Dugouts	4 EA	\$2,970.00	\$11,880.00	
Bench- Custom with Back	22 EA	\$1,620.00	\$35,640.00	
Bench- Custom without Back	6 EA	\$1,620.00	\$9,720.00	
Bike Rack	5 EA	\$810.00	\$4,050.00	
Bleacher w/ Guard Rail	4 EA	\$7,020.00	\$28,080.00	
BQ Unit Group	5 EA	\$702.00	\$3,510.00	
BQ Unit Single	10 EA	\$486.00	\$4,860.00	
Concrete Seating Pad- Accessible	7 EA	\$2,700.00	\$18,900.00	
Concrete Seating Pad	12 EA	\$2,700.00	\$32,400.00	
Picnic Tables	28 EA	\$1,458.00	\$40,824.00	
Picnic Pads (Large 327 SF)	8 EA	\$3,780.00	\$30,240.00	
Picnic Pads (Small 130 SF)	12 EA	\$1,512.00	\$18,144.00	
Pitching Rubber, Bases, Home Plate (Complete Set)	2 EA	\$5,940.00	\$11,880.00	
Pedestrian Drinking Fountain	4 EA	\$2,970.00	\$11,880.00	
Score Table	2 EA	\$1,890.00	\$3,780.00	
Trash / Recycle Receptacles (Install Only)	35 EA	\$810.00	\$28,350.00	
Street Improvements				\$100,564.74
Adjust Existing Facility to Grade	11 EA	\$702.00	\$7,722.00	
Asphalt Deeplift	450 LF	\$9.72	\$4,374.00	
Asphalt Dike (6")	30 LF	\$9.72	\$291.60	
Asphalt Grind and Overlay	165 SF	\$2.16	\$356.40	
Asphalt Paving	151 TON	\$102.60	\$15,492.60	
Class II Base	247 TON	\$23.76	\$5,868.72	
Concrete Alley Apron	1020 SF	\$6.48	\$6,609.60	
Concrete Cross Gutter	480 SF	\$6.48	\$3,110.40	
Concrete Driveway (w/8" PCC/6" AB)	2 EA	\$2,052.00	\$4,104.00	
Concrete Enhanced Paving @ Santa Fe Entry	208 SF	\$8.10	\$1,684.80	
Concrete Pedestrian Ramp	8 EA	\$449.28	\$3,594.24	
Concrete Sidewalk	2000 SF	\$4.86	\$9,720.00	
6" Curb/ Class II Base	180 LF	\$17.28	\$3,110.40	
6" Curb & Gutter/ Class II Base	595 LF	\$21.60	\$12,852.00	
6" Curb & Gutter (Rolled), Incl. Transitions/ Class II Base	36 LF	\$22.68	\$816.48	
Grass Pave2	225 SF	\$13.50	\$3,037.50	
Miscellaneous Relocations	1 LS	\$8,100.00	\$8,100.00	
Parkway Culvert	1 EA	\$2,430.00	\$2,430.00	
Sawcut	675 LF	\$10.80	\$7,290.00	
Traffic Signal and Signage Improvements				\$437,130.00
3" PVC Conduit	180 LF	\$27.00	\$4,860.00	
2" PVC Conduit	150 LF	\$27.00	\$4,050.00	
Signal Cables and Wires	1 LS	\$21,600.00	\$21,600.00	
6T Pull Box	1 EA	\$1,620.00	\$1,620.00	
6E Pull Box	1 EA	\$1,890.00	\$1,890.00	
5T Pull Box	1 EA	\$1,890.00	\$1,890.00	
5E Pull Box	2 EA	\$1,890.00	\$3,780.00	
Type 1A Pole and Foundation	1 EA	\$27,000.00	\$27,000.00	
Type 15TS Pole, Foundation, 15' Lum Arm	1 EA	\$27,000.00	\$27,000.00	
HPS Luminaire	1 EA	\$4,860.00	\$4,860.00	
SV-4-TB	1 EA	\$1,620.00	\$1,620.00	
SV-1-T	1 EA	\$1,620.00	\$1,620.00	
SP-1-T Ped. Head	1 EA	\$1,620.00	\$1,620.00	
SP-2-T Ped Head	1 EA	\$1,620.00	\$1,620.00	
Polara Audible Navigator PPB Assembly and System	8 EA	\$243,000.00	\$194,400.00	
Type E Loop Detector	22 EA	\$4,860.00	\$106,920.00	
Overhead Box Guard	1 EA	\$1,620.00	\$1,620.00	
Miscellaneous Equipment Modification	1 LS	\$12,960.00	\$12,960.00	
Miscellaneous Relocations/ Removals	1 LS	\$16,200.00	\$16,200.00	

Improvement/Construction Costs Detail - Continued

Description	Quantity	Unit Cost	Subtotal	Total
<u>Landscaping</u>				\$2,710,854.55
1 Gal. Container Planting (Install Only)	50,640 EA	\$1.94	\$98,241.60	
15 Gal. Tree	461 EA	\$129.60	\$59,745.60	
24" Box Tree	452 EA	\$259.20	\$117,158.40	
3" Mulch	4,325 CY	\$34.56	\$149,472.00	
Bio-Retention Planter Strips	6,280 SF	\$4.32	\$27,129.60	
Bio-Swale w/ Boulders, Pebbles at Parking Lot E	2240 SF	\$9.18	\$20,563.20	
Garden Buffer Bioswale w/ Boulders, Cobble	31295 SF	\$9.18	\$287,288.10	
Hydroseed Mix (Irrigated)	126,315 SF	\$0.45	\$56,841.75	
Hydroseed Mix (Non-irrigated)	329,375 SF	\$0.06	\$19,762.50	
Infield Mix	45,740 SF	\$1.30	\$59,462.00	
Irrigation (Complete)	1,154,545 SF	\$1.14	\$1,316,181.30	
Palm Brehea armata 5' B.T.	13 EA	\$3,780.00	\$49,140.00	
Palm Brehea armata 8' B.T.	7 EA	\$4,590.00	\$32,130.00	
Palm Brehea armata 10' B.T.	3 EA	\$5,400.00	\$16,200.00	
Palm Phoenix reclinata 10' B.T.	8 EA	\$5,940.00	\$47,520.00	
Palm Queen 15' B.T.	35 EA	\$540.00	\$18,900.00	
Palm Queen 18' B.T.	20 EA	\$432.00	\$8,640.00	
Palm Queen 20' B.T.	16 EA	\$432.00	\$6,912.00	
Soil Preparation	1,155,545 SF	\$0.22	\$254,219.90	
Turf Stolons	624,740 SF	\$0.09	\$56,226.60	
Vegetated Swale	24,000 SF	\$0.38	\$9,120.00	
NATIVE GROVE NURSERY - LANDSCAPING				\$122,593.95
Achillea 'Island Pink'	1,340	\$1.80	\$2,412.00	
Aloe Arorescens	658	\$2.10	\$1,381.80	
Alyogyne Hugelii	216	\$2.05	\$442.80	
Arctostaphylos Hookeri 'Monterey Carpet'	478	\$2.25	\$1,075.50	
Artemisia 'Powis Castle'	131	\$1.90	\$248.90	
Baccharis Pilularis 'Pigeon Point'	1,439	\$1.80	\$2,590.20	
Buddleja Davidii Nanohoensis	268	\$2.40	\$643.20	
Carex Divulsa	6,774	\$2.10	\$14,225.40	
Carex Spissa	1,097	\$2.10	\$2,303.70	
Cassia Macrocarpa 'Tuttle'	1,207	\$2.10	\$2,534.70	
Ceanothus Gloriosus 'Emily Brown'	701	\$2.60	\$1,822.60	
Ceanothus 'Yankee Point'	372	\$2.20	\$818.40	
Cistus Purpureus	2,532	\$2.25	\$5,697.00	
Dasylium Wheeleri	1,644	\$2.60	\$4,274.40	
Denromedon Hafordii	639	\$3.10	\$1,980.90	
Hemerocallis Hybrid	404	\$2.25	\$909.00	
Hesperaloe Parviflora	3,409	\$2.25	\$7,670.25	
Heteromeles Arbutifolia	396	\$3.60	\$1,425.60	
Loropetalum Chinese	119	\$2.40	\$285.60	
Mahonia Repens	1,560	\$3.80	\$5,928.00	
Muhlenbergia Capillaris 'Regal Mist'	823	\$2.25	\$1,851.75	
Muhlenbergia Rigens	2,148	\$2.10	\$4,510.80	
Myoporum Parvifolium 'Putah Creek'	678	\$2.40	\$1,627.20	
Parthenocissus Tricuspidata	45	\$28.50	\$1,282.50	
Penstemon Barbatus 'Navigator'	3,459	\$1.80	\$6,226.20	
Pennisetum Setaceum 'Rubrum'	684	\$2.60	\$1,778.40	
Photinia Fraseri	205	\$2.25	\$461.25	
Phormium 'Wings of Gold'	436	\$3.10	\$1,351.60	
Pittosporum Tobira 'Variegatum' Mock Orange	313	\$2.20	\$688.60	
Prunus Illicfolia	365	\$2.60	\$949.00	
Rhamnus Californica	554	\$3.10	\$1,717.40	
Ribes Viburnifolium	327	\$3.10	\$1,013.70	
Rosa Floribunda 'Bright Pink Iceburg'	151	\$2.80	\$422.80	
Rosmarinus Officinalis 'Huntington Carpet'	16,368	\$2.10	\$34,372.80	
Salvia Celevelandii 'Winnifield Gilman'	657	\$2.10	\$1,379.70	
Salvia Leucantha	1,803	\$2.10	\$3,786.30	
Westingia Fruticosa	135	\$2.10	\$283.50	
Xylosma Congestum	98	\$2.25	\$220.50	

APPENDIX C

JURUPA AREA RECREATION AND PARKS DISTRICT HORSESHOE LAKE PARK CONSTRUCTION COST DATA

Jurupa Area Recreation and Park District
Source: DTA, DIF Study, 2006

Summary

Total Costs

Land Acquisition	n/a
Construction	\$2,375,000
Park Acres	13.00
Construction Cost per Acre	\$182,692

Improvement/Construction Costs Detail

Description	<u>Subtotal</u>	<u>Total</u>
<u>Horseshoe Lake Park</u>		
Design and Development of Horseshoe Lake Park	\$2,375,000	\$2,375,000

APPENDIX D

JURUPA AREA RECREATION AND PARKS DISTRICT VETERAN'S MEMORIAL PARK CONSTRUCTION COST DATA

Jurupa Area Recreation and Park District
Source: DTA, DIF Study, 2006

Summary

	Total Costs
Land Acquisition	n/a
Construction	\$1,487,750
Park Acres	9.98
Construction Cost per Acre	\$149,073

Improvement/Construction Costs Detail

Description	<u>Subtotal</u>	<u>Total</u>
<u>Veteran's Memorial Park</u>		\$1,487,750
BBQs, Picnic Tables, Benches, and Trash Receptacles	\$18,750	
ADA Drinking Fountains	\$4,000	
Security Lighting	\$31,250	
Picnic Shelter and Slab	\$81,250	
Half Court Basketball Court	\$27,500	
Construction of Restroom Combination Storage Building	\$181,250	
Demolition of Horseshoe Court Area	\$18,750	
Construction of Teen Mini-Activity Center with Outdoor Amphitheatre	\$1,125,000	

APPENDIX E

CITY OF LAKE FOREST – SPORTS PARK

Lake Forest - Skate Park
Source: Bid Results, 2013

Summary

	Total Costs
Land Acquisition	n/a
Construction	\$35,888,810
Park Acres	86.20
Construction Cost per Acre	\$416,344

Description	Improvement/Construction Costs Detail	Subtotal	Total
			\$35,888,810
<u>Project Start Up</u>			\$1,937,400
General Construction	\$1,700,000		
Temporary Construction Fence	\$60,900		
Construction Staking and Surveying	\$120,000		
Traffic Control, Public	\$6,500		
Sheeting, Shoring, and Bracing	\$5,000		
Supplemental Traffic	\$20,000		
Permits, Licensing, and Fees	\$25,000		
<u>Demolition</u>			\$5,000
Demolition, Removal,	\$5,000		
<u>Earthwork</u>			\$420,500
Site Grading	\$300,000		
Laser Grading			
Ball Field 1	\$2,500		
Ball Field 2	\$2,500		
Ball Field 3	\$2,500		
Ball Field 4	\$2,500		
Ball Field 5	\$2,500		
"Commons" Lawn Area	\$13,000		
Synthetic Turf Base	\$5,000		
Southern Natural Turf Athletic Fields	\$25,000		
Erosion Control	\$30,000		
SWPPP Implementation and Monitoring	\$35,000		
<u>Storm Drain Improvements</u>			\$885,000
Storm Drain	\$885,000		
<u>Sewer Improvements</u>			\$205,000
Sewer Improvements	\$205,000		
<u>Water Improvements</u>			\$245,000
Water Improvements	\$245,000		
<u>Natural Gas Improvements</u>			\$13,000
Natural Gas	\$13,000		

Improvement/Construction Costs Detail		
Description	Subtotal	Total
<u>Architecture</u>		\$11,173,000
Recreation Center, Complete	\$6,485,000	
Restroom / Concession Buildings, Complete	\$1,940,000	
Trash Enclosures, Complete	\$50,000	
Shade Structures at	\$840,000	
Shade Structures at Ball Fields - Design Build		
Ball Field 1 - Design Build	\$72,000	
Ball Field 2 - Design Build	\$72,000	
Ball Field 3 - Design Build	\$72,000	
Ball Field 4 - Design Build	\$72,000	
Ball Field 5 - Design Build	\$72,000	
Shade Structure at	\$333,000	
Shade Structures at	\$160,000	
40' x 40' Shade Structures - Design Build	\$400,000	
30' x 30' Shade Structures - Design Build	\$325,000	
30' x 30' Maintenance	\$95,000	
Glass Creek Overlook	\$185,000	
<u>Paving</u>		\$5,352,500
4" Asphaltic Concrete	\$725,000	
Architectural Concrete	\$3,110,000	
Natural Concrete Paving	\$430,000	
Plexipave Surface	\$11,000	
Flagstone Paving, Complete	\$226,000	
Pedestrian "Bridges", Complete	\$17,000	
Concrete Mow Curbs	\$445,000	
Playground Resilient Surfacing		
Northern Tot Lot	\$79,000	
Southern Tot Lot	\$160,000	
'Organic Lock' Decomposed Granite	\$45,000	
Decomposed Granite	\$2,500	
Interlocking Concrete Pavers	\$72,000	
Site Striping, Markings,	\$30,000	
<u>Walls</u>		\$1,981,000
Concrete Masonry Unit	\$777,000	
Concrete Cast-inPlace	\$370,000	
Entry Monument Walls, Complete		
Rancho Parkway	\$80,000	
Portola Parkway	\$37,000	
Vista Terrace	\$17,000	
'Cultured' Stone Veneer	\$700,000	
<u>Fencing/Metal Work</u>		\$1,800,500
Lodgepole Fencing, Complete	\$62,000	
Metal Guardrails for all	\$356,000	
Metal Handrails for all	\$58,000	
Tubular Steel Fence and	\$172,000	
Permanent Chain Link	\$550,000	
Sliding Tubular Steet	\$24,000	
HDPE Lumber at Ball Fields 1-5	\$36,000	
Netting, Posts, and Foul	\$520,000	
Cor-Ten Steel Animal Silhouettes	\$11,000	
Embedded Cor-Ten Steel Leaves	\$6,500	
Phase One Access	\$5,000	

Improvement/Construction Costs Detail		
Description	Subtotal	Total
<u>Site Electrical</u>		\$2,900,000
Site Electrical for all Work required, Complete	\$2,900,000	
<u>Site Furnishings</u>		\$1,263,000
Site Furnishings, Complete	\$672,000	
Playground Equipment, Complete		
North Tot Lot	\$95,000	
South Tot Lot	\$417,000	
Wayfinding Signage and	\$13,000	
Field Striper	\$1,000	
SunPac Trailers, Complete	\$65,000	
<u>Irrigation</u>		\$1,775,410
Recycled Water Irrigation System, Complete	\$1,685,000	
Domestic Water Irrigation, Complete	\$90,410	
<u>Landscape</u>		\$3,997,500
Soil Preparation / Fine Grading	\$230,000	
Planting and Landscape	\$2,035,000	
Dwarf Hybrid Bermuda Turf (Sod), Complete	\$865,000	
Hydroseed Mix No. 1	\$10,000	
Synthetic Turf Drainage System		
Fields A & B	\$260,000	
Batting Cages	\$12,500	
Sand at South Tot Lot	\$1,000	
Engineered Wood Fiber at South Tot Lot	\$27,500	
Infield Mix at Ball Fields 1-5	\$180,000	
Hilltopper' Mound Mix at Ball Field 4	\$5,000	
'La Cresta' Boulders for	\$65,000	
Thematic Dry Creek Bed	\$10,000	
Dos Rios Cobble for all	\$40,000	
Cobble Edging at Building Perimeter	\$2,000	
90-Day Site	\$254,500	
<u>Bid Alternatives</u>		\$1,935,000
Dwarf Hybrid Bermuda	\$605,000	
Natural Stone Veneer	\$1,130,000	
Import Dirt Contingency	\$100,000	
Export Dirt Contingency	\$100,000	

APPENDIX F

CITY OF LAGUNA NIGUEL – CROWN VALLEY PARK

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Laguna Niguel - Crown Valley Community Park
Source: Bid Results, 2014

Summary

Total Costs	
Land Acquisition	n/a
Construction	\$4,599,531
Park Acres	18.00
Construction Cost per Acre	\$255,529

Improvement/Construction Costs Detail					
<u>Description</u>		<u>Unit Cost</u>	<u>Subtotal</u>	<u>Total</u>	<u>Grand Total</u>
<u>General</u>	<u>Quantity</u>			\$177,052.00	\$4,599,531
Mobilization (Not to exceed 2% of contract price)	1.00 LS	\$90,000.00	\$90,000.00		
Develop Construction Water	1.00 LS	\$9,740.00	\$9,740.00		
Payment and Performance Bonds	1.00 LS	\$68,850.00	\$68,850.00		
Construction Field Office	1.00 LS	\$6,377.00	\$6,377.00		
Traffic Control	1.00 LS	\$2,085.00	\$2,085.00		
<u>Site Preparation</u>				\$28,907.38	
Clearing and Grubbing	1.58 AC	\$11,361.00	\$17,950.38		
Install Temporary Construction Chain Link Fence	1.00 LS	\$10,957.00	\$10,957.00		
<u>Rough Grading</u>					
Over Excavation (5 ft average) unsuitable material excavation and recompaction (keyway)	13,010.00 CY	\$6.50	\$84,565.00	\$171,342.00	
Ampitheatre - 4" PVC Schedule 40 Perforated Pipe	3,280.00 CY	\$8.60	\$28,208.00		
Back Drain with Filter Material	304.00 LF	\$50.00	\$15,200.00		
4" PVC Schedule 40 Pipe	135.00 LF	\$21.00	\$2,835.00		
On-Site Export Materials Disposal/Handling	3,070.00 CY	\$8.00	\$24,560.00		
Erosion Control (Entire Site)	1.00 LS	\$15,974.00	\$15,974.00		
<u>Demolition</u>				\$71,950.00	
Exist Ampitheatre Area - Demolition	1.00 LS	\$40,433.00	\$40,433.00		
Ex. Spray Ground Play Area - Demolition	1.00 LS	\$31,517.00	\$31,517.00		
<u>Precise Grading Construction - Ampitheatre</u>				\$120,902.00	
6" Curb per OCPW STD 120-2	103.00 LF	\$18.00	\$1,854.00		
3' Cross Gutter	69.00 SF	\$17.00	\$1,173.00		
4" AC/10" AB	1,271.00 SF	\$10.00	\$12,710.00		
Sidewalk Access Ramp	1.00 EA	\$1,768.00	\$1,768.00		
Grade Keyway 5'x15'	150.00 CY	\$36.28	\$5,442.00		
Replace Salvaged Gate	1.00 EA	\$3,305.00	\$3,305.00		
0" to 6" Curb Transition	*	\$0.00	\$0.00		
0" Curb per OCPW STD 120-2	*	\$0.00	\$0.00		
10" Wide Seatwall	122.00 LF	\$222.00	\$27,084.00		
Seatwall (18" Wall Retaining-Note 18)	112.00 LF	\$243.00	\$27,216.00		
Concrete (Retaining Wall-H-Varies)	400.00 SF	\$75.83	\$30,332.00		
12" Wide Border with Grooves	1.00 EA	\$185.00	\$185.00		
Landscape Tie Steps	3.00 EA	\$692.00	\$2,076.00		
Seatwall (18" Wall Retaining-Note 20)	23.00 LF	\$263.00	\$6,049.00		
DG Trail	427.00 SF	\$4.00	\$1,708.00		
<u>Drainage Construction - Ampitheatre</u>				\$76,222.00	
4" PVC Subdrain	19.00 LF	\$23.00	\$437.00		
4" Perforated Pipe	447.00 LF	\$27.00	\$12,069.00		
6" PVC	257.00 LF	\$26.00	\$6,682.00		
8" PVC	153.00 LF	\$27.00	\$4,131.00		
Connect to Ex Storm Drain	4.00 EA	\$1,147.00	\$4,588.00		
12" Area Drain Conc. V-Ditch	4.00 EA	\$600.00	\$2,400.00		
12" Landscape Drain	7.00 EA	\$230.00	\$1,610.00		
18" Area Drain	*	\$0.00	\$0.00		
12" Area Drain	1.00 EA	\$599.00	\$599.00		
1' Concrete Wide V-Ditch	190.00 LF	\$33.00	\$6,270.00		
18" N-12 HDPE Pipe	293.00 LF	\$33.00	\$9,669.00		
4" Trench Drain	82.00 LF	\$151.00	\$12,382.00		
Concrete Cradle	*	\$0.00	\$0.00		
24" HDPE Pipe Manhole	2.00 EA	\$3,711.00	\$7,422.00		
6" Clean-Out	3.00 EA	\$995.00	\$2,985.00		
Trench Backfill/PVMT Repair	131.00 SF	\$38.00	\$4,978.00		
<u>Construction - Ampitheatre</u>				\$5,749.00	
Accessible Stall Striping	144.00 SF	\$17.00	\$2,448.00		
Accessible Parking Sign	2.00 EA	\$522.00	\$1,044.00		
4" Wheel Stop	2.00 EA	\$116.00	\$232.00		
Stall Striping	18.00 LF	\$7.00	\$126.00		
Re-Stripe Hump Markings	2.00 EA	\$407.00	\$814.00		
Re-Stripe Crosswalk	31.00 LF	\$35.00	\$1,085.00		

Improvement/Construction Costs Detail						
Description			Unit Cost	Subtotal	Total	Grand Total
<u>Site Amenities - Amphitheatre</u>					\$295,322.00	
Concrete A: Natural Color	6,463.00	SF	\$8.00	\$51,704.00		
Concrete B: Salmon Colored, 24" Scored	140.00	SF	\$16.00	\$2,240.00		
Concrete C: Mesa Buff Colored Banding	686.00	SF	\$10.00	\$6,860.00		
Concrete D: Checkerboard Finish, MICA, 24" Scored	1,182.00	SF	\$16.00	\$18,912.00		
Concrete F: Salmon Colored	937.00	SF	\$12.00	\$11,244.00		
Decomposed Granite	28.00	CY	\$143.00	\$4,004.00		
Concrete Mowstrip	195.00	LF	\$11.00	\$2,145.00		
Concrete Risers	236.00	LF	\$29.00	\$6,844.00		
Stage Ramp Railing	60.00	LF	\$427.00	\$25,620.00		
Parking Lot Ramp Railing	84.00	LF	\$143.00	\$12,012.00		
Concrete Curb	23.00	LF	\$38.00	\$874.00		
Amphitheatre Stage Stone Structure	1.00	EA	\$81,596.00	\$81,596.00		
Amphitheatre Overhead Framework	1.00	EA	\$8,696.00	\$8,696.00		
Amphitheatre Stage Lighting	1.00	LS	\$62,571.00	\$62,571.00		
<u>Site Furniture</u>					\$25,078.00	
Trash Receptacles	5.00	EA	\$1,240.00	\$6,200.00		
Recycled Material Receptacle	3.00	EA	\$1,240.00	\$3,720.00		
Bench	1.00	EA	\$1,559.00	\$1,559.00		
Botanical Preserve Sign with Pilasters	1.00	EA	\$5,382.00	\$5,382.00		
Grading Edge Adjustments	1.00	EA	\$8,217.00	\$8,217.00		
<u>Irrigation - Amphitheatre</u>					\$86,074.00	
Automatic Irrigation System	36,703.00	SF	\$2.00	\$73,406.00		
Automatic Controller	1.00	EA	\$12,668.00	\$12,668.00		
<u>Planting - Amphitheatre</u>					\$100,774.20	
Soil Preparation and Weed Abatement	36,703.00	SF	\$0.40	\$14,681.20		
Sodded Turf - Amphitheatre	30,905.00	SF	\$1.00	\$30,905.00		
Artificial Turf	2,208.00	SF	\$15.00	\$33,120.00		
3" Thick Layer of Mulch	5,798.00	SF	\$0.50	\$2,899.00		
36" Box Tree	5.00	EA	\$913.00	\$4,565.00		
5 Gallon Shrub	324.00	EA	\$18.00	\$5,832.00		
1 Gallon Shrub	731.00	EA	\$12.00	\$8,772.00		
<u>Post Installation Maintenance - Amphitheatre</u>					\$11,010.90	
90 Day Maintenance	36,703.00	SF	\$0.30	\$11,010.90		
<u>Precise Grading Construction - Sprayground Play Area</u>					\$205,206.00	
6" Curb per OCPW STD 120-2	322.00	LF	\$14.00	\$4,508.00		
4" HMA Over 6" AB	3,233.00	SF	\$6.00	\$19,398.00		
4" Sidewalk	-	SF	\$0.00	\$0.00		
0" to 6" Curb Transition	52.00	LF	\$14.00	\$728.00		
0" Curb per OCPW STD 120-2	43.00	LF	\$16.00	\$688.00		
8" Wide Seatwall	242.00	LF	\$242.00	\$58,564.00		
Concrete (Retain) Wall	720.00	SF	\$87.00	\$62,640.00		
Retaining Wall (2:1 Backfill)	320.00	SF	\$101.00	\$32,320.00		
6" CMU Wall	70.00	LF	\$174.00	\$12,180.00		
12" Wide Border with Grooves (At H/C Ramps)	4.00	EA	\$1,224.00	\$4,896.00		
Seatwall (18" Wall Retaining Note 20)	46.00	LF	\$146.00	\$6,716.00		
Seatwall (18" Wall Retaining-Note 18)	8.00	LF	\$321.00	\$2,568.00		
<u>Drainage Construction - Sprayground Play Area</u>					\$102,428.00	
4" PVC Subdrain	274.00	LF	\$25.00	\$6,850.00		
4" Perforated Pipe	438.00	LF	\$28.00	\$12,264.00		
6" PVC	457.00	LF	\$29.00	\$13,253.00		
8" PVC	265.00	LF	\$30.00	\$7,950.00		
Connect to Ex Storm Drain	-	EA	\$0.00	\$0.00		
12" Area Drain Conc. V-Ditch	11.00	EA	\$600.00	\$6,600.00		
12" Landscape Drain	-	EA	\$0.00	\$0.00		
6" Landscape Drain	17.00	EA	\$246.00	\$4,182.00		
12" Area Drain	5.00	EA	\$599.00	\$2,995.00		
18" Area Drain	-	EA	\$0.00	\$0.00		
1' Concrete Wide V-Ditch	341.00	LF	\$33.00	\$11,253.00		
18" PVC	-	LF	\$0.00	\$0.00		
Connect to Rain Drop Box	1.00	EA	\$432.00	\$432.00		
4" Trench Drain	111.00	LF	\$154.00	\$17,094.00		
12" PVC	26.00	LF	\$34.00	\$884.00		
4" Trench Drain	62.00	LF	\$168.00	\$10,416.00		
JS Type VI	2.00	EA	\$2,635.00	\$5,270.00		
24" HDPE	-	LF	\$0.00	\$0.00		
6" Clean-Out	3.00	EA	\$995.00	\$2,985.00		

Improvement/Construction Costs Detail						
Description			Unit Cost	Subtotal	Total	Grand Total
<u>Wet Utility Services - Sprayground Play Area</u>					\$41,192.00	
Install 2" Backflow Preventer	2.00	EA	\$5,758.00	\$11,516.00		
2" PVC Water Line	190.00	LF	\$13.00	\$2,470.00		
Point of Connection to Building	3.00	EA	\$498.00	\$1,494.00		
Connect to Ex Service	2.00	EA	\$492.00	\$984.00		
Connect to Ex 1" Water Line	1.00	EA	\$171.00	\$171.00		
4" SDR-35 PVC Sewer Pipe	72.00	LF	\$31.00	\$2,232.00		
Remove Cleanout and Join	2.00	EA	\$603.00	\$1,206.00		
Connect to Drain Pipe	1.00	EA	\$455.00	\$455.00		
Remove 1" Water Line	78.00	LF	\$8.00	\$624.00		
Water Meter	2.00	EA	\$10,020.00	\$20,040.00		
<u>Storm Drain Construction - Sprayground Play Area</u>					\$37,029.00	
24" RCP	108.00	LF	\$185.00	\$19,980.00		
Adjust Existing MH	1.00	EA	\$1,584.00	\$1,584.00		
Remove Ex 24" RCP	545.00	LF	\$22.00	\$11,990.00		
Concrete Saddle	31.00	LF	\$73.00	\$2,263.00		
Concrete Collar	3.00	EA	\$404.00	\$1,212.00		
<u>Construction - Sprayground Play Area</u>					\$23,330.00	
Accessible Stall Striping	143.00	SF	\$17.00	\$2,431.00		
Accessible Parking Sign	2.00	EA	\$522.00	\$1,044.00		
4" Wheel Stop	2.00	EA	\$116.00	\$232.00		
Stall Striping	278.00	LF	\$7.00	\$1,946.00		
Re-Stripe Crosswalk	51.00	LF	\$35.00	\$1,785.00		
Erosion Control	1.00	LS	\$15,892.00	\$15,892.00		
<u>Site Amenities - Sprayground Play Area</u>					\$1,496,502.00	
Concrete A: Natural Color	5,316.00	SF	\$8.00	\$42,528.00		
Concrete B: Salmon Colored, 24" Scored	285.00	SF	\$17.00	\$4,845.00		
Concrete C: Mesa Buff Colored Banding	760.00	SF	\$10.00	\$7,600.00		
Concrete E: Checkerboard Finish, 48" Scored	3,334.00	SF	\$15.00	\$50,010.00		
Concrete F: Salmon Colored	640.00	SF	\$13.00	\$8,320.00		
Concrete G: Salmon with Mica Feldspar	179.00	SF	\$22.00	\$3,938.00		
Concrete Risers	252.00	LF	\$23.00	\$5,796.00		
Concrete Curb	165.00	LF	\$20.00	\$3,300.00		
Concrete Mowstrip	150.00	LF	\$14.00	\$2,100.00		
Mosaic	1.00	LS	\$6,492.00	\$6,492.00		
Architectural Art Panel	3.00	LS	\$5,797.00	\$17,391.00		
42" High Guardrail	90.00	LF	\$416.00	\$37,440.00		
Handrail at Steps and Ramps - Play Area	321.00	LF	\$485.00	\$155,685.00		
Concrete Cheek Wall/Curb	190.00	LF	\$191.00	\$36,290.00		
42" Tubular Steel Fence with Embellishments	185.00	LF	\$536.00	\$99,160.00		
6' High, Water Feature, Tubular Steel Fence	146.00	LF	\$450.00	\$65,700.00		
Entry Archway with Columns - No Gates	2.00	SET	\$29,212.00	\$58,424.00		
6' High Tubular Steel Service Gates	2.00	SET	\$13,333.00	\$26,666.00		
6' x 5' High Tubular Steel Service Gates	1.00	SET	\$4,116.00	\$4,116.00		
6' x 10' High Tubular Steel Service Gates	1.00	SET	\$7,189.00	\$7,189.00		
6' High Pilasters	3.00	EA	\$5,411.00	\$16,233.00		
4' High Pilaster	1.00	EA	\$5,382.00	\$5,382.00		
30" High Pilasters	9.00	EA	\$2,551.00	\$22,959.00		
Service Switchgear Total	1.00	LS	\$124,609.00	\$124,609.00		
Site Lighting Fixtures	1.00	LS	\$684,329.00	\$684,329.00		
<u>Architecture - Sprayground Play Area</u>					\$555,839.00	
Restroom and Pump Room Building	682.00	SF	\$700.00	\$477,400.00		
Outdoor Shower and Drain to Sewer	1.00	EA	\$10,319.00	\$10,319.00		
Life Guard Chair	2.00	EA	\$1,780.00	\$3,560.00		
Shade Canopy at Picnic and Water Feature Areas	3.00	EA	\$21,520.00	\$64,560.00		
<u>Site Furniture - Sprayground Play Area</u>					\$73,962.00	
ADA Picnic Table	4.00	EA	\$2,386.00	\$9,544.00		
Picnic Table	5.00	EA	\$2,131.00	\$10,655.00		
Bench	11.00	EA	\$1,559.00	\$17,149.00		
Trash Receptacles	11.00	EA	\$1,240.00	\$13,640.00		
Bike Rack	1.00	EA	\$934.00	\$934.00		
Recycled Material Receptacle	10.00	EA	\$2,204.00	\$22,040.00		
<u>Play Equipment - Sprayground Play Area</u>					\$698,935.00	
Water Spray Ground Features with Recycling Pump	1.00	CY	\$259,705.00	\$259,705.00		
Playground Equipment and GFRC Amenities	2.00	SET	\$174,882.00	\$349,764.00		
Ruberized Surfacing	2,495.00	SF	\$26.00	\$64,870.00		
Water Spray Ground - Natural Color with Glass	934.00	SF	\$19.00	\$17,746.00		
Sand Colored Concrete	685.00	SF	\$10.00	\$6,850.00		
<u>Irrigation - Sprayground Play Area</u>					\$53,092.00	
Automatic Irrigation System	20,212.00	SF	\$2.00	\$40,424.00		
Automatic Controller	1.00	EA	\$12,668.00	\$12,668.00		

Improvement/Construction Costs Detail						
<u>Description</u>			<u>Unit Cost</u>	<u>Subtotal</u>	<u>Total</u>	<u>Grand Total</u>
<u>Planting - Sprayground Play Area</u>						
Soil Preparation and Weed Abatement	20,212.00	SF	\$0.50	\$10,106.00	\$87,719.60	
Sodded Turf	5,929.00	SF	\$0.90	\$5,336.10		
3" Thick Layer of Mulch	14,283.00	SF	\$0.50	\$7,141.50		
60" Box Tree	1.00	EA	\$5,481.00	\$5,481.00		
48" Box Tree	3.00	EA	\$1,495.00	\$4,485.00		
36" Box Tree	24.00	EA	\$889.00	\$21,336.00		
5 Gallon Shrub	882.00	EA	\$19.00	\$16,758.00		
1 Gallon Shrub	1,423.00	EA	\$12.00	\$17,076.00		
<u>Post Installation Maintenance - Sprayground Play Area</u>						
90 Day Maintenance	20,212.00	SF	\$0.40	\$8,084.80	\$13,509.80	
Landscape Tiles	155.00	LF	\$35.00	\$5,425.00		
<u>Trash Enclosure</u>						
8"x8"x16" Precision Block CMU Wall	83.00	LF	\$133.00	\$11,039.00	\$40,403.00	
4" Mon PCC Curb	60.00	LF	\$13.00	\$780.00		
6" PCC Pavement	547.00	SF	\$7.00	\$3,829.00		
6"x4" Schedule 40 Gal Steel Tube FTG	5.00	EA	\$552.00	\$2,760.00		
Fab and Install Metal Gate	36.00	LF	\$389.00	\$14,004.00		
Fab Slide Bolt	3.00	EA	\$267.00	\$801.00		
Install 6" Schedule 40 Gal Steel Bollards	2.00	EA	\$487.00	\$974.00		
Mortar Cap	83.00	LF	\$4.00	\$332.00		
Type A1-6 PCC Curb	17.00	LF	\$27.00	\$459.00		
3" AC Over 4" AB Pavement	73.00	SF	\$12.00	\$876.00		
Sawcut and Remove AC Pavement	75.00	LF	\$13.00	\$975.00		
Remove 6" Curb	58.00	LF	\$16.00	\$928.00		
Paint DBL 4" Wide Striping	882.00	EA	\$3.00	\$2,646.00		

APPENDIX G

CITY OF PASADENA – DESIDERIO PARK CONSTRUCTION COST DATA

Pasadena
Source: City CIP Budget, 2014

Summary

	Total Costs
Land Acquisition	n/a
Construction (Design & Development)	\$2,410,000
Park Acres	3.80
Construction Cost per Acre	\$634,211

Improvement/Construction Costs Detail

Location	Description	<u>Subtotal</u>	<u>Total</u>
<u>Desiderio Park</u>	Development of New Park	\$2,410,000	\$2,410,000

APPENDIX H

CITY OF REDONDO BEACH – HEART PARK CONSTRUCTION COST DATA

Redondo Beach
Source: DTA, DIF Study, 2003

Summary

Facility/Item	
Land Acquisition	\$227,397,770
Construction	\$32,473,900
Park Acres	76.50
Construction Cost per Acre	\$424,495
Land Acquisition Costs per Acre	\$2,972,520

Description	Improvement/Construction Costs Detail			Subtotal	Total	Grand Total
	Unit	Quantity	Unit Cost			
Heart Park						
<u>Area A</u>					\$3,396,000	\$32,473,900
Community Events Center Site	Acres	4.40	\$250,000	\$1,100,000		
Multi-Use Community Event Area	Acres	8.80	\$25,000	\$2,200,000		
Parking Lot	Per Space	120.00	\$800	\$96,000		
<u>Area B</u>					\$1,035,500	
Swimming/Tennis Complex Site	Acres	2.30	\$250,000	\$575,000		
Swimming Pool	Square Feet	7,500.00	\$55	\$412,500		
Tennis Courts	Square Feet	57,600.00	--	--		
Parking Lot	Per Space	60.00	\$800	\$48,000		
<u>Area C</u>					\$11,060,400	
Active Recreation/Sports	Acres	12.70	\$250,000	\$3,175,000		
Natural Area	Acres	7.90	\$150,000	\$1,185,000		
Amphitheatre	Square Feet	87,120.00	\$20	\$1,742,400		
Passive Park	Acres	11.00	\$200,000	\$2,200,000		
Multi-Use Community Event Area	Acres	5.00	\$250,000	\$1,250,000		
Pedestrian Path	Acres	8.40	\$150,000	\$1,260,000		
Parking Lot	Per Space	310.00	\$800	\$248,000		
<u>Area D</u>					\$16,350,000	
Harbor Recreation	Acres	10.60	\$250,000	\$2,650,000		
Boat Launch	Acres	1.10	N/A	\$13,340,000		
Parking Lot	Per Space	450.00	\$800	\$360,000		
<u>Area E</u>					\$632,000	
Bike Path Trailhead	Acres	0.60	\$225,000	\$135,000		
Multi-Use Harbor Recreation Area	Acres	1.10	\$250,000	\$425,000		
Parking Lot	Per Space	90.00	\$800	\$72,000		

APPENDIX I

CITY OF SAN MARCOS – BRADLEY PARK CONSTRUCTION COST DATA

San Marcos - Bradley Park
Source: Bradley Park Master Plan, 2014

Summary

Land Acquisition	n/a
Construction Costs	\$12,492,484
Park Acres	34.00
Construction Cost per Acre	\$367,426

		Improvement/Construction Costs Detail				
	<u>Description</u>	<u>Quantity</u>	<u>Unit Cost</u>	<u>Subtotal</u>	<u>Total</u>	<u>Grand Total</u>
						\$12,492,484
One					\$339,568	
	South Rancho Santa Fe Road on-site parking	168	\$552.45	\$92,811		
	Head Start Parking Lot	43	\$2,866.21	\$123,247		
	Pacific Street Parking	107	\$1,154.30	\$123,510		
Two					\$4,552,878	
	Football/Soccer Field #1, Softball/Baseball Fields #1 & #2			\$2,122,177		
	241 Car Parking Lot with Access Drives			\$1,070,011		
	Center Core Area			\$1,275,810		
	Walking Trail			\$84,880		
Three					\$4,310,556	
	Baseball Field #1			\$1,582,821		
	Softball/Baseball Field #3 & Soccer Field #4			\$1,161,504		
	Softball/Baseball Field #4			\$932,111		
	Restroom & Concession Building at S. Rancho Santa Fe Rd.			\$549,240		
	Walking Trail			\$84,880		
Four					\$3,289,482	
	Group Plcnic Area at Lower Mesa			\$212,157		
	Football/Soccer Field #2, Softball/Baseball Fields #5 & #6			\$2,122,177		
	Baseball Field #2 with Cover Play Area and Picnic Amenities			\$694,207		
	Baseball Field #3			\$260,941		

APPENDIX J

CITY OF TUSTIN – TUSTIN LEGACY PARK CONSTRUCTION COST DATA

Tustin Legacy Park
Source: Tustin Legacy Park Master Plan, 2014

Summary

	Total Costs
Land Acquisition	n/a
Design Contingency	\$1,158,626
Construction	\$16,816,265
 Park Acres	 31.50
Construction Cost per Acre	\$533,850

Improvement/Construction Costs Detail		
<u>Description</u>	<u>Total</u>	<u>Grand Total</u>
		\$16,816,265
<u>General Construction</u>	\$1,139,482	
Mobilization		
Fine Grading		
Erosion Control		
Utilities		
<u>Ballfields</u>	\$1,927,000	
3 Fields		
Lighting		
Amenities		
<u>Miscellaneous Paving & Trails</u>	\$890,000	
Paving		
Trails		
Lighting		
Signage		
<u>Multi- Purpose Fields</u>	\$2,315,000	
4 Fields		
Lighting		
Amenities		
<u>Courts</u>	\$750,000	
Basketball		
Tennis		
Pickleball		
Sand Volleyball		
Lighting		
Amenities		
<u>Children's Play Environment</u>	\$2,110,000	
Play Equipment		
Passive Areas		
Par Course Equipment		
Veteran's Memorial		
Signage		
Amenities		
<u>Parking Lots</u>	\$2,110,000	
Small Parking Lot		
Large Parking Lot		
<u>Buildings</u>	\$650,000	
Two Buildings		
<u>Skate Park</u>	\$396,500	
Lighting		
Amenities		
<u>Miscellaneous Landscape & Irrigation</u>	\$1,408,283	
Soil Preparation		
Trees, Shrubs, Groundcover		
Irrigation		
<u>Additive Alternative</u>	\$3,120,000	
Synthetic Turf @ Soccer Fields		



Building Industry Association of Southern California, Inc.
ORANGE COUNTY CHAPTER

March 9, 2015

Chairman Robert Dickson and Planning Commission Members
City of Costa Mesa
77 Fair View Drive
Costa Mesa, CA 92626

Re: **COMMENTS ON PROPOSED PARKLAND IMPACT FEES**

Dear Chairman Dickson,

On behalf of our membership, we are in support of the proposed update to the City's Parkland In-Lieu Fees Program (Parkland Impact Fees). We would like to thank City staff for the opportunity to review the proposed fee adjustment, and for requesting our input in this important matter.

The Building Industry Association of Southern California, Orange County Chapter (BIA/ OC) is a non-profit trade association of nearly 1,000 companies employing over 100,000 people affiliated with the home building industry. The Orange County Chapter represents the largest member base within BIA Southern California. Our mission is to champion housing as the foundation of vibrant and sustainable communities.

After review of the City staff's report related to the proposed Parkland Impact Fees, we are pleased to see a reduction from the current fee program for Single Family and Multi-Family Owner dwelling units (condominiums). Housing costs in our region are affected by development fees, we applaud City staff for re calibrating the City's park fees in accordance with the requirements of State law.

As always, we remain a resource to the City on important issues that are related to the well-being of our local communities.

Thank you for time and thoughtful consideration.

Respectfully,

Michael Balsamo
Chief Executive Officer

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THE NEW HOME COMPANY

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